NEW ISSUE
BOOK-ENTRY ONLY

RATING: Moody's: Aa3 (stable outlook)

*In the opinion of Bond Counsel, under existing law, the Series 2020B Bonds and interest thereon are exempt from all state, county and municipal tax. See **LEGAL MATTERS**, Arkansas Tax Exemption herein. In the opinion of Bond Counsel, under existing law, interest on the Series 2020B Bonds is not excludable from gross income for federal income tax purposes. See **FEDERAL TAX MATTERS** herein.*

$22,850,000
CITY OF LITTLE ROCK, ARKANSAS
WATER RECLAMATION SYSTEM REFUNDING REVENUE BONDS
TAXABLE SERIES 2020B

Dated: Date of Delivery

Due: August 1, as shown on inside cover

The Water Reclamation System Refunding Revenue Bonds, Taxable Series 2020B (the "Series 2020B Bonds") are being issued by the City of Little Rock, Arkansas (the "City") for the purpose of refunding the City's Sewer Revenue Bonds, Series 2012 (the "Bonds Refunded"), paying a premium for a debt service reserve insurance policy and paying certain expenses in connection with the issuance of the Series 2020B Bonds. See the caption "**SOURCES AND USES OF FUNDS**" herein.

The Series 2020B Bonds are issuable only as fully registered bonds and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), New York, New York, to which principal, premium, if any, and interest payments on the Series 2020B Bonds will be made so long as Cede & Co. is the registered owner of the Series 2020B Bonds. Individual purchases of the Series 2020B Bonds will be made only in book-entry form, in denominations of $5,000 or integral multiples thereof. Individual purchasers ("Beneficial Owners") of Series 2020B Bonds will not receive physical delivery of bond certificates. See the caption "**BOOK-ENTRY ONLY SYSTEM**" herein.

The Series 2020B Bonds shall bear interest from their dated date, payable on February 1 and August 1 of each year, commencing February 1, 2021. All such interest payments shall be payable to the persons in whose name such Series 2020B Bonds are registered on the bond registration books maintained by Regions Bank, Little Rock, Arkansas, as trustee (the "Trustee"), as of the fifteenth day of the calendar month next preceding the applicable interest payment date. Principal of and premium, if any, on the Series 2020B Bonds shall be payable at the principal corporate trust office of the Trustee. So long as DTC or its nominee is the registered owner of the Series 2020B Bonds, disbursement of such payments to DTC Participants is the responsibility of DTC, and the disbursement of such payments to Beneficial Owners is the responsibility of DTC Participants or Indirect Participants, as more fully described herein.

Payment of the principal of, premium, if any, and interest on the Series 2020B Bonds is secured by a pledge of the net revenues (the "Net Revenues") of the City's sewer system, which is now identified as a water reclamation system (the "System"). The pledge of Net Revenues securing the Series 2020B Bonds shall be on a parity with the pledge of Net Revenues securing the City's Sewer Refunding Revenue Bonds, Series 2011, Sewer Refunding Revenue Bonds, Series 2014, Sewer Refunding Revenue Bonds, Series 2015, Sewer Refunding Revenue Bonds, Series 2016B and Water Reclamation System Revenue Bonds, Series 2017. Such pledge of Net Revenues is senior and superior to the pledge of Net Revenues securing the payment of certain Subordinate Bonds (defined herein) of the City. In the ordinance of the City authorizing the issuance of the Series 2020B Bonds (the "Authorizing Ordinance"), the City has covenanted that rates for System services shall, if and when necessary, be increased in such manner as will produce total System revenues sufficient to pay debt service on all outstanding indebtedness to which revenues of the System are pledged, to pay System operation, repair and maintenance expenses and to fund deficiencies in the debt service reserves and depreciation fund as directed in the Authorizing Ordinance. See the captions "**SECURITY FOR THE SERIES 2020B BONDS**" and "**SUMMARY OF THE AUTHORIZING ORDINANCE**" herein. The Series 2020B Bonds are subject to optional and mandatory sinking fund redemption prior to maturity as more fully described herein under the caption "**THE SERIES 2020B BONDS** - Redemption."

The Series 2020B Bonds are special obligations of the City secured by and payable solely from the Net Revenues of the System. The Series 2020B Bonds do not constitute an indebtedness of the City within the meaning of any constitutional or statutory debt limitation or restriction. The issuance of the Series 2020B Bonds shall not directly, indirectly or contingently obligate the City to levy or pledge any taxes whatsoever or to make any appropriation for the payment of the Series 2020B Bonds, except as described herein with respect to Net Revenues of the System.

The debt service reserve for the Series 2020B Bonds will be funded with a municipal bond debt service reserve insurance policy to be issued concurrently with the delivery of the Series 2020B Bonds by Build America Mutual Assurance Company.

The Series 2020B Bonds are offered when, as and if issued by the City and are subject to the final approving opinion of Friday, Eldredge & Clark, LLP, Little Rock, Arkansas, Bond Counsel. It is expected that the Series 2020B Bonds will be available for delivery in New York, New York, on or about December 3, 2020.

Crews&Associates
A First Security Company

Dated: October 27, 2020.

$22,850,000
CITY OF LITTLE ROCK, ARKANSAS
WATER RECLAMATION SYSTEM REFUNDING REVENUE BONDS
TAXABLE SERIES 2020B

MATURITY SCHEDULE

$12,965,000 Serial Bonds

Year	Principal Amount	Interest Rate (%)
2024	$ 365,000	0.893
2025	1,055,000	1.023
2026	1,070,000	1.263
2027	1,080,000	1.453
2028	1,100,000	1.677
2029	1,115,000	1.827
2030	1,135,000	1.927
2031	1,160,000	2.027
2032	1,180,000	2.127
2033	1,205,000	2.227
2034	1,235,000	2.337
2035	1,265,000	2.437

$9,885,000 2.924% Term Bonds due August 1, 2042

Price of all Bonds: 100%

No dealer, broker, salesman or other person has been authorized by the City or by the underwriter, Crews & Associates, Inc. (the "Underwriter"), to give any information or to make any representations, other than those contained in this Official Statement; and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of any Series 2020B Bonds in any jurisdiction in which such offer is not authorized, or in which the person making such offer, solicitation or sale is not qualified to do so, or to any person to whom it is unlawful to make such offer, solicitation or sale. The information and expressions of opinion contained herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the business, operations or financial condition of the City or the System since the date hereof.

THE SERIES 2020B BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, NOR HAS THE AUTHORIZING ORDINANCE BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON CERTAIN EXEMPTIONS FROM SUCH REGISTRATION AND QUALIFICATION CONTAINED IN SUCH LAWS.

CERTAIN INFORMATION CONTAINED HEREIN HAS BEEN OBTAINED FROM THE CITY, THE UTILITY, THE DEPOSITORY TRUST COMPANY AND OTHER SOURCES WHICH ARE BELIEVED TO BE RELIABLE. THE UNDERWRITER HAS REVIEWED THE INFORMATION IN THE OFFICIAL STATEMENT IN ACCORDANCE WITH, AND AS PART OF, THEIR RESPONSIBILITIES TO INVESTORS UNDER THE FEDERAL SECURITIES LAWS AS APPLIED TO THE FACTS AND CIRCUMSTANCES OF THIS TRANSACTION, BUT THE UNDERWRITER DOES NOT GUARANTEE THE ACCURACY OR COMPLETENESS OF SUCH INFORMATION.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE SERIES 2020B BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

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OFFICIAL STATEMENT

$22,850,000
CITY OF LITTLE ROCK, ARKANSAS
WATER RECLAMATION SYSTEM REFUNDING REVENUE BONDS
TAXABLE SERIES 2020B

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. All descriptions and summaries of documents hereinafter set forth are qualified in their entirety by reference to each such document. Capitalized terms not otherwise defined herein shall have the meanings ascribed to such terms under the caption "**DEFINITIONS OF CERTAIN TERMS**" herein.

This Official Statement, including the cover page and the Appendices hereto, is furnished in connection with the offering of $22,850,000 Water Reclamation System Refunding Revenue Bonds, Taxable Series 2020B (the "Series 2020B Bonds") by the City of Little Rock, Arkansas (the "City").

The City is a city of the first class organized and existing under the laws of the State of Arkansas (the "State"). The City is authorized and empowered under Amendment 65 to the Constitution of the State ("Amendment 65") and the laws of the State, including particularly Title 14, Chapter 164, Subchapter 4 and Title 14, Chapter 235, Subchapter 2 of the Arkansas Code of 1987 Annotated (the "Authorizing Legislation"), to issue and sell its revenue bonds for the purpose of refunding bonds issued for the purpose of financing the cost of betterments and improvements to its sewer system, which is now identified as a water reclamation system (the "System"). The System, also known as Little Rock Water Reclamation Authority (formerly Little Rock Wastewater) (the "Utility"), is a component unit of the City and is managed and operated through the Little Rock Water Reclamation Commission (the "Commission"), whose members are appointed by the governing body of the City. See the caption "**THE SYSTEM**" herein.

The Series 2020B Bonds are to be issued by the City pursuant to Amendment 65, the Authorizing Legislation and Ordinance No. 21,905, adopted and approved on October 20, 2020 (the "Authorizing Ordinance"), for the purpose of (i) advance refunding the City's Sewer Revenue Bonds, Series 2012 (the "Bonds Refunded"), (ii) paying a premium for a debt service reserve insurance policy and (iii) paying the costs of issuing the Series 2020B Bonds. See the captions "**SOURCES AND USES OF FUNDS**" and "**SUMMARY OF THE AUTHORIZING ORDINANCE**" herein.

The Series 2020B Bonds are special obligations of the City, payable solely from and secured by a pledge of revenues derived from the operation of the System after the payment of the operation, maintenance and repair expenses of the System (the "Net Revenues"). Such pledge of Net Revenues is made on a parity basis with an existing pledge of Net Revenues securing (i) $4,870,000 outstanding principal amount of the City's Sewer Refunding Revenue Bonds, Series 2011 (the "Series 2011 Bonds"), (ii) $4,065,000 outstanding principal amount of the City's Sewer Refunding Revenue Bonds, Series 2014 (the "Series 2014 Bonds"), (iii) $144,525,000 outstanding principal amount of the City's Sewer Refunding Revenue Bonds, Series 2015 (the "Series 2015 Bonds"), (iv) $16,700,000 outstanding principal amount of the City's Sewer Refunding Revenue Bonds, Series 2016B (the "Series 2016B Bonds"), and (v) $10,215,000 outstanding principal amount of the City's Water Reclamation System Revenue Bonds, Series 2017 (the "Series 2017 Bonds" and collectively with the Series 2011 Bonds, the Series 2014 Bonds, the Series 2015 Bonds and the Series 2016B Bonds, the "Parity Bonds"). The pledge of Net Revenues securing the Series 2020B Bonds and the Parity Bonds is prior and senior to the pledge of Net Revenues securing (i) $9,773,979 outstanding principal amount of the City's Sewer Revenue Bond, Series 2007B (the "Series 2007B Bond"), (ii) $5,175,837 outstanding principal amount of the City's Sewer Revenue Bond, Series 2009A (the "Series 2009A Bond"), (iii) $30,804,008 outstanding principal amount of the City's Sewer Revenue Bond, Series 2013 (the "Series 2013 Bond"); (iv) $61,000,000 authorized principal amount of the City's Sewer Revenue Bond, Series 2016 (Replacement Bond) (the "Series 2016A Bond"), (v) $61,600,000 authorized principal amount of the City's Water

Reclamation System Revenue Bond, Series 2018 (the "Series 2018 Bond"), (vi) $18,000,000 authorized principal amount of the City's Water Reclamation System Revenue Bond, Series 2019 (the "Series 2019 Bond") and (vii) $51,400,000 authorized principal amount of the City's Water Reclamation System Revenue Bond, Series 2020 (the "Series 2020A Bond" and collectively with the Series 2007B Bond, the Series 2009A Bond, the Series 2013 Bond, the Series 2016A Bond, the Series 2018 Bond and the Series 2019 Bond, the "Subordinate Bonds"). In the Authorizing Ordinance, the City has covenanted that rates for System services shall, if and when necessary, be increased in such manner as will produce total System revenues sufficient to pay debt service on all outstanding indebtedness to which revenues of the System are pledged ("System Bonds"), to pay System operation, repair and maintenance expenses, to fund Depreciation Fund deficiencies and to make required deposits into the debt service reserves. See the caption "**SECURITY FOR THE SERIES 2020B BONDS**" herein.

In the Authorizing Ordinance, Regions Bank, Little Rock, Arkansas, has been designated as trustee and paying agent (the "Trustee") with respect to the Series 2020B Bonds.

The Series 2020B Bonds are special obligations of the City secured by and payable solely from the Net Revenues of the System. The faith and credit of the City are not pledged to the payment of the Series 2020B Bonds, and the Series 2020B Bonds do not constitute an indebtedness of the City within the meaning of any constitutional or statutory debt limitation or restriction. The issuance of the Series 2020B Bonds shall not directly, indirectly or contingently obligate the City to levy or pledge any taxes whatsoever or to make any appropriation for the payment of the Series 2020B Bonds, except as described herein with respect to Net Revenues of the System.

Additional Bonds may be issued on a parity of security with the Series 2020B Bonds and the Parity Bonds under certain circumstances set forth in the Authorizing Ordinance. See the caption "**THE SERIES 2020B BONDS** - Additional Bonds" herein. The Series 2020B Bonds, the Parity Bonds and any Additional Bonds are herein collectively referred to as the "Bonds."

Pursuant to the provisions of a Continuing Disclosure Agreement dated as of the date of delivery of the Series 2020B Bonds, by and between the City and Regions Bank, Little Rock, Arkansas, as Dissemination Agent (the "Continuing Disclosure Agreement"), the City has undertaken certain obligations with respect to providing ongoing disclosure of certain financial and operating data concerning the System and of the occurrence of certain material events. See the caption "**SUMMARY OF THE CONTINUING DISCLOSURE AGREEMENT**" herein.

Descriptions of the City, the System, the Series 2020B Bonds, the Continuing Disclosure Agreement and the Authorizing Ordinance are included in this Official Statement. Copies of the Continuing Disclosure Agreement and the Authorizing Ordinance are available upon request from Crews & Associates, Inc., First Security Center, 521 President Clinton Avenue, Suite 800, Little Rock, Arkansas 72201, Attention: Public Finance. All references to the Series 2020B Bonds are qualified in their entirety by reference to the definitive form thereof and the information with respect thereto included in the Authorizing Ordinance. Certain financial data has been provided by the City from the audited and unaudited records of the System and certain demographic information has been obtained from other sources which are believed to be reliable.

THE SERIES 2020B BONDS

Description. The Series 2020B Bonds will be dated the date of delivery, and will bear interest payable semiannually on February 1 and August 1 of each year, commencing February 1, 2021, at the rates set forth on the inside cover page hereof. The Series 2020B Bonds will mature on August 1 in the years and in the principal amounts set forth on the inside cover page hereof.

The Series 2020B Bonds are issuable only in the form of fully registered bonds and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), New York, New York, to which principal, premium, if any, and interest payments on the Series 2020B Bonds will be made so long as Cede & Co. is the registered owner of the Series 2020B Bonds. Individual purchases of the Series 2020B Bonds will be made only in book-entry form, in denominations of $5,000 or integral multiples thereof. Individual purchasers ("Beneficial

Owners") of Series 2020B Bonds will not receive physical delivery of bond certificates. See the caption "**BOOK-ENTRY ONLY SYSTEM**" herein.

All interest payments on the Series 2020B Bonds shall be payable to the persons in whose name such Series 2020B Bonds are registered on the bond registration books maintained by the Trustee, as of the close of business on fifteenth day of the calendar month next preceding the applicable interest payment date. Principal of and premium, if any, on the Series 2020B Bonds shall be payable at the principal corporate trust office of the Trustee. All such payments shall be valid and effectual to satisfy and discharge the liability upon such Series 2020B Bonds to the extent of the sum or sums so paid. So long as DTC or its nominee is the registered owner of the Series 2020B Bonds, disbursement of such payments to DTC Participants is the responsibility of DTC, and the disbursement of such payments to Beneficial Owners is the responsibility of DTC Participants or Indirect Participants, as more fully described herein.

Redemption. The Series 2020B Bonds shall be subject to optional and mandatory sinking fund redemption prior to maturity as follows:

Optional Redemption. The Series 2020B Bonds are subject to redemption prior to maturity, at the option of the City, from funds from any source, on and after August 1, 2027, in whole or in part at any time, at a redemption price equal to the principal amount of the Series 2020B Bonds being redeemed, plus accrued interest to the date of redemption. If fewer than all of the Series 2020B Bonds shall be called for redemption, the particular maturities of the Series 2020B Bonds to be redeemed shall be selected by the City in its discretion.

Mandatory Sinking Fund Redemption. The Series 2020B Bonds maturing on August 1, 2042 shall be subject to mandatory sinking fund redemption, at a price equal to the principal amount being redeemed plus accrued interest to the date of redemption, on August 1 of the years and in the amounts as follows:

Series 2020B Bonds Due August 1, 2042

Year	Amount
2036	$1,295,000
2037	1,330,000
2038	1,365,000
2039	1,410,000
2040	1,450,000
2041	1,495,000
2042 (maturity)	1,540,000

Partial Redemption of a Series 2020B Bond. If fewer than all of the Series 2020B Bonds of any one maturity shall be called for redemption, the particular Series 2020B Bonds or portions thereof to be redeemed from such maturity shall be selected by lot by the Trustee. In selecting Series 2020B Bonds for redemption prior to maturity, in the case any outstanding Series 2020B Bond is in a denomination greater than $5,000, each $5,000 of face value of such Series 2020B Bond shall be treated as a separate Series 2020B Bond in the denomination of $5,000; provided, however, that so long as DTC or its nominee is the sole registered owner of the Series 2020B Bonds, the particular Series 2020B Bonds or portions thereof to be redeemed within a maturity shall be selected by lot in such manner as DTC shall determine.

Notice of Redemption. Notice of the call for any redemption, identifying the Series 2020B Bonds or portions thereof (which shall be $5,000 or a multiple thereof) to be redeemed and the date on which they shall be presented for payment, shall be given by the Trustee, not less than thirty (30) nor more than sixty (60) days prior to the date fixed for redemption, by mailing a copy of the redemption notice by first class mail, postage prepaid, or sending a copy of the redemption notice via other standard means, including electronic or facsimile communication, to all registered owners of the Series 2020B Bonds to be redeemed. Failure to mail or send an appropriate notice or any such notice to registered owners of Series 2020B Bonds to be redeemed by mailing, shall not affect the validity of any proceeding for the redemption of any Series 2020B Bond with respect to which no such failure or defect has occurred. After the date fixed for redemption, no further

interest shall accrue on any Series 2020B Bond called for redemption if funds for their redemption have been deposited with the Trustee as provided in the Authorizing Ordinance.

Notwithstanding the above, so long as DTC or its nominee is the sole registered owner of the Series 2020B Bonds, notice of redemption will be given only to Cede & Co., as nominee for DTC. **The Trustee will not give any notice of redemption to the Beneficial Owners of the Series 2020B Bonds**.

Additional Bonds. The City may issue from time to time one or more series of Additional Bonds for the purpose of (i) making future extensions, betterments or improvements to the System; (ii) refunding the Series 2020B Bonds, the Parity Bonds, any series of Additional Bonds or Subordinate Bonds issued for such purposes; or (iii) any combination thereof. Additional Bonds shall be secured equally and ratably with the Series 2020B Bonds, the Parity Bonds and any other Additional Bonds theretofore issued and then outstanding, except insofar as any terms or conditions of redemption or purchase established under the Authorizing Ordinance may afford additional benefit or security for the Bonds of any particular series. Before the issuance of any such Additional Bonds, there shall be delivered to the City and the Trustee a statement by an Accountant reciting the opinion, based upon necessary investigation, that the Net Revenues of the System for the fiscal year immediately preceding the fiscal year in which it is proposed to issue such Additional Bonds were equal to not less than 120% of the average annual principal and interest requirements on all then outstanding System Bonds, plus the Additional Bonds then proposed to be issued.

The term "Net Revenues" means gross revenues of the System less operation and maintenance expenses other than depreciation, interest and amortization of deferred bond discount expenses, determined in accordance with generally accepted accounting principles applicable to municipal sewer utilities.

In making the computation described above, the City, and the Accountant on behalf of the City, may, based upon the opinion or report of a registered professional engineer not in the regular employ of the City, treat any increase in System rates enacted subsequent to the first day of the immediately preceding fiscal year as having been in effect throughout such fiscal year and may include in gross revenues of the System for such fiscal year the amount that would have been received, based on such opinion or report, had the rate increase been in effect throughout such preceding fiscal year.

Subordinate Obligations. Nothing in the Authorizing Ordinance prevents the City from authorizing and issuing bonds, notes, bond anticipation notes, warrants, certificates or other obligations or evidences of indebtedness, the payment of the principal of and premium, if any, and interest on which shall be made from Net Revenues, provided payments from Net Revenues and the lien and charge on such Net Revenues shall be made junior and subordinate to the lien, pledge and charge created in the Authorizing Ordinance for the security and payment of the Bonds.

Transfer or Exchange. The Series 2020B Bonds may be transferred on the books of registration kept by the Trustee by the registered owner in person or by the owner's duly authorized attorney, upon surrender thereof, together with a written instrument of transfer duly executed by the registered owner or the owner's duly authorized attorney. Upon surrender for transfer of any Series 2020B Bond at the principal corporate office of the Trustee, the City shall execute and the Trustee shall authenticate and deliver in the name of the transferee or transferees a new Series 2020B Bond or Bonds of the same maturity, in the same aggregate principal amount and of any authorized denomination or denominations.

Transfers of registration or exchanges of Series 2020B Bonds shall be without charge to the holders of such Series 2020B Bonds, but any taxes or other governmental charges required to be paid with respect to the same shall be paid by the holder of the Series 2020B Bond requesting such transfer or exchange as a condition precedent to the exercise of such privilege. Neither the City nor the Trustee shall be required to transfer or exchange any Series 2020B Bond selected for redemption in whole or in part.

So long as DTC or its nominee is the sole registered owner of the Series 2020B Bonds, transfers of beneficial interests in the Series 2020B Bonds shall be in accordance with the rules and procedures of DTC and its direct and indirect participants. See the caption "**BOOK-ENTRY ONLY SYSTEM**" herein.

SECURITY FOR THE SERIES 2020B BONDS

General. The Series 2020B Bonds are not general obligations of the City, but are special obligations payable solely from and secured by a pledge of the Net Revenues derived from operation of the System. The Series 2020B Bonds do not constitute an indebtedness of the City within the meaning of any constitutional or statutory debt limitation. The issuance of the Series 2020B Bonds shall not directly, indirectly or contingently obligate the City to levy or pledge any taxes whatsoever or to make any appropriation for the payment of the Series 2020B Bonds except as described herein with respect to the Net Revenues of the System.

The Series 2020B Bonds are issued and secured on a parity basis with an existing pledge of Net Revenues securing the Series 2020B Bonds and the Parity Bonds. The Series 2020B Bonds, the Parity Bonds and any Additional Bonds hereafter issued are herein collectively referred to as the "Bonds." The pledge of Net Revenues securing the Bonds is prior and senior to the pledge of Net Revenues securing the Subordinate Bonds.

Rate Covenant. In the Authorizing Ordinance, the City covenants and agrees that the rates and charges fixed for services of the System will never be reduced while any of the Series 2020B Bonds are outstanding unless there shall be obtained from an independent certified public accountant a certificate to the effect that the Net Revenues with the reduced rates will be equal to the amount required by the Authorizing Ordinance to be set aside for the Depreciation Fund and leave a balance equal to at least 130% of the average annual principal and interest requirements on all outstanding System Bonds. The City further covenants and agrees in the Authorizing Ordinance that System rates shall, if and when necessary, be increased in such manner and amount as will produce revenues at least sufficient to pay the principal and interest on all System Bonds when due, to pay the operation and maintenance expenses of the System, and to deposit the amounts required to be paid into the Depreciation Fund in accordance with the Authorizing Ordinance. In the Authorizing Ordinance, the City represents that existing System rates will produce total revenues at least sufficient to pay the operation and maintenance expenses of the System, to pay the principal of and premium, if any, and interest on all outstanding System Bonds and trustee fees in connection therewith, to deposit the amounts required to be paid into the Depreciation Fund and any debt service reserves and to reimburse the Reserve Insurer (as defined below) for any amounts owing with respect to the Reserve Policy (as defined below). See **SUMMARY OF THE AUTHORIZING ORDINANCE**, Rates and General Covenants to Operate.

Debt Service Reserve. The Debt Service Reserve, established within the Bond Fund, will be funded with a municipal bond debt service reserve insurance policy (the "Reserve Policy") issued by Build America Mutual Assurance Company, New York, New York (the "Reserve Insurer"). The face amount of the Reserve Policy will be an amount equal to the lesser of (i) the maximum annual principal and interest requirement on the Series 2020B Bonds or (ii) 10% of the principal amount of the Series 2020B Bonds. See **THE AUTHORIZING ORDINANCE**, The Debt Service Reserve Fund.

MUNICIPAL BOND DEBT SERVICE RESERVE INSURANCE POLICY

Concurrently with the issuance of the Series 2020B Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Debt Service Reserve Insurance Policy relating to the Bonds (the "Reserve Policy").

The Reserve Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Series 2020B Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Series 2020B Bonds. BAM does not guarantee the market price or liquidity of bonds (including the Series 2020B Bonds), nor does it guarantee that the rating on bonds (including the Series 2020B Bonds) will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of June 30, 2020 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $488.7 million, $143.6 million and $345.1 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Series 2020B Bonds or the advisability of investing in the Series 2020B Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "MUNICIPAL BOND DEBT SERVICE RESERVE INSURANCE POLICY".

BAM GreenStar Bonds

The Series 2020B Bonds have been designated BAM GreenStar Bonds because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principals

(GBPs) developed by the International Capital Markets Association (ICMA). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and is Climate Bond Initiative approved verifier. The Credit Profile prepared by BAM for the Series 2020B Bonds will identify which of the following GBP categories applies to the Series 2020B Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings.

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the Credit Profile for the Series 2020B Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

The BAM GreenStar designation is based upon information obtained by BAM, which information BAM believes to be reliable, at the time of the issuance of the Series 2020B Bonds. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

BOOK-ENTRY ONLY SYSTEM

The Series 2020B Bonds will be issued only as one fully registered Series 2020B Bond for each maturity, in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"), as registered owner of all the Series 2020B Bonds. The fully registered Series 2020B Bonds will be retained and immobilized in the custody of or on behalf of DTC.

DTC, or its successor, will act as securities depository for the Series 2020B Bonds. The Series 2020B Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2020B Bond certificate for each maturity will be issued in the principal amount of the maturity and will be deposited with DTC.

Owners of any book entry interests in the Series 2020B Bonds (the "book entry interest owners") described below, will not receive or have the right to receive physical delivery of the Series 2020B Bonds, and will not be considered by the City and the Trustee to be, and will not

have any rights as, owners or holders of the Series 2020B Bonds under the bond proceedings and the Authorizing Ordinance except to the extent, if any, expressly provided thereunder.

CERTAIN INFORMATION REGARDING DTC AND DIRECT PARTICIPANTS IS SET FORTH BELOW. THIS INFORMATION HAS BEEN PROVIDED BY DTC. THE CITY, THE UNDERWRITER AND BOND COUNSEL ASSUME NO RESPONSIBILITY FOR THE ACCURACY OF SUCH STATEMENTS.

DTC is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds securities that its participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges among Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). The DTC Rules applicable to its Direct and Indirect Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Series 2020B Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2020B Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2020B Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase, Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2020B Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Series 2020B Bonds, except in the event that use of the Book-Entry System for the Series 2020B Bonds is discontinued.

To facilitate subsequent transfers, all Series 2020B Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2020B Bonds with DTC and their registration in the name of Cede & Co. or such other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2020B Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2020B Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Redemption notices shall be sent to DTC. If less than all of the Series 2020B Bonds within a maturity are to be redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the Series 2020B Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the Record Date. The Omnibus Proxy will assign Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2020B Bonds are credited on the Record Date (identified in a listing attached to the Omnibus Proxy).

Payment of debt service and redemption proceeds with respect to the Series 2020B Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City or the Trustee on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds and debt service to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

BENEFICIAL OWNERS SHOULD CONSULT WITH THE DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS FROM WHOM THEY PURCHASE A BOOK ENTRY INTEREST TO OBTAIN INFORMATION CONCERNING THE SYSTEM MAINTAINED BY SUCH DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS TO RECORD SUCH INTERESTS, TO MAKE PAYMENTS, TO FORWARD NOTICES OF REDEMPTION AND OF OTHER INFORMATION.

THE CITY AND THE TRUSTEE HAVE NO RESPONSIBILITY OR LIABILITY FOR ANY ASPECTS OF THE RECORDS OR NOTICES RELATING TO, OR PAYMENTS MADE ON ACCOUNT OF, BOOK ENTRY INTEREST OWNERSHIP, OR FOR MAINTAINING, SUPERVISING OR REVIEWING ANY RECORDS RELATING TO THAT OWNERSHIP.

The Trustee and the City, so long as a book entry method of recording and transferring interest in the Series 2020B Bonds is used, will send any notice of redemption or of any Authorizing Ordinance amendment or supplement or other notices to Bondholders under the Authorizing Ordinance only to DTC (or any successor securities depository) or its nominee. Any failure of DTC to advise any Direct Participants, or of any Direct Participants or Indirect Participants to notify any Beneficial Owner, of any such notice and its content or effect will not affect the validity of the redemption of the Series 2020B Bonds called for redemption, the Authorizing Ordinance amendment or supplement, or any other action premised on notice given under the Authorizing Ordinance.

The City and the Trustee cannot and do not give any assurances that DTC, Direct Participants, Indirect Participants or others will distribute payments of debt service on the Series 2020B Bonds made to DTC or its nominee as the registered owner of the Series 2020B Bonds, or any redemption or other notices, to the Beneficial Owners, or that they will do so on a timely basis, or that DTC will serve and act in a manner described in this Official Statement.

DTC may discontinue providing its services as securities depository with respect to the Series 2020B Bonds at any time by giving reasonable notice to the City or the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, bond certificates are required to be printed and delivered.

In addition, the City may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, bond certificates will be printed and delivered.

SOURCES AND USES OF FUNDS

The Series 2020B Bonds are being issued to (i) advance refund the Bonds Refunded, (ii) pay a premium for the Reserve Policy and (iii) pay expenses of issuing the Series 2020B Bonds.

A portion of the Series 2020B Bond proceeds and other available funds will be held by the trustee for the Bonds Refunded and invested in United States Treasury Obligations, which will mature and bear interest at such times and in such amounts as will, together with uninvested cash, provide a cash flow to pay principal of and interest on the Bonds Refunded through August 1, 2022 and to redeem the Bonds Refunded maturing on and after August 1, 2023 on August 1, 2022.

The proceeds of the Series 2020B Bonds are expected to be used as follows:

Sources of Funds	
Principal Amount of Series 2020B Bonds	$22,850,000
Existing Funds for Bonds Refunded	2,370,289
Total Sources:	$25,220,289
Uses of Funds	
Refunding Costs	$24,856,668
Underwriter's Discount	182,800
Costs of Issuance and Debt Service Reserve Policy Premium	180,821
Total Uses:	$25,220,289

The payment of the Underwriter's discount, debt service reserve policy premium and the costs of issuing the Series 2020B Bonds relating to the payment of professional fees will be contingent on the Series 2020B Bonds being issued. See **MISCELLANEOUS -** Underwriting for a description of the Underwriter's discount.

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DEBT SERVICE REQUIREMENTS

As of the date of closing, the Parity Bonds, the Series 2020B Bonds and the Subordinate Bonds will constitute the only debt obligations secured by revenues of the System. It is the present intention of the City and the Utility to issue certain additional indebtedness to finance capital improvements to the System. See the caption "**THE SYSTEM -** Capital Improvement Plans" herein. The following table details amounts required to pay scheduled principal and interest on the Parity Bonds, the Series 2020B Bonds and the Subordinate Bonds during each calendar year as noted.

Year	Parity Bond Debt Service	Series 2020B Bond Principal	Series 2020B Bond Interest	Series 2020B Bond and Parity Bond Debt Service	Subordinate Bond Debt Service	Total Debt Service
2020	$ 17,430,091.28			$ 17,430,091.28	$ 5,457,597.00	$ 22,887,688.28
2021	15,846,603.78		$ 349,147.76	16,195,751.54	3,739,856.00	19,935,607.54
2022	15,850,666.28		528,122.66	16,378,788.94	4,526,523.00	20,905,311.94
2023	12,559,216.28		528,122.66	13,087,338.94	4,912,897.00	18,000,235.94
2024	12,993,116.28	$ 365,000	528,122.66	13,886,238.94	13,667,390.00	27,553,628.94
2025	12,650,241.28	1,055,000	524,863.20	14,230,104.48	13,667,390.00	27,897,494.48
2026	13,003,150.65	1,070,000	514,070.56	14,587,221.21	13,667,390.00	28,254,611.21
2027	12,998,797.52	1,080,000	500,556.46	14,579,353.98	13,667,390.00	28,246,743.98
2028	12,990,637.52	1,100,000	484,864.06	14,575,501.58	13,667,390.00	28,242,891.58
2029	12,976,768.77	1,115,000	466,417.06	14,558,185.83	13,667,365.00	28,225,550.83
2030	14,103,475.02	1,135,000	446,046.00	15,684,521.02	13,417,404.00	29,101,925.02
2031	14,109,568.77	1,160,000	424,174.56	15,693,743.33	13,443,048.00	29,136,791.33
2032	14,101,725.02	1,180,000	400,661.36	15,682,386.38	13,419,552.00	29,101,938.38
2033	14,104,200.02	1,205,000	375,562.76	15,684,762.78	12,397,448.00	28,082,210.78
2034	14,109,500.02	1,235,000	348,727.40	15,693,227.42	12,405,356.00	28,098,583.42
2035	14,116,318.76	1,265,000	319,865.46	15,701,184.22	12,207,695.00	27,908,879.22
2036	14,120,868.76	1,295,000	289,037.40	15,704,906.16	12,003,990.00	27,708,896.16
2037	10,580,743.76	1,330,000	251,171.60	12,161,915.36	11,337,203.00	23,499,118.36
2038	959,593.76	1,365,000	212,282.40	2,536,876.16	11,372,917.00	13,909,793.16
2039	584,081.26	1,410,000	172,369.80	2,166,451.06	11,409,440.00	13,575,891.06
2040	584,943.76	1,450,000	131,141.40	2,166,085.16	9,758,792.00	11,924,877.16
2041	585,318.76	1,495,000	88,743.40	2,169,062.16	9,758,792.00	11,927,854.16
2042	585,206.26	1,540,000	45,029.60	2,170,235.86	9,758,792.00	11,929,027.86
2043	584,606.26			584,606.26	9,758,792.00	10,343,398.26
2044	587,900.00			587,900.00	9,506,044.00	10,093,944.00
2045	585,518.76			585,518.76	9,506,044.00	10,091,562.76
2046	587,631.26			587,631.26	9,506,044.00	10,093,675.26
2047	584,068.76			584,068.76	9,506,044.00	10,090,112.76
2048					9,506,044.00	9,506,044.00
2049					9,506,044.00	9,506,044.00
2050					8,600,562.00	8,600,562.00
2051					6,800,187.00	6,800,187.00
2052					5,944,876.00	5,944,876.00
2053					4,784,629.00	4,784,629.00
Totals	$254,874,558.61	$22,850,000	$7,929,100.22	$285,653,658.83	$ 346,256,927.00	$ 631,910,585.83

The Subordinate Bonds are owned by the Arkansas Development Finance Authority ("ADFA") as part of the Arkansas Drinking Water Revolving Loan Fund Program, which is administered by the Arkansas Natural Resources Commission ("ANRC"). ANRC has approved the modification of the amortization schedules for the following Subordinate Bonds: the Series 2007B Bond, the Series 2009A Bond, the Series 2013 Bond, the Series 2016A Bond, the Series 2018 Bond and the Series 2019 Bond (collectively, the "Modified Subordinate Bonds"). Such modifications are expected to be accomplished prior to December 31, 2020.

The amortization schedules for the Modified Subordinate Bonds will be modified by moving all principal payments due on the Modified Subordinate Bonds in 2021, 2022 and 2023 to the end of each maturity, which will extend the maturity of the Series 2019 Bond by one (1) year and will extend the maturities of the Series 2007B Bond, the Series 2009A Bond, the Series 2013 Bond, the Series 2016 Bond and the Series 2018 Bond each by three (3) years. The interest and service fees due on the Modified Subordinate Bonds will remain due and payable as originally scheduled. The debt service requirements schedule for the Subordinate Bonds set forth above reflects the modified amortization schedules on the Modified Subordinate Bonds. In addition, the debt service requirements schedule above includes debt service anticipated on the Subordinate 2020 Bond, which the City expects to issue prior to December 31, 2020. The Subordinate 2020 Bond will be authorized as a draw down bond in the principal amount of $7,500,000; however, the Utility presently expects to draw down the total principal amount of $4,234,264, which lesser principal amount is reflected in the debt service requirements chart above.

The debt service requirements schedule above also assumes that the total principal amount of the Series 2016A Bond, the Series 2018 Bond, the Series 2019 Bond and the Series 2020A Bond, each of which was issued as a draw down bond, has been fully drawn down.

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DEBT SERVICE COVERAGE

The following table shows Net Revenues available to pay System debt service on the basis of the audited financial statements of the System (attached hereto as Appendix A) for the fiscal years ended December 31, 2019 and 2018, and the extent to which average annual debt service on the Parity Bonds, the Series 2020B Bonds and the Subordinate Bonds is covered by such moneys.

Net Revenues Available for Debt Service(A) [1]	$31,594,513
Average Annual Debt Service Requirement for Series 2020B Bonds and Parity Bonds(B)	$10,201,916
Debt Service Coverage(A/B)	3.10x
Average Annual Debt Service Requirement for Series 2020B Bonds, Parity Bonds and Subordinate Bonds(C)	$18,585,605
Debt Service Coverage(A/C)	1.70x

[1] Operating revenues of the System less operation and maintenance expenses other than depreciation, interest and amortization of deferred bond discount expenses, plus $1,027,034 of interest income, determined in accordance with accounting principles generally accepted in the United States of America.

THE NET REVENUES AVAILABLE FOR SYSTEM DEBT SERVICE SET FORTH ABOVE ARE BASED ON THE HISTORICAL RESULTS OF OPERATION OF THE SYSTEM. FUTURE NET REVENUES AVAILABLE FOR DEBT SERVICE WILL DEPEND ON NUMEROUS FACTORS, AND THERE CAN BE NO ASSURANCE THAT FUTURE NET REVENUES AVAILABLE FOR SYSTEM DEBT SERVICE WILL APPROXIMATE SUCH HISTORICAL RESULTS.

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THE SYSTEM

General. Prior to 1935, the System consisted of a series of discontinuous neighborhood systems discharging partially treated sewage into neighborhood septic tanks or directly into open streams and ditches. The sewers were maintained in part by the Street Department of the City and in part by neighborhood volunteers.

In May 1935, the City created the System and, pursuant to Act No. 132 of 1933, appointed the City's first Sanitary Sewer Committee. Initially the Sanitary Sewer Committee was charged with the responsibility for administering a Public Works Administration grant made to the City for the purpose of constructing a series of trunk sewers for transporting and discharging collected wastes into the Arkansas River. This undertaking was the City's first major capital project and was completed in two years at a cost of $1,640,000. The new system provided the first central sewer collection facilities in the City's history. In 2015, the Sanitary Sewer Committee was renamed the Little Rock Water Reclamation Commission (the "Commission"). In 2017, the Utility, formerly Little Rock Wastewater, was renamed the Little Rock Water Reclamation Authority. The System is presently operated and managed by the Commission through the Utility.

In the 85 years since its creation, the System has been operated and improved exclusively from the collection of user charges and fees, supplemented by Federal grants for some capital improvements. During these years, the service area has been greatly expanded such that at present it includes over 124 square miles containing approximately 1,384 miles of public sewers serving approximately 69,149 homes and businesses.

The facilities of the System include 30 remote, unattended pumping stations, a peak flow attenuation storage/pumping facility, one tertiary treatment plant and two secondary treatment plants discharging into the Arkansas River. The Little Maumelle Plant was completed in July 2011. This activated sludge treatment plant of 4 million gallons per day ("MGD") was built so that it could be expanded to 16 MGD. The Adams Field Plant, constructed in 1961, has a biological treatment capacity of 36 MGD and a hydraulic peak capacity of 94 MGD with the most recent retrofit completed in 2007 to include odor control, UV disinfection, grit removal, stand-by generation and hydraulic capacity upgrade. The Fourche Creek Plant, constructed in 1983, has design capacity of 16 MGD for the biological treatment process and 36 MGD for the hydraulic peak capacity. Recent improvements will increase hydraulic capacity of the plant from 36 MGD to 45 MGD. Sewage sludge from all plants is processed at the Fourche Creek Plant in anaerobic digesters and resulting methane gas is used as a fuel for electric generation supplying the Fourche Creek Plant for all its electrical needs.

Capital Improvement Plan. The Capital Improvement Plan is a multiyear plan to address capital projects outlined in the System Evaluation and Capacity Assurance Plan (the "2002 SECAP"), which was completed in 2002 and adopted as part of the Sierra Club Settlement Agreement dated September 12, 2001 (the "Settlement Agreement"). See "**THE SYSTEM** – Litigation." In 2006, the Arkansas Department of Environmental Quality ("ADEQ") and the Utility signed a Consent Administrative Order ("CAO") to address sanitary sewer overflows. The CAO generally adopts the capital improvement implementation plan outlined in the 2002 SECAP and provides certain benchmarks for the completion of the projects outlined therein. The deadline to complete the requirements of the Settlement Agreement and the CAO was originally January 1, 2016. In 2010, the Utility commissioned an update to the 2002 SECAP (the "2010 SECAP"), and, as a result, the Sierra Club and ADEQ agreed to extend the deadline for complying with the Settlement Agreement and the CAO to December 31, 2018.

In late 2014 and early 2015, Utility staff met with the Sierra Club and ADEQ with an update on its progress in meeting the requirements of the Settlement Agreement and the CAO and to request an extension to meet such requirements. On April 15, 2015, Amendment No. 2 to the CAO was approved and ADEQ granted the Utility an extension of the CAO deadline to December 31, 2023.

The ten-year capital improvement plan set forth in the 2020 budget represents the capital expenditures required to meet the goals of the 2002 SECAP, the 2010 SECAP and the new Collection System Overflow Mitigation Projects plan, which was approved in 2015 (collectively

with the 2002 SECAP and the 2010 SECAP, the "SECAP"). The SECAP is updated annually to reflect the latest priorities, updated cost estimates and available funding.

The Utility estimates that capital improvements required over the next ten years, both to comply with the Settlement Agreement and the CAO, asset renewal projects and for routine improvements, will cost $248,400,000 and will include specifically, without limitation, the following:

A. Collection System Rehabilitation Capacity Assurance Projects. Various rehabilitation projects are forecast to require expenditures totaling over $107,800,000 over the next ten years. The total cost of work scheduled during 2020 is $38,300,000 and will be funded with proceeds of the Subordinate Bonds. The balance of the cost will be funded with System revenues and System revenue bonds expected to be issued prior to 2024.

B. Trenchless Sewer Line Renewal. Trenchless sewer line rehabilitation is for the renewal of structurally deteriorated line segments that contribute to non-capacity overflows. The line segments for trenchless rehabilitation are typically located in areas where replacement by reconstruction is costly due to site restrictions. For 2020, $3,000,000 is forecasted for trenchless rehabilitation work. The Utility is projecting that $21,500,000 will be needed for years 2020 to and including 2029. This project is being funded with Subordinate Bonds, System revenues and System revenue bonds expected to be issued through 2024.

C. Jamison Pump Station Upgrade. The Jamison Road Pump Station was constructed in 1993. The station consists of five submersible pumps which include two 25 hp and three 150 hp pumps. There are two grinders and screens – one on each of the inlet channels. Dry weather flow at the station is approximate 2 MGD. Peak pumping capacity is approximately 16 MGD. Overall the wet well, valve vault, and building structure are in good condition and the station is functioning as designed. No changes are immediately required but the SECAP recommended installing back-up power, painting the ferrous surfaces at the station, and replacing the grinders with a mechanical bar screen when maintenance of the grinders becomes an issue. The project is scheduled to start in 2020 and be completed in 2021. The total cost is estimated to be $2,300,000 with funding sources from System revenues and subordinate bonds.

D. Adams Field Wastewater Treatment Facility Parallel Treatment Installation and Disinfection Upgrade. To help reduce wet-weather overflows, the Utility plans to increase the peak flow treatment capacity of its Adams Field Wastewater Treatment Facility ("AFWTF") to 94 MGD by installing Mega-Disk pile cloth media filtration as additional treatment facilities that will be operated in parallel with the existing activated sludge facilities. The project construction is expected to be completed by 2020. The total capital cost for this project is estimated at $34,100,000. The funding source will be the Series 2016A Bond and subordinate bonds.

E. Adams Field Wastewater Treatment Facility Asset Renewal Phase II. Based on current trends and in anticipation of future regulatory requirements on nutrient removal, the Utility created a project for projected upgrades to facilities through the design phase for nutrient removal. Estimated expenditures through 2025 (estimated completion date) are $4,700,000 and will be funded by System revenues and subordinate bonds.

F. Two Rivers Park Station. The Two Rivers Park Pump Station would allow the Walton Heights area sewer to operate independently during all wasting activities at Little Maumelle Wastewater Treatment Facility (LMWTF). The Walton Heights gravity line valve must be shut during wasting or the flows from the LMWTF will back up in the lines and cause stoppages and overflows. This project would allow the flexibility to waste at the treatment plant when needed. The project is scheduled to start in 2020 and finish in 2022. Estimated total costs is $3,400,000 with funding from subordinate bonds.

The City plans to issue prior to December 31, 2020, a Water Reclamation System Revenue Bond (the "Subordinate 2020 Bond") in the maximum principal amount of $7,500,000. The Subordinate 2020 Bond will be secured by a pledge of Net Revenues, which pledge will be junior and subordinate to the pledge of Net Revenues securing the Bonds.

Awards. The Utility has received awards from the Environmental Protection Agency ("EPA"), the National Association of Clean Water Agencies ("NACWA"), formerly known as the Association of Metropolitan Sewerage Agencies ("MSA"), which is a national association of municipal authorities operating sewer systems throughout the United States, and other state and local organizations. In 1989, the Utility was awarded the EPA Region 6 Administrators Environmental Excellence Award on Beneficial Sewerage Sludge Use Regional Award, Pretreatment Program Implementation, and Beneficial Use of Municipal Wastewater Sludge-State Award. In 1990 through 2000, the Utility was awarded the AMSA Peak Performance Gold Award for achieving 100% compliance with the System's National Pollutant Discharge Elimination System ("NPDES") permits. In 1991, the Utility was awarded the EPA Region 6 Administrators Environmental Excellence Award for Exemplary Implementation of Industrial Pretreatment Program and the EPA Region 6, Regional Environmental "Compliance Plus" Recognition Award for Maintaining Regulatory Compliance and Implementing Innovative Solutions to Environmental/Public Health Problems. In 1992, the Utility received an EPA Region 6 Certificate of Appreciation in Recognition of the City's Contribution to the Region's Beneficial Sewerage Sludge Use Program and the City's Leadership in Promoting the Beneficial Use of Sludge. In 1993, the Utility was awarded the Regional Administrators Environmental Excellence Award in Excellent Wastewater Treatment Operations and Maintenance and the AMSA Public Information and Education Award to Recognize the Outstanding Leadership in the Protection and Improvement of our Nation's Water Quality for Little Rock Wastewater Utility's Captain Sewer Water Conservation Education Program. In 1994, the Utility received the National Association of Professional Environmental Communicators Environmental Education Merit Award for the Captain Sewer Environmental Education Program and the first of many United Way Awards of Recognition (1995, 1997, 1998 and 2001). The Utility received the Arkansas Department of Labor Accumulative Safety Award in 1995 for the dates of July 23, 1993 to September 30, 1995. In 1997, the Utility received the Water Environment Federation Public Education Award for Outstanding Volunteer Commitment and Inspirational Leadership for Clean Water for the 21st Century. In 2003, the Utility received the AMSA Peak Performance Gold Award for achieving 100% compliance with the System's NPDES permits and Best Large Partnership Volunteers in Public Schools. In years 2004 through 2015, the Utility received the Certificate of Achievement for Excellence in Financial Reporting for the Little Rock Wastewater Comprehensive Annual Financial Report from the Government Finance Officers Association. NACWA awarded the Utility 2 Gold Peak Performance Awards for both treatment facilities three years in a row in 2006, 2007 and 2008. NACWA also awarded the Utility the National Environmental Achievement Award for our Can the Grease® program in 2007. The Arkansas Department of Labor recognized the Utility for having worked 1 million man hours without a lost-time accident between the years 2004 and 2006. In 2007, CEO of the Utility, Reggie Corbitt, P.E., was presented the "William D. Hatfield Award" by the Water Environmental Federation. The Utility received the George W. Burke Jr. Facility Safety Award from the Water Environment Federation (WEF) and the Arkansas Water Environment Association's (AWEA) Safety Professional of the Year Award in 2008. The Little Rock School District awarded the Utility the "ViPS" award for excellence in volunteering with Little Rock Central High in 2008. Also in 2008, the Utility was recognized for its 30 year membership in the National Institute of Governmental Purchasing (NIGP), and in years 2009 through 2013 the Universal Public Purchasing Certification Council (UPPCC) publically recognized the Utility for having a 100% fully certified purchasing department. The Utility was bestowed the 2009 Environmental Stewardship Award (aka the Envy) for its Can the Grease® program by the Arkansas Department of Environmental Quality (ADEQ). Because of the Utility's "exceptional marketing success" in 2009, the U.S. Commerce Association (USCA) awarded the Utility the Best of Little Rock Award in the Wastewater Treatment Category. In years 2010 through 2019, the Government Finance Officers Association (GFOA) awarded the Utility the Distinguished Budget Presentation Award on its annual budget report.

Management. The System is governed by the Commission which is comprised of seven residents of the City who are appointed by the City Board of Directors. Members of the Commission serve staggered terms of five years each. Members may be reappointed to the Commission. The

following are the names, occupations and dates of term expiration of the present members of the Commission:

Name	Occupation	Term Expires (August 1)
Chris Marsh, Chair	Economic Development Consultant	2022
Ganelle Holman, Vice-Chair	Fundraising	2021
Debbie Shock, Secretary	Non-Profit Executive	2025
Richard L. Mays, Jr.	Attorney	2024
Bill Flowers	Engineer	2021
Schawnee Hightower	Telecommunication Executive	2023
Lauren Ward	Communications and Public Relations	2024

Key Employees. As of December 31, 2019, the Utility had 214 full-time employees. The following are the names and ages of key employees of the Utility and how long each has been employed by the Utility:

Name	Position	Age	Length of Service (Years)
Greg Ramon	Chief Executive Officer	60	6
Michael Rhoda	Chief Financial Officer	60	1*
Jean Block	Chief Legal Officer	46	4
Howell Anderson, P.E.	Chief Operating Officer	60	22
John Holloway, P.E.	Director of Engineering	60	30
Jamie Ewing	Director of Environmental Assessment	47	2
Walter Collins	Director of Operations	56	29

*The Utility hired Michael Rhoda to serve as Chief Financial Officer effective July 1, 2019. Mr. Rhoda has 35 years of experience including six years in public accounting, 24 years in telecommunications where he held various finance, marketing, operations and government affairs leadership positions and six years as owner and operator of a small, local family-owned franchise business.

Employee Relations and Benefits. None of the employees of the Utility are members of any collective bargaining group.

The Utility offers a voluntary 401(a) qualified pension plan, administered by the Commission, to all of its employees upon initial employment. The 401(a) plan requires that all participating employees contribute 2% to 6% of their base salary depending upon years of service, and the Utility contributes as a match 50% of the employee contributions. Participants are fully vested after five years of service.

The Utility also participates in a cost-sharing multiple-employer plan, administered by the Arkansas Public Employees Retirement System ("APERS"). A contributory plan and a noncontributory plan are offered which provide retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Employer contributions to the APERS plans are actuarially determined on an annual basis. The Utility's contribution rate as of June 30, 2020 was 15.32%. Pursuant to the requirements of Governmental Accounting Standards Board ("GASB") Statement No. 68, the Utility was required to reflect on its 2019 year-end financial statements a portion of the unfunded pension liability of APERS. That portion is based on a projection of the Utility's long-term share of contributions to APERS relative to the projected contributions of all participating members of APERS, actuarially determined. At December 31, 2019, the Utility reported a liability of $17,183,550 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. At June 30, 2019, the Utility's proportion was 0.71226298%, which was an increase of 0.0183731% from its proportion measured as of June 30, 2018. For a detailed discussion regarding the Utility's pension plans, see Note 10 to the audited financial statements of the System in Appendix A hereto.

The Utility provides post-retirement benefits in the form of medical insurance coverage to all eligible retirees and their beneficiaries. At December 31, 2019, there were 23 retirees plus 15 dependents eligible to receive these benefits, which are funded from the Utility's current operations. Expenditures for post-retirement benefits amounted to $131,835 and $137,515 for fiscal years 2019 and 2018, respectively. Initially, GASB Statement No. 45 ("GASB 45"), which became applicable to the Utility as of January 1, 2007, required the disclosure of certain unfunded liabilities relating to post-retirement benefits such as those provided by the Utility. The Utility's healthcare program was evaluated for 2014 as part of a biennial requirement set forth in GASB 45. As of December 2018, GASB Statement Nos. 74 and 75 replaced GASB 45. The new required disclosures on the measure of net Other Post-Employment Benefits ("OPEB") liability can be determined from deferred outflows of resources and deferred inflows of resources related to OPEB and OPEB expenses. This and additional information on the fiduciary net position of the System's healthcare plan can be found in more detail in Note 11 to the audited financial statements of the System in Appendix A attached hereto.

Users. There are currently approximately 70,453 sewer users, of which approximately 703 were located outside City limits. The number of sewer users by category for each of the past five (5) years is as follows:

Year	Residential	Commercial	Industrial	Other[1]	Total
2015	62,239	6,335	73	392	69,039
2016	62,303	6,381	72	393	69,149
2017	62,537	6,407	70	396	69,410
2018	62,565	6,546	69	400	69,580
2019	63,367	6,644	29	413	70,453

[1]Municipalities, schools and other public entities.

The following were the ten largest users of System services, based upon revenues produced from volumetric and availability charges, during 2019:

Customer	2019 Revenues[1]	Percentage of Total 2019 Revenues
Little Rock Quick Rice Foods	$567,026	0.98%
Baptist Medical Center	530,138	0.98
Central Arkansas Water	431,245	0.74
University of Arkansas Medical Science	371,460	0.64
Welspun Tubular	348,977	0.60
V.A. Hospital	347,398	0.59
St. Vincent's Hospital	315,890	0.54
Hiland Dairy	286,029	0.49
Arkansas Children's Hospital	260,375	0.45
Statehouse Convention Center	166,443	0.28
Totals:	$3,624,981	5.31%

[1]Revenues shown are for assessments based on volumetric and availability charges only. Revenues collected from sewer surcharges, connection fees and miscellaneous charges are not included.

Litigation. There is no material litigation pending or threatened against the Utility or the System except as described below:

Sierra Club Litigation. The City, the Commission and the Utility were defendants in a lawsuit filed on January 13, 2000 in the U.S. District Court by the Sierra Club (the "Plaintiff") based upon alleged violations of the federal Clean Water Act and the Resource Conservation and Recovery Act arising out of sanitary sewer overflows ("SSOs") in the System. The Plaintiff sought injunctions for the alleged violations as well as penalties. The City was dismissed as a defendant to this litigation following an appeal to the Circuit Court of Appeals of other issues not involving the Commission. The Plaintiff entered into a written settlement agreement dated September 12, 2001 (the "Settlement Agreement") releasing the Commission's liability for any alleged violations

until the date of the Settlement Agreement. The Settlement Agreement was approved by the Federal District Court. A judgment against the Commission awarding the Plaintiff's statutory attorneys' fees has been paid in full. There are no further sums due the Plaintiff from the Commission in this litigation.

However, pursuant to the Settlement Agreement, the District Court retained jurisdiction for the purpose of enforcing the provisions of the Settlement Agreement incorporated by reference in the judgment, which include certain reporting, notice and maintenance procedures as well as the requirement of completion of a study addressing the elimination of SSOs in the System. These requirements are specified in the Settlement Agreement, and the schedules for developing, adopting and implementing the necessary programs and improvements within specified deadlines, which the Commission has done or is doing, are set forth in a separate SECAP.

Management of the Utility is of the opinion that the Utility is generally in compliance with the provisions of the Settlement Agreement and due to the Utility's success during the past ten consecutive years in reducing dry weather SSOs ("non-capacity SSOs"), the Utility is deemed to have complied with all provisions of the Settlement Agreement relating to non-capacity SSOs. Due to various delays in the acquisition of a site for the Little Maumelle Treatment Plant, selection of the treatment process type for the Little Maumelle Treatment Plant, and adoption of an ordinance increasing sewer rates (November 28, 2006), as well as delay in securing the necessary financing, the Little Maumelle Treatment was not completed as originally proposed, but was completed in July 2011.

The Utility expects to remain in compliance with the Settlement Agreement and will take all reasonable steps in that regard to comply with the provisions of the Settlement Agreement, which will require the expenditure of substantial sums.

Consent Administrative Order of the Arkansas Department of Environmental Quality. On March 9, 2006, ADEQ and the Utility entered into a CAO, which addresses a variety of issues, including, but not limited to, maintenance practices, secondary treatment bypasses at the Adams Field Treatment Plant, administrative requirements, design and performance provisions, monitoring, measurement and program modifications, a sanitary sewer overflow plan, a system evaluation and capacity assurance plan, audits, communications and monetary penalties for failure to comply with performance and specific project completion deadlines. Such penalties range from $100 to $500 per day, depending on the duration of any CAO violation.

On September 6, 2011, Amendment No. 1 to the CAO was approved by ADEQ and the Utility, extending the deadline for the obligations under the Settlement Agreement until December 31, 2018. Amendment No. 1 also required that the Utility submit to ADEQ a schedule of activities necessary to maintain compliance with the 2010 SECAP (defined herein) previously submitted to ADEQ. The 2010 SECAP was completed in November of 2010.

On April 15, 2015, Amendment No. 2 to the CAO was approved by ADEQ and the Utility extending the deadline for complying with the obligations under the Settlement Agreement until December 31, 2023.

The CAO will not terminate until such time as full compliance has been achieved and the Utility is given written notice of termination by ADEQ. Management is of the opinion that the Utility is presently in compliance with the CAO, and is diligently working to complete the various projects mandated by the CAO in accordance with the implementation schedule set forth therein. Management expects to remain in compliance with the CAO throughout its term dependent upon rate increases for debt issuance. The ultimate deadline for compliance with the implementation schedule for completion of the projects required by the CAO is December 31, 2023.

System Rates. The City established current System rates by Ordinance No. 21,080 adopted and approved by the City Board of Directors on August 4, 2015. Such rates are as follows:

A. Service Availability Charge.

1. Inside City – Domestic Customers:

Description Meter Size	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
5/8"	$10.78	$11.29	$11.81	$12.36	$12.93
3/4"	13.88	14.54	15.23	15.95	16.71
1"	20.99	21.99	23.03	24.13	25.27

2. Outside City – Domestic Customers:

Description Meter Size	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
5/8"	$16.17	$16.94	$17.75	$18.59	$19.47
3/4"	20.82	21.81	22.85	23.93	25.07
1"	31.49	32.98	34.55	36.19	37.91

B. Operations Volumetric Charge (for all water consumed per 100 cubic feet).

1. Inside City – Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$1.84	$1.93	$2.02	$2.12	$2.22

2. Outside City – Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$2.77	$2.90	$3.03	$3.18	$3.33

C. Debt Repayment Volumetric Charge (for all water consumed per 100 cubic feet).

1. Inside City – Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$2.14	$2.24	$2.35	$2.46	$2.58

2. Outside City – Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$3.22	$3.37	$3.53	$3.70	$3.87

D. Service Availability Charge.

1. Inside City – Non Domestic Customers:

Description Meter Size	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
5/8"	$10.78	$11.29	$11.83	$12.39	$12.98
3/4"	13.88	14.54	15.23	15.95	16.71
1"	20.99	21.99	23.03	24.13	25.27
1.5"	37.06	38.82	40.66	42.60	44.62
2"	57.51	60.24	63.10	66.10	69.24
3"	105.11	110.10	115.33	120.81	126.54
4"	173.30	181.53	190.15	199.19	208.65
6"	343.71	360.03	377.13	395.05	413.81

2. Outside City – Non Domestic Customers:

Description Meter Size	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
5/8"	$16.17	$16.94	$17.75	$18.59	$19.47
3/4"	20.82	21.81	22.85	23.93	25.07
1"	31.49	32.98	34.55	36.19	37.91
1.5"	55.59	58.23	61.00	63.89	66.93
2"	86.26	90.36	94.65	99.15	103.86
3"	157.66	165.15	172.99	181.21	189.82
4"	259.95	272.30	285.23	298.78	312.97
6"	515.56	540.05	565.70	592.57	620.72

E. Operations Volumetric Charge (for all water consumed per 100 cubic feet).

1. Inside City – Non Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$2.88	$3.02	$3.16	$3.31	$3.47

2. Outside City – Non Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$4.33	$4.53	$4.75	$4.97	$5.21

F. Debt Repayment Volumetric Charge (for all water consumed per 100 cubic feet).

1. Inside City – Non Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$2.51	$2.63	$2.76	$2.89	$3.03

2. Outside City – Non Domestic Customers:

Description	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2021
Flow	$3.78	$3.96	$4.15	$4.35	$4.55

G. Unit Extra Strength Surcharges (Inside and Outside City).

Description Unit Extra Strength Surcharges	Cost Rate Based On Units of	Effective January 1, 2017	Effective January 1, 2018	Effective January 1, 2019	Effective January 1, 2020	Effective January 1, 2019
TSS>600 mg/L	Pounds	$0.17	$0.18	$0.18	$0.19	$0.20
O&G>50 mg/L	Pounds	0.20	0.21	0.22	0.23	0.24
COD>960 mg/L	Pounds	0.20	0.21	0.22	0.23	0.24

Billing Procedures, Delinquency and Uncollectible Accounts. Volumetric charges are based on the water consumption of customers. For residential customers (defined as single family residences or multi-metered, multifamily residences or apartments all of which utilize meters less than one inch in size) only, the monthly volumetric sewer charge is based upon the average monthly water consumption for the months of October, November, December, January, February and March. In the case of water used for irrigation or lawn sprinkling purposes, customers may have an additional water service meter installed so that such water is billed separately without a sewer charge being computed thereon.

Customers whose usage requires rendering a bill by means other than through a water billing by Central Arkansas Water pay an additional monthly service charge as determined by the Utility's schedule of fees.

Bills for System services are due and payable upon presentation. Bills not paid on or within thirty (30) days from the billing date of presentation are considered delinquent and unpaid balances bear interest at the maximum rate permitted by law until paid in full.

The following table details historical account data for the System:

Fiscal Year Ending December 31	System Revenues	Bad Debt Expense	Percentage
2015	$51,175,869	$375,358	0.73%
2016	53,470,585	310,716	0.58
2017	55,286,393	467,369	0.85
2018	60,887,364	316,167	0.52
2019	60,751,848	412,627	0.68

Financial Information. Set forth in Appendix A to this Official Statement are the financial statements regarding the System for the fiscal years ended December 31, 2019 and 2018. These financial statements were prepared in accordance with accounting principles generally accepted in the United States of America and were audited in accordance with auditing standards generally accepted in the United States of America. The financial statements as of December 31, 2019 and 2018 and for the years then ended have been audited by BKD, LLP, independent auditors, as stated by their reports appearing therein. The notes set forth in Appendix A are an integral part of the financial statements, and the statements and the notes should be read in their entirety. The System did not request BKD, LLP to perform any updating procedures subsequent to the date of its audit report on the financial statements for the years ended December 31, 2019 and 2018. BKD, LLP also has not performed any procedures relating to this Official Statement.

The City has covenanted in the Authorizing Ordinance to have System finances audited by an independent certified public accountant at least once each year.

The following table sets forth a summary of the operating results (excluding extraordinary items) of the System for each of the five years ended December 31, 2019, 2018, 2017, 2016 and 2015. The table should be read in conjunction with the audited financial statements and related notes attached as Appendix A.

	Audited				
	2015	2016	2017	2018	2019
Operating Revenues	$51,175,869	$53,470,585	$55,286,393	$60,887,364	$60,751,848
Operating Expenses (Excluding Depreciation Expense)	(23,956,665)	(25,879,136)	(27,196,677)	(28,332,522)	(30,184,369)
Net Operating Income Before Depreciation	27,219,204	27,591,449	28,089,716	32,554,842	30,567,479
Depreciation Expense	(13,722,622)	(14,033,870)	(15,190,118)	(16,099,423)	(17,032,333)
Interest & Other Non-Operating Income	178,696	297,915	464,636	957,559	1,282,573
Interest, Amortization & Non-Operating Expense	(12,245,055)	(9,243,450)	(9,499,884)	(9,890,871)	(8,889,727)
Net Income	$1,430,223	$4,612,044	$3,864,350	$7,522,107	$5,927,992

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THE CITY AND THE COUNTY

General. The City is organized under the laws of the State of Arkansas as a city of the first class. It is the capital of the State and was chartered in 1835.

The City is the largest city in Arkansas as well as the governmental, economic, cultural and financial center of the State. It is nearly equidistant from the four corners of the State and is the county seat of Pulaski County (the "County"). Within a radius of 500 miles from the City are located 24 metropolitan areas and substantial portions of 17 states containing more than one third of the nation's population. Major cities near the City include St. Louis, 360 miles northeast; Kansas City, 400 miles northwest; Atlanta, 520 miles east; New Orleans, 440 miles south; Oklahoma City, 350 miles northwest; Dallas, 310 miles southwest; and Memphis, 135 miles northeast.

The City is served by U.S. Interstates 30 and 40, U.S. Highways 65, 67, 70 and 167, and State Highways 10, 338, 365 and 367. Union Pacific Railroad Company and Amtrak provide railroad service to the City. The Bill and Hillary Clinton National Airport is owned by the City of Little Rock and operated by the Little Rock Municipal Airport Commission, and is served by American Airlines, Delta Airlines, Southwest Airlines, United Airlines, Allegiant Air, and Frontier Airlines.

Government. The City operates under the City Manager/City Board form of municipal government. It has an 11-member Board of Directors, including a directly elected Mayor, with seven Directors elected from wards and three Directors elected city-wide. The Mayor's position is a city-wide elected position and must be elected by at least 40% of the votes cast. If no candidate for Mayor receives 40% or more of the votes cast, the two candidates receiving the most votes will face each other in a run-off election. All Directors and the Mayor serve four-year terms.

At a special election held August 14, 2007, the voters of the City approved two measures which granted to the Mayor greater powers including granting the Mayor veto power over measures adopted by the Board of Directors, subject to override by the Board, the authority to hire and fire the City Manager and City Attorney, subject to Board approval, to fill vacancies on municipal boards and commissions, subject to Board approval, and to prepare the annual budget with the City Manager, subject to Board approval.

The current members of the City of Little Rock Board of Directors are as follows:

Name	Term Expires	Principal Occupation
Frank Scott, Jr., Mayor	December 31, 2022	Mayor, City of Little Rock
B.J. (Brenda) Wyrick, Vice-Mayor	December 31, 2022	State of Arkansas; Enterprise Services Network Division of the Arkansas Department of Information Services
Lance Hines	December 31, 2022	Transportation Consultant/Outside Sales with Priority 1, Inc.
Dean Kumpuris	December 31, 2020	Physician
Gene Fortson[1]	December 31, 2020	Businessman
Ken Richardson	December 31, 2022	Community Activist for Disadvantaged Youth
Capi Peck	December 31, 2020	Restaurateur
Kathy Webb	December 31, 2022	Executive Director of the Arkansas Hunger Relief Alliance
Joan Adcock	December 31, 2020	Community Activist
Erma Hendrix	December 31, 2022	Retired Psychiatric Nurse
Doris Wright	December 31, 2022	Retired Program Manager and Community Activist for West Central Little Rock

[1]Mr. Fortson is also a member of the board of directors for First Security Bancorp, the holding company for the underwriter, Crews & Associates, Inc.

The principal executive officers of the City are:

Office	Name
City Manager	Bruce Moore
Director of Finance	Sara Lenehan
City Attorney	Thomas M. Carpenter

The City Manager and the City Attorney are appointed by the Mayor with approval by the Board of Directors; the Director of Finance is employed by the Mayor and the City Manager.

The City provides a broad range of municipal services, including: Police, Fire, Parks and Recreation, Finance, City Clerk, Personnel, Housing and Neighborhood Programs, Planning, Public Works, Community Services and Information Technology. Boards and commissions have primary responsibility for the operation of the City's Airport, Water Reclamation Authority (formerly the Wastewater Utility), and Emergency Medical Service. The water utilities of the City have been conveyed for operation by a joint board known as Central Arkansas Water consisting of the former Little Rock and North Little Rock Water Utilities.

Employees. The City operates a full service Human Resources Department under the leadership of Stacey Witherell, Human Resources Department Director. City workers are represented by a number of trade unions. The primary ones are the American Federation of State, County and Municipal Employees, representing blue-collar employees; the Fraternal Order of Police, representing police officers; and the International Association of Fire Fighters, representing fire department employees.

As of December 31, 2019 the City employment was as follows:

City Government	Total	Full-Time	Part-Time
AFSCME - Union Eligible	366	366	0
IAFF - Sworn Uniform	394	394	0
FOP - Sworn Uniform	527	527	0
Non-Union - Eligible	1,163	661	502
	2,450	1,948	502
Commissions			
Water Reclamation Authority	214	213	1
Bill & Hillary Clinton National Airport	154	154	0
LR Convention & Visitors Bureau	210	122	88
Port Authority	10	9	1
Metropolitan Emergency Medical Services	383	362	21
Rock Region Metro	191	190	1
Arkansas Museum of Discovery	49	27	22
Arkansas Arts Center	108	47	61
Central Arkansas Library	302	219	83
	1,621	1,343	278
Total Employment	4,071	3,291	780

Bill and Hillary Clinton National Airport. Bill and Hillary Clinton National Airport is located within the city limits of Little Rock and is three miles from downtown. It is served by six airlines. It has three runways and twelve gates (eleven with jetways). In 2019, 1,297,364 passengers traveled through this facility. A total 562,043 passengers had traveled through this facility as of July 2020.

Source: Bill and Hillary Clinton National Airport Website: Fly-LIT.com - Activity Report.

Port of Little Rock. The development of the Arkansas River through the McClellan-Kerr Arkansas River Navigation System has resulted in a 448-mile navigation channel with 18 locks and dams from the Mississippi River northwest to a point 15 miles east of Tulsa, Oklahoma. The ability to provide low-cost, bulk transportation has created opportunities for industrial development in the area.

Little Rock is also the location of Foreign Trade Zone #14. The Zone is located in the Little Rock Port Industrial Park and allows imported goods to be stored or processed without payment of customs duty or posting of bond until the goods are moved out of the Zone and into normal domestic commerce.

The facility includes an Industrial Harbor which is 4,500 feet long, 320 feet wide and 15 feet deep. The Harbor is surrounded by 312 acres of new industrial sites and provides an additional two miles of water frontage.

Source: City of Little Rock, Arkansas Port Authority.

Population. The following chart sets out population data for the City and the County (source: U.S. Bureau of Census):

Year	Little Rock	Pulaski County
2010	193,524	382,748
2000	183,133	361,474
1990	175,795	349,660
1980	159,151	340,613
1960	107,813	242,980

Public Schools. Enrollment in the Little Rock School District, whose boundaries are generally co-extensive with the City limits, has been as follows:

School Year	Enrollment[1]
2019	23,237
2018	23,368
2017	25,930
2016	26,239
2015	22,931

Source: Arkansas Department of Education
[1]Total enrollment

Higher Education. Little Rock offers educational institutions with instruction in undergraduate, graduate and professional fields. The following is a list of colleges and universities located within the Little Rock MSA (or with relatively short commutes) with approximate on-campus enrollments:*

University of Central Arkansas (Conway)	11,177
University of Arkansas - Little Rock	10,515
University of Arkansas - Pulaski Technical College	6,038
University of Arkansas Medical Sciences Campus	2,821
Jacksonville-Little Rock Air Force Base-University Center**	2,300
Hendrix College (Conway)	1,202
Philander Smith College	1,000
Central Baptist College (Conway)	732
Arkansas Baptist College	486
University of Arkansas Bowen School of Law	449

* Fall 2018
** Estimate: Includes numbers from Webster University branch located on that campus.

Building Permits. The following table shows new construction in the City, as reflected by building permits issued, at year end:

	Commercial Construction		Residential Construction	
Year	Number of Permits	Value	Number of Permits	Value
2019	76	$ 85,798,573	413	$125,590,680
2018	31	295,268,496	329	108,394,465
2017	50	138,433,381	481	130,595,311
2016	40	126,870,836	337	97,554,075
2015	45	137,075,636	335	89,366,181

Sources: City of Little Rock Planning Department.

Principal Employers. The City's economy is comprised of a diverse mix of financial, commercial, industrial, government, health and educational sectors. This diversity helps maintain a relatively stable employment environment in the City. The top 10 employers within the boundaries of the City and Pulaski County (except as noted for the MSA) for 2019 were as follows:

Rank	Employer	Product/Service	Employees
1	State Government (MSA)	Government	35,200
2	Local Government (MSA)	Government	26,500
3	Federal Government (MSA)	Government	10,200
4	University of Arkansas for Medical Sciences	Education/Medical Services	9,700
5	Baptist Health	Medical Services	7,340
6	Little Rock Air Force Base	Government	4,500
7	Arkansas Children's Hospital	Medical Services	4,370
8	Little Rock School District	Schools/Education	3,968
9	CHI St. Vincent Health System	Medical Services	3,970
10	Pulaski County Special School District	Schools/Education	3,000

Source: Little Rock Regional Chamber of Commerce.

Employment. The Arkansas Department of Workforce Services has provided the following data about the labor force and rate of unemployment for the Little Rock MSA:

Date	Labor Force	Employed	Unemployed	Unemployment Rate (%)
2020*	345,941	317,321	28,620	8.3
2019	358,940	347,378	11,562	3.2
2018	356,215	344,458	11,757	3.3
2017	353,975	342,207	11,768	3.3
2016	350,349	338,058	12,291	3.5
2015	347,259	331,686	15,573	4.5

*As of July 2020.

Medical Facilities. Little Rock hospitals serve patients throughout Arkansas. Baptist Medical Center, the area's largest hospital, has an 843-bed capacity. Baptist Medical Center, North campus, has a 225-bed capacity. St. Vincent Infirmary Medical Center is a 615-bed general hospital. St. Vincent Medical Center, Sherwood, is a 69-bed general care hospital. The Arkansas Children's Hospital is a 369-bed facility that administers acute pediatric care to children up to age 21. The Central Arkansas Veterans Healthcare System includes two hospitals: Eugene J. Towbin Healthcare Center in North Little Rock, which has a 86-bed capacity; and John L. McClellan Memorial Veterans Hospital, located on the campus of the University of Arkansas for Medical Sciences Medical Center, which has a 305-bed capacity. The Arkansas Heart Hospital is a 110-bed facility specializing in cardiac care. UAMS Medical Center has a 450-bed capacity, and the Arkansas State Hospital is a 321-bed psychiatric facility. Arkansas Surgical Hospital is a 49-bed

surgery and general medical care hospital located in North Little Rock. Conway Regional Medical Center is a 154-bed acute care hospital serving Conway, Faulkner County and North Pulaski County. North Metro Medical Center located in Jacksonville is a 73-bed general care hospital, with 31 of those beds in a specialized unit addressing geriatric care. In 2016, Baptist Health completed construction of a new 96-bed general care hospital in Conway.

Sources: Arkansas Department of Health and U. S. Department of Veterans Affairs.

County Economic Data. Per capita personal income estimates for the County are as follows: [1]

Year	Per Capita Personal Income
2018	$51,185
2017	49,129
2016	47,966
2015	47,398
2014	45,855

Total personal income estimates for the County are as follows:[1]

Year	Total Personal Income
2018	$20,099,504,000
2017	19,338,099,000
2016	18,917,078,000
2015	18,657,989,000
2014	18,020,470,000

[1]Source: Bureau of Economic Analysis, United States Department of Commerce; data for 2019 is not yet available.

Litigation. The City is a party to multiple matters of litigation and regulatory proceedings arising from the City's various governmental activities. No such pending litigation or regulatory proceedings directly impact the System. There are no lawsuits or regulatory proceedings pending or, to the knowledge of the City, threatened against the City, in which claims of damage are made which, individually or in the aggregate, create a financial exposure which would substantially impair the financial solvency of the City.

Pension Plans. Substantially all of the City's employees receive retirement benefits. The City sponsors three single employer defined benefit plans, one agent-multiple employer defined pension plan and two defined contribution pension plans. The City also contributes to three cost-sharing multiple employer defined benefit pension plans. The assets of the plans are maintained in legally separate trusts and each plan's assets may be used only for the payment of benefits to the members of that plan or their beneficiaries in accordance with the terms of the plan.

Information regarding the pension plans as of December 31, 2019 is found in Note 6 to the general purpose financial statements of the City for the fiscal year ended December 31, 2019 which are contained in the City's Comprehensive Annual Financial Report ("CAFR"). The CAFR can be viewed in its entirety, including the accountants' report, notes to the financial statements and required supplementary information on the City's website at www.littlerock.gov.

COVID-19 DISCLOSURE

Utility General Operational and Financial Status

The Utility has been operating in a challenging environment from both a workforce management and economic standpoint. Senior staff implemented shift changes and work-from-home requirements in mid-March in order to protect the workforce. These changes were based on CDC/State of Arkansas guidelines as well as internal safety processes to limit exposure to other employees and citizens of the City. During this time, the Utility has maintained its effectiveness in the collection and treatment of wastewater.

Initial projections of 2020 expected revenue loss due to COVID-19 were $4,000,000 to $5,000,000, or 6-8% of total revenue caused primarily by the initial closure of commercial businesses. Billed revenue reductions were tracking fairly close to the initial loss projections through June but started to improve in July and have continued to improve in August relative to the initial projected losses. If the recent trends continue, the actual 2020 revenue loss will be less than initially projected.

To offset the projected revenue losses, senior staff implemented cost saving measures thereby reducing the Operations and Maintenance expense budget by $1,200,000 and placing certain planned revenue funded capital projects on hold, which will result in a savings of $1,800,000. In total, the operating and capital expenditure reductions will conserve approximately $3,000,000 of cash in 2020.

In total, the net impact of the ultimate revenue loss offset by the cash conservation initiatives is estimated to be $1,000,000 to $1,500,000 in 2020, thereby allowing the System to maintain a strong financial and cash position going into 2021.

Utility Impact from COVID-19 Response

The Utility has incurred minimal additional expenditures caused by the response to COVID-19 through August for safety supplies and PPE for its employees. The Utility expects these expenses to continue to be minimal throughout the remainder of 2020. The Utility is currently working with FEMA and State of Arkansas (CARES) to receive reimbursement of allowable COVID-19 required supplies/services, although the ultimate reimbursement or non-reimbursement will have no impact on the System's financial position.

Disconnections, Late Penalties and Delinquent Sewer Accounts

The Utility in partnership with Utility Billing Services (UBS)/Central Arkansas Water suspended disconnection services in March. The Utility expects to resume disconnections for non-payment in October 2020. Customer notification started in August and will continue in September and beyond. The Utility does not assess penalties for late payments. The expected impact for resuming disconnections is a significant reduction in write-offs, for which the projected increase is included in the overall revenue projections described above.

Normally the Utility incurs less than 1.0% annually in write offs, or approximately $400,000 on total revenues. The System is expected to incur approximately $1,000,000 in write-offs in 2020. Through August 31, 2020, write offs are approximately $700,000. As previously mentioned, the financial impact of the increased write-offs is included in the overall 2020 revenue loss projections.

Billed revenue for domestic accounts (residential) has been consistent based on the Utility's use of the Average Winter Consumption billing, which levelizes customer billing for the year by using water consumption during non-irrigation months. The 2020 revenue from domestic accounts is in-line with budget projections. The non-domestic usage (commercial accounts) decreased significantly starting in mid-March through May but has increased steadily since then. While billed revenue to non-domestic accounts is still not back to budgeted numbers, the gap has closed considerably in both July and August.

No Additional Rate Increase

The Utility has in place a series of five annual rate increases of 4.75% each year starting in 2017 and ending in 2021. The Utility does not expect the need for additional sewer rate increases as a result of COVID-19.

System Cash on Hand and Access to Reserves

At January 1, 2020, the System's Operating and Debt Service Reserve balance was $37,901,000. The Operating and Debt Service Reserve balance is expected to be approximately $41,700,000 by year end, 2020. The Utility fully expects to remain in a strong financial position with adequate resources to fund essential services and make timely debt service payments.

City General Operational and Financial Status

As of the close of the year ended December 31, 2019, the City's governmental funds reported an increase in fund balance of $4,309,671 from the prior year. The General Fund contributed $5,430,482 to the increase in fund balance. Unassigned General Fund balance of $27,447,279 at December 31, 2019 represented 13% of annual revenues. The 2020 Adopted Budget anticipated General Fund revenues and expenses of $212,125,253. On April 1, 2020, the City adopted a budget amendment to reduce General Fund expenditures by approximately $5 million in anticipation of decreases in revenues associated with COVID-19. Through July 31, 2020, revenues, excluding investment income, contributions, and transfers in, are approximately 2.95% or $3.5 million below the same period a year ago. Property taxes, sales and use taxes, business licenses, planning permits, and intergovernmental revenues are in line with or slightly exceed revenues from the same period a year ago. These revenues comprise approximately 74.3% of the General Fund adopted budget. Mixed drink licenses and supplemental payments, charges for services, fines and fees, and franchise fees, representing approximately 22% of the adopted budget, trail the same period a year ago. The remaining 2.3% of budgeted revenues include investment income, contributions, and transfers in, which are expected to be in line with budget. Charges for services, fines and fees, and mixed drink supplemental payments are the revenue sources that have been the most impacted by temporary closures and restrictions associated with COVID-19. In addition, franchise fees are trailing the same period a year ago, partly due to delays in collection and partly attributed to milder winter and spring weather. Since the phased reopening of the Zoo, golf courses, and the District Courts began in June, charges for services and fines and fee revenues have improved. The City will continue to closely monitor revenues and will adjust expenditures as needed to ensure the City maintains adequate unassigned fund balance and liquidity.

City Impact from COVID-19 Response

The City is incurring additional expenditures caused by the response to COVID-19 for technology, cleaning and sanitizing of various facilities, safety supplies and PPE for its employees, overtime for first responders, and pass through grant awards and loans for eligible small businesses, service providers for the homeless population, and residents. The City has been allocated several grant awards that can be utilized specifically for the City's response to the COVID Pandemic including: U.S. Department of Homeland Security FEMA - $TBD (based on actual expenses; 25% match required); U.S. Department of the Treasury Coronavirus Aid, Relief and Economic Security (CARES) Act - up to $7,666,984.89 (distributed via the State of Arkansas and may also be utilized as match for FEMA), and U.S. Department of Justice Coronavirus Emergency Supplemental - $786,845 (no match required). In addition, the City has received the following grants that provide assistance to eligible businesses and residents impacted by COVID-19, including: U.S Department of Housing and Urban Development (HUD) CDBG - $879,049 (to provide low and moderate income households with health services, meal delivery programs, equipment, supplies, and materials to carry out public service, business assistance to retain employees, and support of other COVID-19 response services); HUD CDBG 3rd allocation - $1,016,477; HUD HOPWA - $81,216, and HUD Emergency Solutions Grant (ESG-CV) - $560,000. It is anticipated that the majority of COVID-19 related expenditures will be reimbursed by the various grant award allocations and through the Treasury CARES Act funds set aside by the State.

The City activated its Continuity of Operations Plan in late February and has implemented technology to support telework and remote meetings where practical to support social distancing and contain the spread of the virus. As noted above, a preliminary budget amendment was adopted on April 1, 2020 to reduce General Fund operating expenses by approximately $5 million. The economy has remained open in the City with phased restrictions in place to limit the spread of the coronavirus. In addition, a statewide mask directive is in place. Additional cost reductions will be implemented as necessary depending on the duration of the virus and the impact on revenues. Projections for the 2021 budget will be conservative, anticipating that revenues will not be restored to 2019 levels until 2022 or thereafter. Some capital projects have been delayed.

City Cash on Hand and Access to Reserves

At December 31, 2019, the General Fund operating cash and investments were $23,523,922. An additional $21,254,538 was restricted for debt service on governmental debt obligations and governmental activity revenue bonds in debt service funds, and $2,388,184 was restricted for debt service in business-type activities for revenue bonds. As of August 31, 2020 $14,290,661 is restricted for debt service on governmental debt obligations and governmental activity revenue bonds and $2,283,988 is restricted for debt service in business-type activities. Through August 31, 2020, principal and interest payments of $14,268,051 and mandatory calls from dedicated proceeds of $10,640,000 have been made on the debt of governmental activities, and $1,204,897.50 in principal and interest payments have been made on the debt of business-type activities of the primary government. Outstanding payments coming due over the remainder of the year total approximately $4.5 million. The City expects the debt service reserves at year end to be comparable to that of December 31, 2019. Current liquidity is adequate to fund essential services and make timely debt service payments. Current cash and investments available for General Fund operations is comparable to the same period a year ago.

DEFINITIONS OF CERTAIN TERMS

The following are definitions of certain terms used in this Official Statement:

"Accountant" means an independent certified public accountant or a firm of independent certified public accountants.

"Additional Bonds" means additional bonds secured by revenues of the System and issued by the City upon the terms and conditions specified in the Authorizing Ordinance and secured on a parity basis with the Parity Bonds and the Series 2020B Bonds.

"Authorizing Ordinance" means Ordinance No. 21,905 adopted by the Board of Directors of the City on October 20, 2020.

"Beneficial Owner" means any person who has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Series 2020B Bonds (including persons holding Series 2020B Bonds through nominees, depositories or other intermediaries).

"Bond Fund" means the special fund of the City designated "2020B Water Reclamation System Revenue Bond Fund" created in the Authorizing Ordinance.

"Bonds" means the Series 2011 Bonds, the Series 2014 Bonds, the Series 2015 Bonds, the Series 2016B Bonds, the Series 2017 Bonds, the Series 2020B Bonds and any series of Additional Bonds hereafter issued.

"Bonds Refunded" means the City's Sewer Revenue Bonds, Series 2012.

"City" means the City of Little Rock, Arkansas.

"Code" means the Internal Revenue Code of 1986, as amended, and Treasury Regulations promulgated or proposed thereunder.

"Commission" means Little Rock Water Reclamation Commission.

"Debt Service Reserve" means the Debt Service Reserve to be established in the Bond Fund into which shall be deposited the Reserve Policy, which shall be in an amount equal to the Required Level.

"Depreciation Fund" means the special fund of the City designated "Sewer Depreciation Fund" heretofore created by ordinance of the Board of Directors of the City.

"Government Securities" means direct obligations of (including obligations issued or held in book entry form on the books of) the Department of the Treasury of the United States of America.

"Moody's" means Moody's Investors Service, Inc.

"Net Revenues" means gross revenues of the System less operation and maintenance expenses other than depreciation, interest and amortization of deferred bond discount expenses, determined in accordance with generally accepted accounting principles applicable to municipal utilities.

"Operation and Maintenance Fund" means the special fund of the City designated "Sewer Operation and Maintenance Fund" heretofore created by ordinance of the Board of Directors of the City.

"Parity Bonds" means the Series 2011 Bonds, the Series 2014 Bonds, the Series 2015 Bonds, the Series 2016B Bonds and the Series 2017 Bonds.

"Required Level" means the lesser of (i) the maximum annual principal and interest requirement on the Series 2020B Bonds or (ii) 10% of the principal amount of the Series 2020B Bonds.

"Reserve Insurer" means Build America Mutual Assurance Company.

"Reserve Policy" means the municipal bond debt service reserve insurance policy issued by the Reserve Insurer.

"Revenue Fund" means the special fund of the City designated "Sewer Fund" heretofore created by ordinance of the Board of Directors of the City.

"Series 2007B Bond" means the City's Sewer Revenue Bond, Series 2007B.

"Series 2009A Bond" means the City’s Sewer Revenue Bond, Series 2009A.

"Series 2011 Bonds" means the City’s Sewer Refunding Revenue Bonds, Series 2011.

"Series 2013 Bond" means the City's Sewer Revenue Bond, Series 2013.

"Series 2014 Bonds" means the City's Sewer Refunding Revenue Bonds, Series 2014.

"Series 2015 Bonds" means the City's Sewer Refunding Revenue Bonds, Series 2015.

"Series 2016A Bond" means the City's Sewer Revenue Bond, Series 2016.

"Series 2016B Bonds" means the City's Sewer Refunding Revenue Bonds, Series 2016B.

"Series 2017 Bonds" means the City's Water Reclamation System Revenue Bonds, Series 2017.

"Series 2018 Bond" means the City's Water Reclamation System Revenue Bond, Series 2018.

"Series 2019 Bond" means the City's Water Reclamation System Revenue Bond, Series 2019.

"Series 2020A Bond" means the City's Water Reclamation System Revenue Bond, Series 2020.

"State" means the State of Arkansas.

"Subordinate Bonds" means the Series 2007B Bond, the Series 2009A Bond, the Series 2013 Bond, the Series 2016A Bond, the Series 2018 Bond, the Series 2019 Bond and the Series 2020A Bond.

"System" means the City's sewer system, which is now identified as a water reclamation system.

"System Bonds" means all outstanding indebtedness payable from revenues of the System, including the Bonds and the Subordinate Bonds.

"Trustee" means Regions Bank, Little Rock, Arkansas, or its successors designated as provided in the Authorizing Ordinance.

"Underwriter" means Crews & Associates, Inc.

"Utility" means Little Rock Water Reclamation Authority (formerly Little Rock Wastewater), a component arm of the City, responsible for the day-to-day operations of the System.

SUMMARY OF THE AUTHORIZING ORDINANCE

The Series 2020B Bonds are being issued and secured pursuant to the provisions of the Authorizing Ordinance, to which reference may be had in its entirety for a detailed statement of its provisions, the description set forth below being a summary of certain provisions. The City will covenant as set forth below in the Authorizing Ordinance.

Rates and General Covenants to Operate. A. The rates charged for services of the System heretofore fixed by ordinances of the City and the conditions, rights and obligations pertaining thereto, as set out in those ordinances, are ratified, confirmed and continued. None of the facilities or services afforded by the System shall be furnished without a charge being made therefor. In the event that the City or a department, agency or instrumentality thereof shall avail itself of the facilities and services afforded by the System, the reasonable value of the service or facilities so afforded shall be charged against the City or such department, agency or instrumentality and shall be paid for as the charges accrue. The revenues so received shall be deemed to be revenues derived from the operation of the System and shall be used and accounted for in the same manner as the other revenues derived from the operation of the System.

The City covenants that the rates shall never be reduced while any of the Series 2020B Bonds are outstanding unless there is obtained from an Accountant a certificate that the Net Revenues of the System, with the reduced rates, will always be equal to the amount to be set aside for the Depreciation Fund and leave a balance equal to at least 130% of the average annual principal and interest requirements on all outstanding System Bonds. The City further covenants that the rates shall, if and when necessary from time to time, be increased in such manner as will produce revenues at least sufficient to pay the principal and interest on all System Bonds when due, to pay the operation, repair and maintenance expenses of the System, and to deposit the amounts required to be paid into the Depreciation Fund and any debt service reserves, to pay insurers of System Bonds for any amounts owed in connection with debt service reserve fund insurance policies or surety bonds for System Bonds and to reimburse the Reserve Insurer for any amounts owing with respect to the Reserve Policy.

B. The System shall be continuously operated as a revenue producing undertaking, and all moneys received from its operation shall be deposited in such depository or depositories for the City as may be lawfully designated from time to time by the Commission, subject, however, to the giving of security as now or as hereafter may be required by law, and provided that such depositories are located in the City, have a capital and surplus of not less than $15,000,000, and hold membership in the Federal Deposit Insurance Corporation ("FDIC").

Funds and Disposition of Revenues. A. All revenues derived from the operation of the System shall be paid into the Revenue Fund. Moneys in the Revenue Fund shall be applied to the payment of the reasonable and necessary expenses of operation and maintenance of the System, to the payment of the principal of and interest on the System Bonds, to the providing of the Depreciation Fund, to the maintenance of debt service reserves and otherwise as described in the Authorizing Ordinance.

B. There shall be first paid from the Revenue Fund into the Operation and Maintenance Fund, on or before the 10th day of each month, an amount sufficient to pay the reasonable and necessary monthly expenses of operation, repair and maintenance of the System for such month and from which disbursements shall be made only for those purposes. Fixed annual charges such as insurance premiums and the cost of major repair and maintenance expenses may be computed and set up on an annual basis, and 1/12 of the amount thereof may be paid into the Operation and Maintenance Fund each month.

If in any month for any reason there shall be a failure to transfer and pay the required amount into the Operation and Maintenance Fund, the amount of any deficiency shall be added to the amount otherwise required to be transferred and paid therein during the next succeeding month. If any surplus shall be accumulated in the Operation and Maintenance Fund over and above the amount which shall be necessary to defray the reasonable and necessary costs of operation, repair and maintenance of the System during the remainder of the then current fiscal year and the next ensuing fiscal year, such surplus may be transferred to the Revenue Fund.

C. After making the required monthly deposits to the Operation and Maintenance Fund, there shall next be paid from the Revenue Fund, pro rata, into the bond funds (and debt service reserves therein) being maintained in connection with the Parity Bonds and any Additional Bonds (the "Parity Bond Funds"), the required monthly deposits pursuant to the ordinances authorizing the Parity Bonds and any Additional Bonds, and into the Bond Fund. Payments into the Bond Fund shall be made on or before the 15th day of each month, commencing on December 15, 2020, until all outstanding Series 2020B Bonds, with interest thereon, have been paid in full or provision made for such payment a sum equal to 1/6 of the next installment of interest due on the Series 2020B Bonds plus 1/12 of the next installment of principal due on the Series 2020B Bonds; provided, however, that payments into the Bond Fund through January 2021 shall be in an amount of one-half of the interest due February 1, 2021, and payments into the Bond Fund for the purpose of making the first principal payment due August 1, 2024 need not commence until August 2023.

The City shall also pay into the Bond Fund such additional sums as necessary to provide for the Trustee's fees and expenses, amounts due the Reserve Insurer for draws on the Reserve Policy. The City shall realize a credit against monthly deposits into the Bond Fund from all interest earnings on moneys in the Bond Fund and for transfers of funds held in connection with the Bonds Refunded.

If Net Revenues are insufficient to make the required payment on the first business day of the following month into the Bond Fund, then the amount of any such deficiency in the payment made shall be added to the amount otherwise required to be paid into the Bond Fund on the fifteenth day the next month. There shall be withdrawn from the Bond Fund and deposited with the Trustee at least five business days before the due date for the principal and/or interest on any Series 2020B Bond, at maturity or redemption prior to maturity, an amount equal to the amount of such Series 2020B Bond or interest due thereon for the sole purpose of paying the same, together with the Trustee's fee and any fees or other amounts due the Reserve Insurer.

D. There is created by the Authorizing Ordinance, as part of the Bond Fund, a Debt Service Reserve. There shall be deposited into the Debt Service Reserve the Reserve Policy issued by the Reserve Insurer, which shall be in an amount equal to the Required Level. If for any reason the City should fail at any time to make any of the required payments into the Bond Fund, the Debt Service Reserve shall be used to the extent necessary for the payment of principal of and interest on the Series 2020B Bonds.

The City is obligated to repay the Reserve Insurer for any draws under the Reserve Policy and pay all related reasonable expenses incurred by the Reserve Insurer. Repayment of draws on the Reserve Policy shall commence in the first month following each draw, and each such monthly payment shall be in an amount at least equal to 1/12 of the aggregate policy costs related to such draw.

E. There shall next be paid from the Revenue Fund the amounts required to be paid into the bond funds being maintained in connection with the Subordinate Bonds for the purpose of providing for the payment of the principal of and interest on the Subordinate Bonds when due.

F. There shall next be paid from the Revenue Fund the administrative and servicing fees due in connection with the Subordinate Bonds.

G. There shall next be paid from the Revenue Fund into the Depreciation Fund, on or before the 15th day of each month while any of the Series 2020B Bonds are outstanding, 3% of System revenues for the preceding month which remain after the required payment into the Operation and Maintenance Fund. The moneys in the Depreciation Fund shall be used solely for the purpose of paying the cost of replacements made necessary by the depreciation of the System.

If in any fiscal year a surplus shall be accumulated in the Depreciation Fund over and above the amount which shall be necessary to defray the cost of the probable replacements during the then current fiscal year and next ensuing fiscal year, such surplus may be transferred into the Revenue Fund.

H. Any surplus in the Revenue Fund after making all disbursements and providing for all funds described above shall first be used to reimburse the Reserve Insurer for any expenses owing with respect to the Reserve Policy and the balance may be used, at the option of the City, for any lawful purpose related to the System authorized by the Commission.

Parity Bonds. So long as any of the Series 2020B Bonds are outstanding, the City shall not issue or attempt to issue any bonds claimed to be entitled to a priority of lien on revenues of the System over the lien securing the Series 2020B Bonds, except as described below:

The City reserves the right to issue Additional Bonds to finance or pay the cost of making any future extensions, betterments or improvements to the System, or to refund bonds issued for such purposes, but the City shall not authorize or issue any such Additional Bonds ranking on a parity with the Series 2020B Bonds unless and until there have been, procured and filed with the City Clerk and the Trustee a statement by an Accountant reciting the opinion, based upon necessary investigation, that the Net Revenues of the System for the fiscal year immediately preceding the fiscal year in which it is proposed to issue such Additional Bonds shall equal not less than 120% of the average annual principal and interest requirement on all the then outstanding System Bonds and the Additional Bonds then proposed to be issued. In making the computation set forth above, the City, and the Accountant on behalf of the City, may, based upon the opinion or report of a registered professional engineer not in the regular employ of the City, treat any increase in rates for the System enacted subsequent to the first day of such preceding fiscal year as having been in effect during or throughout such fiscal year and may include in gross revenues for such fiscal year the amount that would have been received, based on such opinion or report, had the increase been in effect during or throughout such fiscal year.

Accounts and Records. The City will keep proper books of accounts and records (separate from all other records and accounts) in which complete and correct entries shall be made of all transactions relating to the operation of the System, and such books shall be available for inspection by the Trustee and any registered owner of any of the Series 2020B Bonds at reasonable

times and under reasonable circumstances. The City and the Commission agree to have these records audited by an Accountant at least once each year, and a copy of the audit shall be delivered to the Trustee at its request. In the event that the City fails or refuses to make the audit, the Trustee or any registered owner of the Series 2020B Bonds may have the audit made, and the cost thereof shall be charged against the Operation and Maintenance Fund.

Maintenance; Insurance. The City covenants and agrees that it will maintain the System in good condition and operate the same in an efficient manner and at reasonable cost. While any of the Series 2020B Bonds are outstanding, the City agrees that it will insure and at all times keep insured, in the amount of the full insurable value thereof, in a responsible insurance company or companies selected by the Commission and authorized and qualified under the laws of the State to assume the risk thereof, all above-ground structures of the System to the extent that such structures would be covered by insurance by private companies engaged in similar types of business, against loss or damage thereto from fire, lightning, tornados, winds, riot, strike, civil commotion, malicious damage, explosion and against any other loss or damage from any other causes customarily insured against by private companies engaged in similar types of business. The insurance policies are to carry a clause making them payable to the Commission and the Trustee as their interests may appear, and satisfactory evidence of said insurance shall be filed with the Trustee. In the event of loss, the proceeds of such insurance shall be applied solely toward the reconstruction, replacement or repair of the System, and in such event the City will, with reasonable promptness, cause to be commenced and completed the reconstruction, replacement and repair work. If such proceeds are more than sufficient for such purposes, the balance remaining shall be deposited to the credit of the Revenue Fund, and if such proceeds shall be insufficient for such purposes, the deficiency shall be supplied first from moneys in the Depreciation Fund, second from moneys in the Operation and Maintenance Fund, and third from surplus moneys in the Revenue Fund. Nothing shall be construed as requiring the City to expend any moneys for operation and maintenance of the System or for premiums on its insurance which are derived from sources other than the operation of the System, but nothing shall be construed as preventing the City from doing so.

Defeasance. Any Series 2020B Bond shall be deemed to be paid within the meaning of the Authorizing Ordinance when payment of the principal of and interest on such Series 2020B Bond (whether at maturity or upon redemption, or otherwise), either (i) shall have been made or caused to be made in accordance with the terms thereof, or (ii) shall have been provided for by irrevocably depositing with the Trustee, in trust and irrevocably set aside exclusively for such payment (1) cash sufficient to make such payment and/or (2) direct obligations of (including obligations issued or held in book entry form on the books of) the Department of the Treasury of the United States of America ("Government Securities") (provided that such deposit will not affect the tax exempt status of the interest on any of the Series 2020B Bonds or cause any of the Series 2020B Bonds to be classified as "arbitrage bonds" within the meaning of Section 148 of the Code), maturing as to principal and interest in such amounts and at such times as will provide sufficient moneys to make such payment, and all necessary and proper fees, compensation and expenses of the Trustee pertaining to the Series 2020B Bonds with respect to which such deposit is made shall have been paid or the payment thereof provided for to the satisfaction of the Trustee.

On the payment of any Series 2020B Bonds within the meaning of the Authorizing Ordinance, the Trustee shall hold in trust, for the benefit of the owners of such Series 2020B Bonds, all such moneys and/or Government Securities.

When all the Series 2020B Bonds shall have been paid within the meaning of the Authorizing Ordinance, if the Trustee has been paid its fees and expenses and if any arbitrage rebate due the United States Treasury under Section 148(f) of the Code has been paid or provided for to the satisfaction of the Trustee, and if there are not amounts due the Reserve Insurer with respect to the Reserve Policy, the Trustee shall take all appropriate action to cause (i) the pledge and lien of the Authorizing Ordinance to be discharged and cancelled, and (ii) all moneys held by it pursuant to the Authorizing Ordinance and which are not required for the payment of such Series 2020B Bonds to be paid over or delivered to or at the direction of the City.

Default and Remedies. A. If there be any default in the payment of the principal of or interest on any of the Series 2020B Bonds, or if the City defaults in any Bond Fund requirement or in the performance of any of the other covenants contained in the Authorizing Ordinance, and such

failure continues unremedied for thirty (30) days, the Trustee may, and upon the written request of the registered owners of not less than ten percent (10%) in principal amount of the Series 2020B Bonds then outstanding shall, by proper suit, compel the performance of the duties of the officials of the City under the laws of Arkansas; and in the case of a default in the payment of the principal of and interest on any of the Series 2020B Bonds, the Trustee may, and upon the written request of registered owners of not less than ten percent (10%) in principal amount of the Series 2020B Bonds then outstanding shall, apply in a proper action to a court of competent jurisdiction for the appointment of a receiver to administer the System on behalf of the City and the registered owners of the Series 2020B Bonds with power to charge and collect or by mandatory injunction or otherwise to cause to be charged and collected rates sufficient to provide for the payment of the expenses of operation, maintenance and repair and to pay any Series 2020B Bonds and interest outstanding and to apply the System revenues in conformity with the laws of Arkansas and with the Authorizing Ordinance. When all defaults in principal and interest payments have been cured, the custody and operation of the System shall revert to the City.

B. No registered owner of any of the outstanding Series 2020B Bonds shall have any right to institute any suit, action, mandamus or other proceeding in equity or at law for the protection or enforcement of any power or right unless such owner previously shall have given to the Trustee written notice of the default on account of which such suit, action or proceeding is to be taken, and unless the registered owners of not less than ten percent (10%) in principal amount of the Series 2020B Bonds then outstanding shall have made written request of the Trustee after the right to exercise such power or right of action, as the case may be, shall have accrued, and shall have afforded the Trustee a reasonable opportunity either to proceed to exercise the powers granted to the Trustee, or to institute such action, suit or proceeding in its name, and unless, also, there shall have been offered to the Trustee reasonable security and indemnity against the costs, expenses and liabilities to be incurred therein or thereby and the Trustee shall have refused or neglected to comply with such request within a reasonable time. Such notification, request and offer of indemnity are, at the option of the Trustee, conditions precedent to the execution of any remedy. No one or more registered owners of the Series 2020B Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Authorizing Ordinance, or to enforce any right thereunder except in the manner described in the Authorizing Ordinance. All proceedings at law or in equity shall be instituted, had and maintained in the manner herein described and for the benefit of all registered owners of the outstanding Series 2020B Bonds.

C. No remedy conferred upon or reserved to the Trustee or to the registered owners of the Series 2020B Bonds is intended to be exclusive of any other remedy or remedies, and every such remedy shall be cumulative and shall be in addition to every other remedy given under the Authorizing Ordinance or by law.

D. The Trustee may, and upon the written request of the registered owners of not less than a majority in principal amount of the Series 2020B Bonds then outstanding shall, waive any default which shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted under the provisions of the Authorizing Ordinance or before the completion of the enforcement of any other remedy, but no such waiver shall extend to or affect any other existing or any subsequent default or defaults or impair any rights or remedies consequent thereon.

E. Upon a failure to pay amounts due to the Reserve Insurer or any other breach of the terms of the Authorizing Ordinance, the Reserve Insurer shall be entitled to exercise any and all legal and equitable remedies available to it, including those provided under the Authorizing Ordinance, other than remedies which would adversely affect owners of the Series 2020B Bonds.

Amendment of Authorizing Ordinance. The terms of the Authorizing Ordinance constitute a contract between the City and the owners of the Series 2020B Bonds and no variation or change in the undertaking set forth in the Authorizing Ordinance shall be made while any of the Series 2020B Bonds are outstanding, except as hereinafter set forth below.

The Trustee may consent to any variation or change in the Authorizing Ordinance without the consent of the owners of the outstanding Series 2020B Bonds (a) in connection with the issuance of Additional Bonds, (b) in order to cure any ambiguity, defect or omission therein or to correct or supplement any defective or inconsistent provisions contained therein as the City may deem necessary or desirable and not inconsistent therewith, or (c) in order to make any other variation or change which the Trustee determines (in reliance on the advice of counsel (who may be counsel for the City) and/or such other certificates or reports delivered in connection therewith) shall not adversely affect the interests of the owners of the Series 2020B Bonds.

The owners of not less than seventy-five percent (75%) in aggregate principal amount of the Series 2020B Bonds then outstanding shall have the right, from time to time, anything contained in the Authorizing Ordinance to the contrary notwithstanding, to consent to and approve the adoption by the City of such ordinance supplemental thereto as shall be necessary or desirable for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Authorizing Ordinance or in any supplemental ordinance; provided, however, that nothing contained in the Authorizing Ordinance shall permit or be construed as permitting (a) an extension of the maturity of the principal of or the interest on any Series 2020B Bond, or (b) a reduction in the principal amount of any Series 2020B Bond or the rate of interest thereon, or (c) the creation of a lien or pledge superior to the lien and pledge created by the Authorizing Ordinance, or (d) a privilege or priority of any Series 2020B Bond or Bonds over any other Series 2020B Bond or Bonds, or (e) a reduction in the aggregate principal amount of the Series 2020B Bonds required for consent to such supplemental ordinance.

The Trustee. The Trustee shall only be responsible for the exercise of good faith and reasonable prudence in the execution of its trust. The Trustee shall not be required to take any action as the Trustee unless it shall have been requested to do so in writing by the registered owners of not less than ten percent (10%) in principal amount of the Series 2020B Bonds then outstanding and shall have been offered reasonable security and indemnity against the costs, expenses and liabilities to be incurred therein or thereby. The Trustee may resign at any time by giving sixty (60) days' notice in writing to the City Clerk, the registered owners of the Series 2020B Bonds and the majority in value of the registered owners of the outstanding Series 2020B Bonds or the City, if it is not in default under the Authorizing Ordinance, at any time, with or without cause, may remove the Trustee. In the event of a vacancy in the office of Trustee, either by resignation or by removal, the City shall forthwith designate a new Trustee by a written instrument filed in the office of the City Clerk. Every successor Trustee shall be a trust company or bank in good standing, duly authorized to exercise trust powers and subject to examination by federal or state authority. The original Trustee and any successor Trustee shall file a written acceptance and agreement to execute the trusts imposed upon it or them but only upon the terms and conditions set forth in the Authorizing Ordinance and subject to the provisions of the Authorizing Ordinance, to all of which the respective registered owners of the Series 2020B Bonds agree. Any successor Trustee shall have all the powers granted to the original Trustee.

Investments. A. Moneys held for the credit of the Bond Fund shall be continuously invested and reinvested pursuant to the direction of the Commission in Eligible Investments, all of which shall mature, or which shall be subject to redemption by the holder thereof, at the option of such holder, not later than the payment date for interest or principal and interest.

B. Moneys held for the credit of any other fund shall be continuously invested and reinvested pursuant to the direction of the Commission in Eligible Investments which shall mature, or which shall be subject to redemption by the holder thereof, at the option of such holder, not later than the date or dates when the moneys held for the credit of the particular fund will be required far purposes intended.

C. "Eligible Investments" means any of the securities that are at the time legal for investment of City funds pursuant to Resolution No. 12,520 of the City, as may be amended from time to time. "Eligible Investments" include,* but are not limited to, the following:

1. U.S. Treasury obligations, U.S. government agency obligations, and U.S. government instrumentality obligations, which have a liquid market with a readily determinable market value;

2. Certificates of deposit and other evidences of deposit at financial institutions, and commercial paper, rated in the highest tier (e.g., A-1, P-1, F-1, D-1, or higher) by a nationally recognized rating agency;

3. Investment-grade obligations of state, provincial, and local governments and public authorities;

4. Money market mutual funds regulated by the Securities and Exchange Commission and whose portfolios consist only of dollar-denominated securities; and

5. Local government investment pools either state-administered or developed through joint powers statutes and other intergovernmental agreement legislation.

The City's investment policy prohibits investments in derivative products, common stocks, and long-term bonds used for speculation.

D. Obligations so purchased as an investment of moneys in any fund shall be deemed at all times to be a part of such fund and the interest accruing thereon and any profit realized from such investments shall be credited to such fund, and any loss resulting from such investment shall be charged to such fund.

E. Moneys so invested in Government Securities or in certificates of deposit of banks to the extent insured by FDIC, need not be secured by the depository bank or banks.

F. All investments and deposits shall have a par value (or market value when less than par), exclusive of accrued interest, at all times at least equal to the amount of money credited to such funds and shall be made in such a manner that the money required to be expended from any fund will be available at the proper time or times.

G. Investments of moneys in all funds shall be valued in terms of current market value as of the last day of each year, except that direct obligations of the United States (State and Local Government Series) in book-entry form shall be continuously valued at par or face principal amount.

H. The City covenants that it will make all arbitrage rebate payments to the United States in accordance with Section 148 of the Code.

SUMMARY OF THE CONTINUING DISCLOSURE AGREEMENT

During the past five years, the City has been obligated to comply with continuing disclosure agreements involving approximately 27 bond issues. Almost all such agreements require the City to file annual reports with the trustees, as the dissemination agents. The dissemination agents are required to file the annual reports with the Municipal Securities Rulemaking Board on its Electronic Municipal Market Access system ("EMMA") within various time periods set by those agreements. The following summarizes a non-exhaustive list of the City's compliance with its continuing disclosure agreements during the past five years.

As part of the annual reports, the City was obligated to file annual audited financial statements. For 14 of the bond issues, the City was required to file the audit of the general purpose financial statements of the City. The City was obligated to file the audited financial statements of its airport commission for two of the City's airport revenue bond issues. The City was obligated to file audited financial statements of the System for 8 of the City's bond issues secured by Net Revenues. The City was obligated to file the audited financial statements of its advertising and promotion commission for one bond issue. The City was obligated to file both the audit of the general purpose financial statements of the City and the audited financial statements of its advertising and promotion commission for one bond issue. The City was obligated to file the audited financial statements of the port authority for one bond issue. During the past five years, the City filed all audited financial statements on EMMA in a timely manner.

All of the continuing disclosure agreements require that certain supplemental financial and operating data be provided as part of the annual report. The supplemental data to be provided varies by the type of the bonds issued and how each is secured. During the past five years, the City provided all of the required supplemental data each year. In certain cases, however, the supplemental data was included in the audited financial statements that were filed as part of the annual report but was not presented in the manner prescribed by the continuing disclosure agreements. In other cases, the format of the information contained in the annual report was not presented in the format prescribed by the continuing disclosure agreements. As of this date, supplemental data for all bond issues that are outstanding has been filed on EMMA in a timely manner.

The continuing disclosure agreements also obligated the City to file a notice of the occurrence of any event listed in Securities and Exchange Commission, Rule 15c2-12(b)(5). Included in the list of events are bond calls and defeasances. For the fiscal years ended December 31, 2015 and 2016, the City failed to timely file notices concerning mandatory redemption of its bonds from surplus tax collections and the defeasance of bonds. Notices concerning the City's failure to timely file notices of such events were not filed on EMMA. For the fiscal years ended December 31, 2017, 2018 and 2019, notices concerning mandatory redemption of bonds from surplus tax collections and the defeasance of bonds were timely filed.

The City will enter into a Continuing Disclosure Agreement with the Trustee in order to assist the Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

Set forth below is a summary of certain portions of the Continuing Disclosure Agreement. This summary does not purport to be comprehensive and reference is made to the full text of the Continuing Disclosure Agreement for a complete description of its provisions.

Purpose of the Continuing Disclosure Agreement. The Continuing Disclosure Agreement is executed and delivered by the City and the Dissemination Agent for the benefit of the Beneficial Owners of the Series 2020B Bonds and in order to assist the Underwriter in complying with the Securities and Exchange Commission, Rule 15c2-12(b)(5).

Definitions. In addition to the definitions set forth in this Official Statement, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the City pursuant to, and as described in, the Continuing Disclosure Agreement.

"Dissemination Agent" shall mean Regions Bank, acting in its capacity as Dissemination Agent, or any successor Dissemination Agent designated in writing by the City and which has filed with the City and the Trustee a written acceptance of such designation.

"EMMA" shall mean the Electronic Municipal Market Access system as described in 1934 Act Release No. 59062 and maintained by the MSRB for purposes of the Rule.

"Financial Obligation" shall mean a

(A) debt obligation;

(B) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or

(C) guarantee of obligations described in (A) or (B).

The term Financial Obligation shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

"Listed Events" shall mean any of the events listed hereunder.

"MSRB" shall mean the Municipal Securities Rulemaking Board.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Provision of Annual Report. (a). The City shall, or the City shall deliver to the Dissemination Agent and the Dissemination Agent shall, not later than May 31 of each year (or if the System's fiscal year changes, within 150 days after the end of the System's fiscal year), commencing with the report due May 31, 2021, provide to the MSRB, through its continuing disclosure service portal provided through EMMA at http://www.emma.msrb.org or any similar system acceptable to the Securities and Exchange Commission, an Annual Report which is consistent with the requirements of the Continuing Disclosure Agreement. The Annual Report shall be in electronic format as prescribed by the MSRB and shall be accompanied by identifying information as prescribed by the MSRB. The Annual Report may be submitted as a single document or as separate documents comprising a package and may cross-reference other information as provided in the Continuing Disclosure Agreement; provided that the audited financial statements of the System may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date, but, in such event, the City shall file the System's unaudited financial statements by the required date, and the System's audited financial statements shall be submitted within thirty (30) days after receipt thereof by the City.

(b) No later than five (5) days prior to the date specified in subsection (a) for providing the Annual Report to the MSRB, the City shall provide the Annual Report to the Dissemination Agent and the Trustee (if the Trustee is not the Dissemination Agent). If by such date, the Dissemination Agent has not received a copy of the Annual Report, the Dissemination Agent shall use its best efforts to contact the City to determine if the City is in compliance with subsection (a).

(c) If the Dissemination Agent is unable to verify that an Annual Report (containing the information set forth in (a) under Content of Annual Report, below) has been provided to the MSRB by the date required in subsection (a), the Dissemination Agent shall file a notice with the MSRB.

Content of Annual Report. The City's Annual Report shall contain or incorporate by reference the following:

(a) Information of the type set forth in this Official Statement under the caption "**THE SYSTEM**" with respect to (i) the number of sewer users for the fiscal year then ended and the four previous fiscal years; and (ii) which users, if any, accounted for 5% or more of System revenues for the preceding fiscal year.

(b) The annual financial statements of the System prepared using accounting practices prescribed by Arkansas Code Annotated Section 10-4-412 as it may be amended from time to time, or any successor statute, which shall be audited by the Legislative Joint Auditing Committee, Division of the Legislative Audit of the State of Arkansas or by an independent certified public accountant.

Any or all of the items above may be incorporated by reference from other documents, including official statements of debt issues of the City or related public entities, which have been submitted to the MSRB, or the Securities and Exchange Commission. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The City shall clearly identify each such other document so incorporated by reference and certify that the submitted documents comply with the requirements of the Continuing Disclosure Agreement. The Dissemination Agent shall not be responsible in any manner for the content of any notice or Annual Report prepared or delivered by the City pursuant to the Continuing Disclosure Agreement and shall have no duty or obligation to review any such notice or Annual Report.

Reporting of Listed Events. (a) This caption describes the giving of notices of the occurrence of any of the following events.

1. Principal and interest payment delinquencies.

2. Non-payment related defaults, if material.

3. Unscheduled draws on debt service reserves reflecting financial difficulties.

4. Unscheduled draws on credit enhancements reflecting financial difficulties.

5. Substitution of credit or liquidity providers, or their failure to perform.

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax-exempt status of the security.

7. Modifications to rights of security holders, if material.

8. Series 2020B Bond calls (excluding mandatory sinking fund redemptions), if material.

9. Defeasances and tender offers.

10. Release, substitution, or sale of property securing repayment of the securities, if material.

11. Rating changes.

12. Bankruptcy, insolvency, receivership or similar event of the obligated person.

13. The consummation of a merger, consolidation or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material.

14. Appointment of a successor or additional trustee or the change of name of a trustee, if material.

15. Incurrence of a Financial Obligation of the City, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the City, any of which affect security holders, if material.

16. Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the City, any of which reflect financial difficulties.

(b) After the occurrence of a Listed Event (excluding an event described in (a)8 above), the City shall notify the Dissemination Agent (if other than the City) in writing in a timely manner which will allow the Dissemination Agent to file notice within the time period set forth in (c) below. Such notice shall instruct the Dissemination Agent to report the occurrence.

(c) A notice of the occurrence of any of the Listed Events (excluding an event described in (a)8 above), shall be filed in a timely manner not in excess of ten (10) business days after the occurrence of such Listed Event with the MSRB through its continuing disclosure service portal provided through http://www.emma.msrb.org, or any other similar system that is acceptable to the Securities and Exchange Commission and with the City. In the event of a Listed Event described in (a)8 above, notice need not be given under this subsection any earlier than required

to be given to registered owners of affected Series 2020B Bonds pursuant to the terms of the Series 2020B Bonds. Each notice of the occurrence of a Listed Event shall be captioned "Notice of Listed Event" and shall be filed in electronic format as prescribed by the MSRB and shall be accompanied by identifying information as prescribed by the MSRB.

Termination of Reporting Obligation. The City's obligations under the Continuing Disclosure Agreement shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2020B Bonds.

Dissemination Agent. The City may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under the Continuing Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the City pursuant to the Continuing Disclosure Agreement. If at any time there is not any other designated Dissemination Agent, the Trustee shall be the Dissemination Agent. The initial Dissemination Agent shall be Regions Bank.

Amendment; Waiver. Notwithstanding any other provision of the Continuing Disclosure Agreement, the City and the Dissemination Agent may amend the Continuing Disclosure Agreement, and any provisions of the Continuing Disclosure Agreement may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the requirements for providing an Annual Report, to the contents of the Annual Report or the reporting of Listed Events, it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Series 2020B Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Series 2020B Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver either (i) is approved by the Beneficial Owners of the Series 2020B Bonds in the same manner as provided in the Authorizing Ordinance for amendments to the Authorizing Ordinance with the consent of Beneficial Owners, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Beneficial Owners of the Series 2020B Bonds.

In the event of any amendment or waiver of a provision of the Continuing Disclosure Agreement, the City shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason of the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the City. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Additional Information. Nothing in the Continuing Disclosure Agreement shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in the Continuing Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by the Continuing Disclosure Agreement. If the City chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by the Continuing Disclosure Agreement, the City shall have no obligation under the Continuing Disclosure Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Default. In the event of a failure of the City or the Dissemination Agent to comply with any provision of the Continuing Disclosure Agreement, the Trustee, the City or any Beneficial Owner may (and the Trustee, at the request of the Beneficial Owners of at least 25% aggregate principal amount of outstanding Series 2020B Bonds, shall) take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the City or the Dissemination Agent, as the case may be, to comply with its obligations under the Continuing Disclosure Agreement. A default under the Continuing Disclosure Agreement shall not be deemed a default under the Authorizing Ordinance, and the sole remedy under the Continuing Disclosure Agreement in the event of any failure of the City or the Dissemination Agent to comply with the Continuing Disclosure Agreement shall be an action to compel performance. The City, the Dissemination Agent and their members, officers and employees shall incur no liability under the Continuing Disclosure Agreement by reason of any act or failure to act thereunder.

Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in the Continuing Disclosure Agreement and no further duties or responsibilities shall be implied. The Dissemination Agent's obligation to deliver the information at the times and with the contents described in the Continuing Disclosure Agreement shall be limited to the extent the City has provided such information to the Dissemination Agent as required by the Continuing Disclosure Agreement. The Dissemination Agent shall have no duty with respect to the content of any disclosures or notice made pursuant to the terms thereof. The Dissemination Agent shall have no duty or obligation to review or verify any Annual Report, notice of Listed Events or any other information, disclosures or notices provided to it by the City and shall not be deemed to be acting in any fiduciary capacity for the City, the Beneficial Owners of the Series 2020B Bonds or any other party. Other than as expressly set forth in the Continuing Disclosure Agreement, the Dissemination Agent shall have no responsibility for the City's failure to report a Listed Event to the Dissemination Agent. The Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the City has complied with the Continuing Disclosure Agreement. The Dissemination Agent may conclusively rely upon certifications of the City at all times.

The Dissemination Agent shall have only such duties as are specifically set forth in the Continuing Disclosure Agreement, and the City has agreed to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties thereunder, including the costs and expenses (including attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct.

The Dissemination Agent shall not have any liability to any party in connection with any failure to timely file any such information or report with the MSRB through EMMA if such information or report is not timely received by the Dissemination Agent from the City; nor shall the Dissemination Agent have any liability to any party for any failure of the MSRB or its EMMA system to timely post or register filing of any such report if the Dissemination Agent has timely submitted such report for filing with the MSRB. The City is solely responsible for the accuracy, completeness and timeliness of any information or report provided to the Dissemination Agent.

Beneficiaries. The Continuing Disclosure Agreement shall inure solely to the benefit of the City, the Dissemination Agent, the Underwriter and the Beneficial Owners and shall create no rights in any other person or entity.

UNDERWRITING

Under a bond purchase agreement entered into by and between the Underwriter and the City, the Series 2020B Bonds are being purchased at a purchase price of $22,667,200 (representing the stated principal amount of the Series 2020B Bonds less an underwriting discount of $182,800). The bond purchase agreement provides that the Underwriter will purchase all of the Series 2020B Bonds if any are purchased. The obligation of the Underwriter to accept delivery of the Series 2020B Bonds is subject to various conditions contained in the bond purchase agreement, including the absence of pending or threatened litigation questioning the validity of the Series 2020B Bonds

or any proceedings in connection with the issuance thereof, and the absence of material adverse changes in the financial condition of the City or the System.

The Underwriter intends to offer the Series 2020B Bonds to the public initially at the offering prices as set forth on the inside cover page of this Official Statement, which offering prices (or bond yields establishing such offering prices) may subsequently change without any requirement of prior notice. The Underwriter reserves the right to join with dealers and other underwriters in offering the Series 2020B Bonds to the public, and may offer the Series 2020B Bonds to such dealers and other underwriters at a price below the public offering price.

The City has agreed to indemnify the Underwriter against certain civil liabilities in connection with the offering and sale of the Series 2020B Bonds, including certain liabilities under federal securities laws.

FEDERAL TAX MATTERS

Federal Income Taxes. Any federal tax advice contained in this Official Statement pertaining to the Series 2020B Bonds was written to support the marketing of and is not intended or written to be used, and cannot be used, by a taxpayer for the purpose of avoiding any penalties that may be imposed under the Code. All taxpayers should seek advice based on such taxpayer's particular circumstances from an independent tax advisor.

The following is a summary of certain anticipated federal income tax consequences of the purchase, ownership and disposition of the Series 2020B Bonds under the Code, the regulations promulgated thereunder and the judicial and administrative rulings and court decisions now in effect, all of which are subject to change or possible differing interpretations. This summary does not purport to address all aspects of federal income taxation that may affect particular investors in light of their individual circumstances, nor certain types of investors subject to special treatment under the federal income tax laws. This summary does not address owners that may be subject to special tax rules, such as banks, insurance companies, dealers in securities or currencies, purchasers that hold the Series 2020B Bonds (or foreign currency) as a hedge against currency risks or as part of a straddle with other investments or as part of a "synthetic security" or other integrated investment (including a "conversion transaction") comprised of a Series 2020B Bond and one or more other investments, or purchasers that have a "functional currency" other than the U.S. dollar. Except to the extent discussed below under "Foreign Investors," this summary is not applicable to non-United States persons not subject to federal income tax on their worldwide income. This summary does not discuss the tax laws of any state other than Arkansas or any local or foreign governments. Potential purchasers of the Series 2020B Bonds should consult their own tax advisors in determining the federal, state or local tax consequences to them of the purchase, holding and disposition of the Series 2020B Bonds.

General. Although there are not any regulations, published rulings, or judicial decisions involving the characterization for federal income tax purposes of securities with terms substantially the same as the Series 2020B Bonds, Bond Counsel has advised that the Series 2020B Bonds will be treated for federal income tax purposes as evidences of indebtedness of the City and not as an ownership interest in the trust estate securing the Series 2020B Bonds or as an equity interest in the City or any other party, or in a separate association taxable as a corporation. Although the Series 2020B Bonds are issued by the City, interest on the Series 2020B Bonds (including original issue discount and market discount, if any) is not excludable from gross income for federal income tax purposes under Code Section 103. Interest on the Series 2020B Bonds will be fully subject to federal income taxation. Thus, owners of the Series 2020B Bonds generally must include interest (including original issue discount and market discount) on Series 2020B Bonds in gross income for federal income tax purposes.

In general, interest paid on the Series 2020B Bonds, original issue discount and market discount, if any, will be treated as ordinary income to the owners of the Series 2020B Bonds, and principal payments (excluding the portion of such payments, if any, characterized as original issue discount or market discount) will be treated as a return of capital.

Sales or Other Dispositions. If a Series 2020B Bond is sold, redeemed prior to maturity or otherwise disposed of in a taxable transaction, gain or loss will be recognized in an amount equal to the difference between the amount realized on the sale or other disposition, and the adjusted basis of the transferor in the Series 2020B Bond. The adjusted basis of a Series 2020B Bond generally will be equal to its costs, increased by any original issue discount or market discount included in the gross income of the transferor with respect to the Series 2020B Bond and reduced by any amortized bond premium under Section 171 of the Code and by the payments on the Series 2020B Bond (other than payments of qualified stated interest), if any, that have previously been received by the transferor. Except as provided in Section 582(c) of the Code, relating to certain financial institutions, or as discussed in the following paragraph, any such gain or loss will be a capital gain or loss taxable at the applicable rate determined by the Code if the Series 2020B Bond to which it is attributable is held as a "capital asset."

Gain on the sale or other disposition of a Series 2020B Bond that was acquired at a market discount will be taxable as ordinary income in an amount not exceeding the portion of such discount that accrued during the period that the Series 2020B Bond was held by the transferor (after reduction by any market discount includable in income by such transferor prior to such sale or other disposition). In addition, if the City is determined (pursuant to regulations that have yet to be promulgated under Code Section 1271(g)(2)(A)) to have had an intention on the date of original issuance of the Series 2020B Bonds to call all or a portion of the Series 2020B Bonds prior to maturity, then gain on the sale or other disposition of a Series 2020B Bond in an amount equal to the original issue discount or market discount not previously includable in gross income would be required to be treated as ordinary income taxable at the applicable rate determined by the Code.

Backup Withholding. Payments of principal and interest (including original issue discount and market discount) on the Series 2020B Bonds, as well as payments of proceeds from the sale of the Series 2020B Bonds may be subject to the "backup withholding tax" under Section 3406 of the Code with respect to interest or original issue discount and market discount on the Series 2020B Bonds if recipients of such payments (other than foreign investors who have properly provided certifications described below) fail to furnish to the payor certain information, including their taxpayer identification numbers, or otherwise fail to establish an exemption from such tax. Any amounts deducted and withheld from a payment to a recipient would be allowed as a credit against the federal income tax of such recipient.

Foreign Investors. An owner of a Series 2020B Bond that is not a "United States person" (as defined below) and is not subject to federal income tax as a result of any direct or indirect connection to the United States of America in addition to its ownership of a Series 2020B Bond will generally not be subject to United States income or withholding tax in respect of a payment on a Series 2020B Bond, provided that the owner complies to the extent necessary with certain identification requirements (including delivery of a statement, signed by the owner under penalties of perjury, certifying that such owner is not a United States person and providing the name and address of such owner). For this purpose the term "United States person" means a citizen or resident of the United States, a corporation, partnership or other entity created or organized in or under the laws of the United States of America or any political subdivision thereof, or an estate or trust whose income from sources within the United States is includable in gross income for United States of America income tax purposes regardless of its connection with the conduct of a trade or business within the United States of America.

Except as explained in the preceding paragraph and subject to the provisions of any applicable tax treaty, a United States withholding tax will apply to interest paid and original issue discount and market discount on the Series 2020B Bonds owned by foreign investors. In those instances in which payments of interest on the Series 2020B Bonds continue to be subject to withholding, special rules apply with respect to the withholding of tax on payments of interest on, or the sale or exchange of the Series 2020B Bonds having original issue discount or market discount and held by foreign investors. Potential investors that are foreign persons should consult their own tax advisors regarding the specific tax consequences to them of owning a Series 2020B Bond.

ERISA Considerations. The Employee Retirement Income Security Act of 1974, as amended ("ERISA"), and the Code generally prohibit certain transactions between a qualified employee benefit plan under ERISA (an "ERISA Plan") and persons who, with respect to that plan, are

fiduciaries or other "parties in interest" within the meaning of ERISA or "disqualified persons" within the meaning of the Code. In the absence of an applicable statutory, class or administrative exemption, transactions between an ERISA Plan and a party in interest with respect to an ERISA Plan, including the acquisition by one from the other of a Series 2020B Bond, could be viewed as violating those prohibitions. In addition, Code Section 4975 prohibits transactions between certain tax-favored vehicles such as Individual Retirement Accounts and disqualified persons and Code Section 503 includes similar restrictions with respect to governmental and church plans. In this regard, the City or any underwriter of the Series 2020B Bonds, might be considered or might become a "party in interest" within the meaning of ERISA or a "disqualified person" within the meaning of the Code, with respect to an ERISA Plan or a plan or arrangement subject to Code Sections 4975 or 503. Prohibited transactions within the meaning of ERISA and the Code may arise if the Series 2020B Bonds are acquired by such plans or arrangements with respect to which the City or any underwriter is a party in interest or disqualified person. In all events, fiduciaries of ERISA Plans and plans or arrangements subject to the above Code Sections, in consultation with their advisors, should carefully consider the impact of ERISA and the Code on an investment in the Series 2020B Bonds.

The foregoing summary as to Series 2020B Bonds is not intended as an exhaustive recital of the potential tax consequences of holding the Series 2020B Bonds. Prospective purchasers of the Series 2020B Bonds should consult their tax advisors with respect to the federal, state and local tax consequences of the ownership of the Series 2020B Bonds. Bond Counsel will not render any opinion with respect to any federal tax consequences of ownership of the Series 2020B Bonds.

RATING

Moody's Investors Service ("Moody's") has assigned a rating of "Aa3 (stable outlook)" to the Series 2020B Bonds. Such rating reflects only the views of Moody's at the time such rating was given. An explanation of the significance of the rating may be obtained from Moody's. There is no assurance that such rating will continue for any given period of time or that the rating will not be revised downward or withdrawn entirely by Moody's, if in its judgment circumstances so warrant. Any downward revision or withdrawal of a rating may have an adverse effect on the market price of the Series 2020B Bonds.

Neither the City nor the Underwriter has undertaken any responsibility subsequent to the issuance of the Series 2020B Bonds to assure the maintenance of the rating or to oppose any revision or withdrawal of the rating. No application has been made to any rating agency other than Moody's for a rating on the Series 2020B Bonds.

LEGAL MATTERS

Legal Opinions. Legal matters incident to the authorization and issuance of the Bonds are subject to the unqualified approving opinion of Friday, Eldredge & Clark, LLP, Little Rock, Arkansas, Bond Counsel, a copy of whose approving opinion, the form of which is attached hereto as Appendix B, will be delivered with the Series 2020B Bonds.

Arkansas Tax Exemption. In the opinion of Friday, Eldredge & Clark, LLP, Bond Counsel, under existing law the Series 2020B Bonds and the interest thereon are exempt from all Arkansas state, county and municipal tax.

FINANCIAL STATEMENTS

Set forth in Appendix A to this Official Statement are the audited financial statements of the System for the fiscal years ended December 31, 2019 and 2018. These financial statements were prepared in accordance with accounting principles generally accepted in the United States of America and were audited in accordance with auditing standards generally accepted in the United States of America. The notes set forth in Appendix A are an integral part of the financial statements, and the statements and notes should be read in their entirety.

MISCELLANEOUS

The City has furnished the information in this Official Statement relating to the operations of the System. The Underwriter has furnished the information in this Official Statement with respect to the public offering prices of the Series 2020B Bonds and the information under the caption "**UNDERWRITING**" herein.

Any statements made in this Official Statement involving matters of opinion or of estimates, whether or not so expressly stated, are set forth as such and not as representations of fact, and no representation is made that any of the estimates will be realized. This Official Statement is not to be construed as a contract or agreement between the City and the purchasers or owners of any of the Series 2020B Bonds.

ACCURACY AND COMPLETENESS OF OFFICIAL STATEMENT

The information contained in this Official Statement has been taken from sources considered to be reliable, but is not guaranteed. To the best of the knowledge of the City, this Official Statement does not include any untrue statement of a material fact, nor does it omit the statement of any material fact required to be stated herein, or necessary to make the statements herein, in light of the circumstances under which they were made, not misleading.

This execution and delivery of this Official Statement has been duly authorized by the City of Little Rock, Arkansas.

CITY OF LITTLE ROCK, ARKANSAS

By: /s/ Frank Scott, Jr.
Mayor

APPENDIX A

AUDITED FINANCIAL STATEMENTS OF THE SYSTEM AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2019 AND 2018

LITTLE ROCK
Water Reclamation Authority
ONE WATER. ONE FUTURE.

LITTLE ROCK, ARKANSAS

A Component Unit of the City of Little Rock, Arkansas

Comprehensive Annual Financial Report

For the Years Ended December 31, 2019 and 2018

LITTLE ROCK WATER RECLAMATION AUTHORITY

Little Rock, Arkansas

A Component Unit of the City of Little Rock

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LITTLE ROCK WATER RECLAMATION AUTHORITY

Little Rock, Arkansas

A Component Unit of the City of Little Rock

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INTRODUCTORY SECTION

LITTLE ROCK
Water Reclamation Authority
ONE WATER.
ONE FUTURE.

May 15, 2020

To Little Rock Water Reclamation Commission,
Little Rock City Board of Directors, and
Little Rock Water Reclamation Authority Customers

The staff of Little Rock Water Reclamation Authority (LRWRA or the Utility) is proud to present the Comprehensive Annual Financial Report (CAFR) for the fiscal years ended December 31, 2019 and 2018. State law requires every general-purpose local government publish a complete set of audited financial statements for each fiscal year. This report is published to fulfill that requirement for the fiscal year ended December 31, 2019. Responsibility for the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with LRWRA.

The CAFR is management's representation of the finances of LRWRA. Management assumes full responsibility for the completeness and reliability of all the information presented in this report, based upon a comprehensive framework of internal control that LRWRA has established for this purpose. Because the cost of internal controls should not outweigh their benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements will be free from material misstatement.

LRWRA's financial statements have been audited by **BKD, LLP**, a firm of licensed certified public accountants. BKD has issued unmodified (clean) opinions on LRWRA's financial statements for the years ended December 31, 2019 and 2018. The independent auditor's report is located at the front of the financial section of this report.

Management's discussion and analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. MD&A complements this letter of transmittal and should be read in conjunction with it.

Profile of the Government

The *1933 Arkansas General Assembly Enacted Act 132* authorizes all cities and towns in the state to levy user charges against property owners "to construct, own, equip, operate, maintain and improve" sewage collection and treatment systems. In June 1935, a full-fledged Sanitary Sewer Committee was appointed, and the City of Little Rock Sanitary Sewer System was created. The seven-member committee changed the governing board from Little Rock Sanitary Sewer Committee (LRSSC) to Little Rock Water Reclamation Commission (LRWRC) in 2015. LRWRC changed the organization's name from Little Rock Wastewater (LRW) to Little Rock Water Reclamation Authority (LRWRA) in July 2017. The LRWRC manages and controls the City's sewer system. The LRWRC and LRWRA must seek approval of all sewer rate increases and long-term financing through the City of Little Rock Board of Directors (LRBOD). The LRBOD appoints LRWRC members. The LRWRC in turn hires a Chief Executive Officer. The LRWRC meets publicly on the third Wednesday of each month.

LRWRA provides wastewater service to its customers. For financial reporting purposes, LRWRA is considered a component unit of the City of Little Rock, Arkansas. The LRWRC operates and manages LRWRA with the City of Little Rock (City) having the power to impose its will on LRWRA. LRWRA adopts an annual operating, capital, and debt service budget along with associated rates and fees for services; and issues updates to its Rules and Regulations.

LRWRA recovers the cost of providing wastewater services primarily through user charges and collects a Franchise Fee which is remitted to the City.

The LRWRC is required to adopt a final budget by no later than the close of the fiscal year. This annual operating and capital budget serves as the foundation for LRWRA's financial planning and control. The budget is submitted by each department, consolidated and prepared by the Finance Department and reviewed by the budget subcommittee before final approval from the LRWRC. Financial overviews are presented at each monthly LRWRC meeting to show that current operations are being conducted in accordance to management's intentions.

Factors Affecting Financial Condition

The information presented in the financial statements is perhaps best understood when it is considered from the broader perspective of the specific environment in which LRWRA operates.

Local Economy

The City currently enjoys a favorable economic environment and local indicators point to continued stability. The City is the capital and largest city of Arkansas as well as the governmental, economic, cultural and financial center of the state. The City and surrounding communities have a mix of industry – state government, centralized health care centers, a financial sector, information sector and a variety of other sectors that are not cyclical. As Arkansas's capital city, Little Rock is renowned for its charming hospitality, history and culture. Recently ranked the third most "Travel Worthey State Capital," by *USA Today* readers, Little Rock continues to garner national and international acclaim for its quality of life and tourism amenities.

The customer base has continued to grow at a slow but steady pace from previous years for the domestic (residential) and non-domestic (non-residential) users of the City of Little Rock Water Reclamation System (the System). The number of domestic customer accounts has increased by 4.12% over the past 10 years, while non-domestic customer accounts have increased by 4.82% over the same period. The overall growth of total customer accounts for the 10-year period is 4.19%, an increase of 1.25% from 2018.

Long-Term Financial Planning

The Capital Improvement Plan (CIP) is a multi-year plan to address capital projects outlined in the System Evaluation and Capacity Assurance Plan (SECAP), the SECAP update, and routine expenditures to maintain infrastructure and replace aging fleet and equipment. The SECAP was adopted as part of the Sierra Club Settlement Agreement dated September 12, 2001. In 2006, Arkansas Department of Environmental Quality (ADEQ) and LRWRA signed a Consent Administrative Order (CAO) to address sanitary sewer overflows. The deadline to complete all the requirements of the CAO was initially set at January 1, 2016. In 2010, RJN Group was selected to provide LRWRA with an update to the SECAP report. In 2011, the deadline to complete the requirements of the CAO was extended three years to December 31, 2018. During 2015, LRWRA changed the capital improvement program to focus on Collection System Overflow Mitigation Projects instead of wet weather storage facilities. Because of these changes, the deadline to complete all the requirements of the CAO and the Settlement Agreement was extended to December 31, 2023.

The 10-year plan contained in the 2020 budget includes estimated capital expenditures required to meet the goals of the SECAP plan from the study completed in 2002, the updated study from 2010, and the new Collection System Overflow Mitigation Projects by December 31, 2023. The plan is updated annually to reflect the latest priorities, updated cost estimates, and anticipated funding. Total estimated costs remaining to satisfy the CAO requirements are $75.0 million. *Note 8*, Litigation, of the audit discusses the Settlement Agreement in more detail.

Total capital expenditures of $62.1 million are planned for 2020. Of this amount, $53.4 million relates to carryover projects and $8.7 million is proposed for new capital projects.

The Utility estimates that capital improvements required over the next 10 years, both to comply with the Settlement Agreement and the CAO and for routine capital improvements, will cost $248.4 million. Some of the larger capital projects included in the capital budget are as follows:

Collection System Rehabilitation Capacity Assurance Projects

Various rehabilitation projects are forecast to require expenditures totaling $107.8 million over the next 10 years through 2029. The total cost of work scheduled during 2020 is $38.3 million and will be funded with system revenues and sewer revenue bonds issued in 2016, 2018 and 2019. The balance of the cost will be funded with System revenues and sewer revenue bonds to be issued in 2020 and 2024.

Trenchless Sewer Line Rehabilitation

Trenchless sewer line rehabilitation is for the renewal of structurally deteriorated line segments that contribute to non-capacity overflows. The line segments for trenchless rehabilitation are typically located in areas where replacement by reconstruction is costly due to site restrictions. For 2020, $3.0 million is forecasted for trenchless rehabilitation work. The Utility is projecting that $21.5 million will be needed in total for years 2020 to 2029. This project is being funded with System revenues and sewer revenue bonds from 2016, 2018, 2019, 2020 and 2024.

Large Diameter Pipe Inspection and Rehabilitation

A large diameter pipe inspection and rehabilitation program started to address the renewal of structurally deteriorated line segments. The 2020 cost is estimated at $3.0 million. The identified line segments will be prioritized and placed on a rehabilitation schedule. The rehabilitation is estimated at a total cost of $30.6 million through 2026 and will be funded by System revenues and revenue bonds to be issued in 2018, 2019, 2020 and 2024.

Adams Field Water Reclamation Facility – Parallel Treatment Installation/Disinfection

To help reduce wet-weather overflows, LRWRA plans to increase the peak flow treatment capacity of its Adams Field Water Reclamation Facility (AFWRF) to 94 million gallons per day (MGD) by installing media filters at additional treatment facilities that will be operated in parallel with the existing activated sludge facilities. The project construction is expected to be completed by 2020 and the total capital cost for this project is estimated at $34.1 million. The funding sources are sewer revenue bonds RLF 2016A and RLF 2020.

Adams Field WTF Asset Renewal – Phase II

Based on current trends and in anticipation of future regulatory requirements on nutrient removal, LRWRA created a project for projected upgrades to facilities through the design phase for nutrient removal. Estimated expenditures through 2025 (estimated completion date) are $4.7 million and will be funded by System revenues and sewer revenue bond RLF 2024.

Fourche Creek Water Reclamation Facility Phase III – Rehabilitation

In the 2008 Facility Plan for the facility, the hydraulic throughput of the plant was increased from 36 MDG to 52 MGD to allow for anticipated growth in the industrial port complex. Construction is scheduled to be completed by the end of 2021. The total cost is estimated at $15.9 million for the construction of hydraulic and other capital improvements and will be funded by System revenues and sewer revenue bond RLF 2016 and 2017 bonds.

Jamison Pump Station Upgrade

The Jamison Road Pump Station was constructed in 1993. The station consists of five submersible pumps, which include two 25 hp and three 150 hp pumps. There are two grinders and screens—one on each of the inlet channels. Dry weather flow at the station is approximately 2 MGD. Peak pumping capacity is approximately 16 MGD. Overall the wet well, valve vault, and building structure are in good condition and the station is functioning as designed. No changes are immediately required, but the SECAP recommended installing back-up power, painting the ferrous surfaces at the station, and replacing the grinders with a mechanical bar screen when maintenance of the grinders becomes an issue. The project is scheduled to start in 2020 and be completed in 2021. Estimated total cost is $2.3 million and will be funded by System revenues and sewer revenue bond RLF 2020.

Two Rivers Park Station

The Two Rivers Park Pump Station would allow the Walton Heights area sewer to operate independently during all wasting activities at Little Maumelle Water Reclamation Facility (LMWRF). The Walton Heights gravity line valve must be shut during wasting, or the flows from the LMWRF will back up in the lines and cause stoppages and overflows. This project would allow the flexibility to waste at the treatment plant when needed. The project is scheduled to start in 2020 and finish in 2022. Estimated total cost is $3.4 million, with funding coming from the 2020 RLF.

Financial Policies

LRWRA is accounted for as an Enterprise Fund, which is a proprietary fund. Enterprise Funds are used to account for operations that are financed and operated in a manner like private business enterprises. The intent of LRWRA is that the cost (including depreciation) of providing goods or services to the public on a continuing basis be financed or recovered primarily through user rates. All activities necessary to provide such services are accounted for in this fund including, but not limited to, administration, operations, maintenance, financing and related debt issues and billing and collection.

Flow of Funds Policy

The flow of funds is established based on parity bond ordinances. The most recent City of Little Rock Bond Ordinance is No. 21,699. The ordinance states that rates charged for services of the System are fixed by ordinances of the City and all System revenues shall be paid into a special fund designated "Sewer Fund" (or Revenue Fund). The System revenues deposited in the Revenue Fund are pledged and applied in sequence to: (a) current expenses of maintenance and operations; (b) payment, pro rata, into the bond fund being maintained in connection with the Parity Bonds and any Additional Bonds that require monthly deposits; (c) payment, pro rata, into the bond fund being maintained in connection with the Subordinate Bonds; (d) payment into the Deprecation Fund (3% of System Revenues remaining after disbursement into (a), (b) and (c) from above); and (e) any surplus in the Revenue Fund after making all disbursements and providing for all funds described above may be used for any lawful purpose related to the System authorized by the LRWRA.

Sewer Revenue Fund

All gross revenues are deposited into the Sewer Revenue Fund (Revenue Fund). Monies deposited in the Sewer Revenue Fund shall first be used to pay all Operation and Maintenance Expenses (O&M). The revenues of the System not actually required to pay Operation and Maintenance Expenses (Net Revenues) shall be transferred from the Revenue Fund to the other funds, in the order of priority, in the manner set forth in the Bond Ordinance.

Bond Fund

The following shall be deposited in the Bond Fund:

1. Such amounts, in equal monthly installments by the 10th of the month following the month of closing, and on or before the 10th of each month thereafter, as will be sufficient to pay principal and interest scheduled to come due on the bonds' next principal and interest payment date, less any amount already on deposit therein for such purposes derived from the proceeds of the bonds or from any other lawfully available source.
2. Additional sums as necessary to provide for the Trustee's fees and expenses and any arbitrage rebate payment due to be paid to the United States Treasury under Section 148(f) of the code.

Bond Reserve Fund

If the funds on deposit in the Bond Reserve Fund created for the benefit of all bonds are equal to the Reserve Fund Requirement, no deposits need to be made to the credit on the individual Bond Reserve Funds. However, should the Bond Reserve Fund at any time contain less than the Reserve Fund Requirement, then subject and subordinate to making the required deposits to the credit of the Bond Fund, LRWRA shall transfer from the Net Revenues in the Revenue Fund and deposit to the credit of the Bond Reserve Fund, by the 10th day of each month, such amounts in equal monthly installments to accumulate within no longer than a 24-month period equal to the Reserve Fund Requirement. The money on deposit in the Bond Reserve Fund may be used to pay the principal and interest on all bonds at any time there are not sufficient funds on deposit in the Bond Fund for such purposes.

Depreciation Fund

Three percent (3%) of the remaining money in the Revenue Fund at the end of each month after all payments required to be made from the Revenue Fund have been made and all deficiencies accumulated from prior months have been paid shall be deposited in the Depreciation Fund and shall be held in and paid out from such fund for the following purpose:

To be used solely for paying the cost of replacement made necessary by the depreciation of the System.

Contributions in Aid of Construction Fund

Any monies that may be received by the LRWRC that shall represent contributions in aid of construction shall be deposited in a separate account at the depository bank. Such contributions shall not be considered as part of the gross revenues of the System. Payments from such bank account shall be made only for the purposes for which the contributions were made, including any refunds that may become due to any contributor.

Capital Projects Fund

Any monies derived from the proceeds of Sewer Revenue Bond issues, State RLF issues or transfers from the Revenue Fund to finance major capital improvement projects.

Capital Improvements Budget Policy

A budget will be prepared for all capital expenditures contemplated, including estimated amounts to complete active construction projects, projects and capitalized purchases planned for the succeeding calendar year, and all projects for which a commitment of funds is to be made even though the actual expenditure will not occur in the succeeding year.

This budget is used for projecting anticipated capital requirements and becomes a vital element in the LRWRA Operating Plan.

The initial capital budget is prepared by each department at LRWRA, assimilated and reviewed by the Engineering and Finance departments, and submitted for approval to the Director of Engineering and the Executive Staff.

After the CEO's approval, the Capital Budget will be incorporated into the LRWRA Operating Plan and submitted to the LRWRC for approval.

Upon approval, all proposed expenditures included in the Capital Budget will be classified as "Planned Expenditures." Any of the capital expenditures proposed during the plan year which are not included in the approved capital budget will be classified as "Unplanned Expenditures."

Expenditures equal to or greater than $5,000 on construction projects or purchases of new equipment are hereby defined as capital expenditures. Expenditures equal to or greater than $5,000 on work, equipment parts, or a combination of the two, that add discernible life to an existing depreciated asset are also defined as capital expenditures. In general, expenses associated with additions, replacements, reconstructions, improvements or betterments qualify as capital expenditures.

Due to state procurement laws and the nature of capital improvement expenditures, it generally takes more than one (1) fiscal year to complete most capital improvement projects. Therefore, many projects carry over from year to year before they are completed and placed into service. LRWRA does not award a project contract unless it is fully funded. However, many large projects have multiple year and/or multiple phase construction periods. LRWRA uses several benchmarks of efficiency to ensure capital budget integrity. These include timely completion clauses, aggressive efforts to minimize change orders, and tracking the progress of the overall Capital Improvement Plan (CIP).

The following is a typical schedule for the development of a CIP and an O&M budget:

- January 1 – fiscal year begins.
- July and August – department heads formulate their requests for O&M budgets as well as their capital budget requests for the upcoming budget year and the succeeding four years.
- September – department heads and supervisors submit their budget requests, which are then combined into the first draft of the overall LRWRA budget. The finance staff is responsible for combining them for each department's O&M and capital requests, budget revenues and other expenditures. The CEO, officers, directors, department heads and supervisors review the submitted budgets and establish priorities based on need and availability of funds.
- September (continued) – any changes resulting from management reviews are made at that time. One or more members of the LRWRC, serving as the Budget Subcommittee, reviews the budget document with LRWRA staff. Any revisions resulting from the Budget Subcommittee's review are made at that time.
- October – the budget is presented at the regularly scheduled LRWRC meeting.
- November – the budget is considered for approval at the regularly scheduled LRWRC meeting.

Budget Amendment Policy

Operating or capital budget line item transfers are done on a memorandum basis and submitted by the requesting manager to the Controller. Budgetary transfers are subject to approval by management but do not require approval from the LRWRC. Emergency funding authorizations and amendments to the approved operating or capital budgets require approval from the LRWRC.

Revenue Policy

City of Little Rock Ordinance No. 21,080 requires that the LRWRC maintain rates sufficient to produce or yield revenues to provide in each fiscal year amounts adequate to pay all estimated expenses incurred for the operations and maintenance of the System as such expenses that shall accrue during the year. The current bond ordinance requires that LRWRA produce an additional amount equal to 100% of the aggregate amount required to be paid in such year for principal and interest and redemption premiums on bonds payable from the Bond Fund.

LRWRA is a component unit of the City of Little Rock and operates as an autonomous enterprise fund. Enterprise funds are used to account for operations that are financed and operated in a manner like a private business enterprise, where the intent of the governing body is that the costs (including depreciation) of providing goods or services to the public on a continuing basis be financed or recovered primarily through user rates.

All activities necessary to provide such services are accounted for in this fund, including (but not limited to) administration, operations, maintenance, financing and related debt service, and billing and collection. Because LRWRA operates in a proprietary manner, the major revenue sources are user charges for wastewater services. LRWRA's revenue requirements are based on cost of service. This includes operating costs, expenditures for capital improvements, and repayment of debt. The description and figures of the revenue sources are covered in the financial overview section of this budget.

Operating Cash Reserve Policy

Resolution No 2012-12 created a 60-day operating cash reserve of operations and maintenance, revenue-funded capital, and debt principal and interest requirements by December 31, 2020, and set a minimum cash operating balance of 45 days effective immediately. This resolution also gives the CEO and staff authorization to take necessary action if reserve levels drop below minimum to adjust expenses and replenish reserves.

Investment Policy

LRWRA's Investment Policy outlined in the bond ordinances, requires available funds to be invested and reinvested at the direction of the LRWRC in eligible investments. Those eligible investments shall have a maturity of no longer than five (5) years from the date of acquisition unless, as documented at the time of acquisition, the investment is to fund or support a specific purpose and there are no expectations that the investment will be sold before maturity. The primary objectives of the investment policy are: 1) preservation of capital; 2) safety of LRWRA funds; 3) maintenance of sufficient liquidity; 4) maximization of return within acceptable risk constraints; and 5) diversification of investments. The Investment Policy requires an annual review of its investment policy and strategies by the CFO and Controller.

"Eligible Investments" defined by Arkansas statute (AR § Code 19-1-501) authorizes LRWRA to invest in investment securities such as: (1) direct or guaranteed obligation of the United States that is backed by the full faith and credit of the U.S. Government; (2) A direct obligation of an agency, instrumentality, or government-sponsored enterprise created by act of the United States Congress and authorized to issue securities or evidences of indebtedness guaranteed for repayment by the U.S. Government; and (3) A bond of a governmental entity that: (A) Is issued for an essential governmental purpose or is guaranteed by a state agency; and (B) Has a debt rating from a nationally recognized credit rating agency of "A" or better at the time of purchase, or other debt of the state, a school district, a county government, a municipal government, or an authority.

Debt Service Policy

Approved rate increases are included in the Financial Plan and are mainly driven by the capital improvement program and debt service coverage required both by the revenue bond covenants and by the LRWRC benchmarks for financial management. The parity revenue bond covenants require debt service coverage of 1.2 times or greater (meaning 120% of the current year's debt service requirements must be available that fiscal year to issue new debt). LRWRA does not have a legal debt limit.

Awards and Acknowledgements

The Government Finance Officers Association (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Little Rock Water Reclamation Authority, Little Rock, Arkansas, for its Comprehensive Annual Financial Report (CAFR) for the fiscal year ended December 31, 2018. This was the fifteenth year in a row that LRWRA has received this prestigious award. To be awarded a Certificate of Achievement, LRWRA had to publish an easily readable and efficiently organized CAFR that satisfied both generally accepted accounting principles and applicable legal requirements. A Certificate of Achievement is valid for a period of one (1) year. We believe that our CAFR for the year ended December 31, 2019, continues to meet the Certificate of Achievement Program's requirements and will be submitting it to the GFOA to determine its eligibility.

The preparation of this report would not have been possible without the efficient and dedicated service of Michael Rhoda, Chief Financial Officer, and the entire staff of LRWRA Finance.

Respectfully submitted,

Greg Ramon
Chief Executive Officer

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Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

Little Rock

Water Reclamation Authority

Arkansas

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

December 31, 2018

Christopher P. Morrill

Executive Director/CEO

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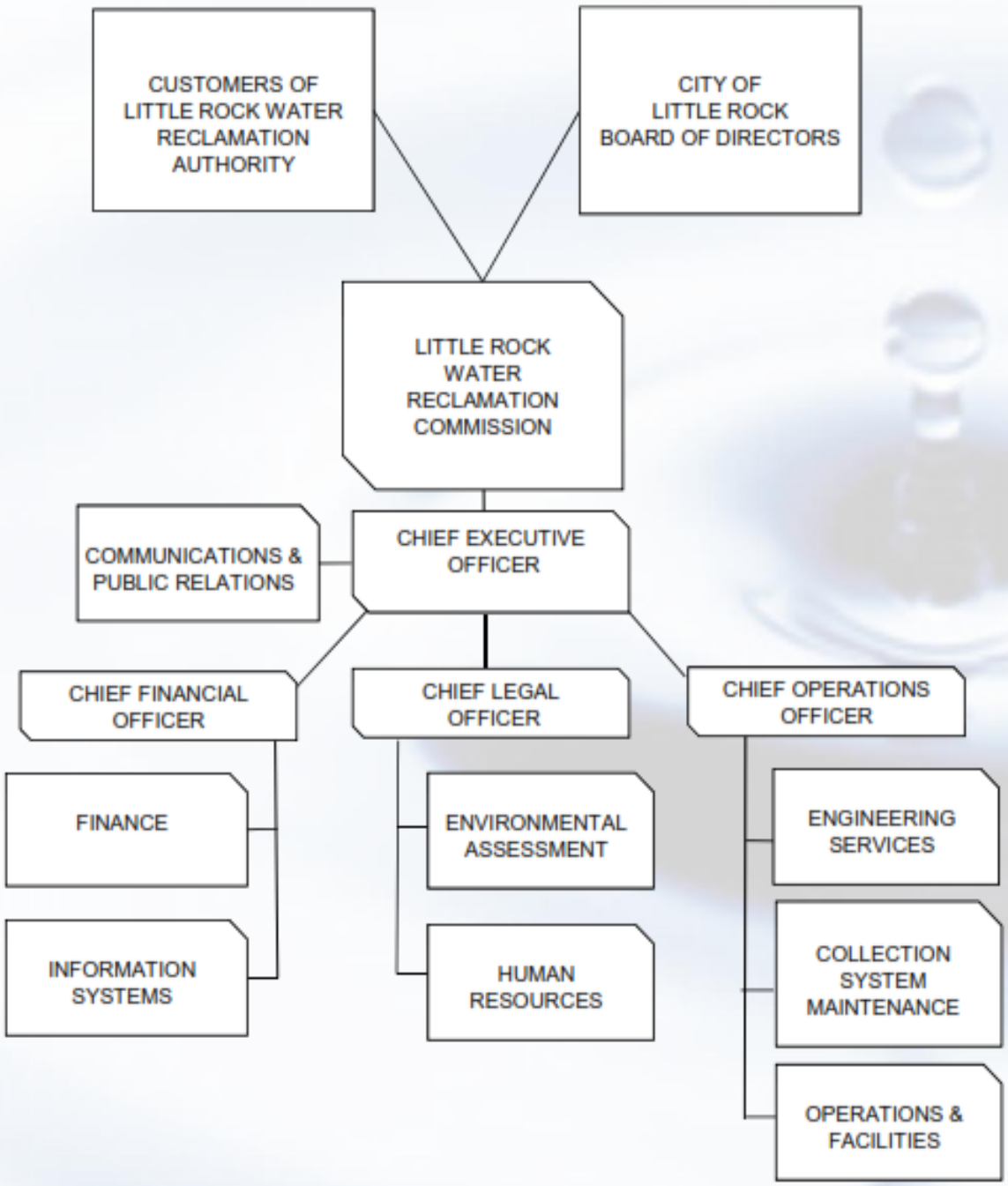
LITTLE ROCK WATER RECLAMATION AUTHORITY ORGANIZATIONAL CHART



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2019 LITTLE ROCK WATER RECLAMATION COMMISSION

Ganelle Holman
Secretary

Richard Mays Jr.
Chair

Chris Marsh
Vice Chair

Debbie Shock
Commissioner

Bill Flowers
Commissioner

Schawnee Hightower
Commissioner

Lauren Ward
Commissioner

EXECUTIVE STAFF

Greg Ramon – Chief Executive Officer
Mike Rhoda – Chief Financial Officer
Jean Block – Chief Legal Officer
Howell Anderson, P.E. – Chief Operating Officer
John Holloway, P.E. – Engineering
Jamie Ewing – Environmental Assessment
Walter Collins, P.E. – Operations

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FINANCIAL SECTION

LITTLE ROCK
Water Reclamation Authority
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BKD
CPAs & Advisors

14241 Dallas Parkway, Suite 1100 | Dallas, TX 75254-2961
972.702.8262 | Fax 972.702.0673 | bkd.com

Independent Auditor's Report

The Members of the Little Rock
Water Reclamation Commission
Little Rock Water Reclamation Authority
Little Rock, Arkansas

We have audited the accompanying financial statements of the business-type activities of Little Rock Water Reclamation Authority (Utility) as of and for the years ended December 31, 2019 and 2018, and the fiduciary activities of the Utility for the year ended December 31, 2019, collectively a component unit of the City of Little Rock, Arkansas, and the related notes to the financial statements, which collectively comprise the Utility's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

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Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities of Little Rock Water Reclamation Authority as of December 31, 2019 and 2018, and the fiduciary activities as of December 31, 2019, and the respective changes in financial position and, where applicable, cash flows thereof for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in *Note 1* to the financial statements, in 2019 the Utility adopted Governmental Accounting Standards Board (GASB) Statement No. 84, *Fiduciary Activities*. Our opinions are not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and pension and other postemployment information as listed in the table of contents be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audits were conducted for the purpose of forming opinions on the financial statements that collectively comprise the Little Rock Water Reclamation Authority’s basic financial statements. The introductory section, budgetary comparison schedule, schedule of operating expenses by department – excluding depreciation, schedule of bonded indebtedness and the statistical section as listed in the table of contents, are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The budgetary comparison schedule, schedule of operating expenses by department – excluding depreciation and schedule of bonded indebtedness are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the budgetary comparison schedule, schedule of operating expenses – excluding depreciation and schedule of bonded indebtedness are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections as listed in the table of contents have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

BKD, LLP

Dallas, Texas
May 15, 2020

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MANAGEMENT'S DISCUSSION AND ANALYSIS

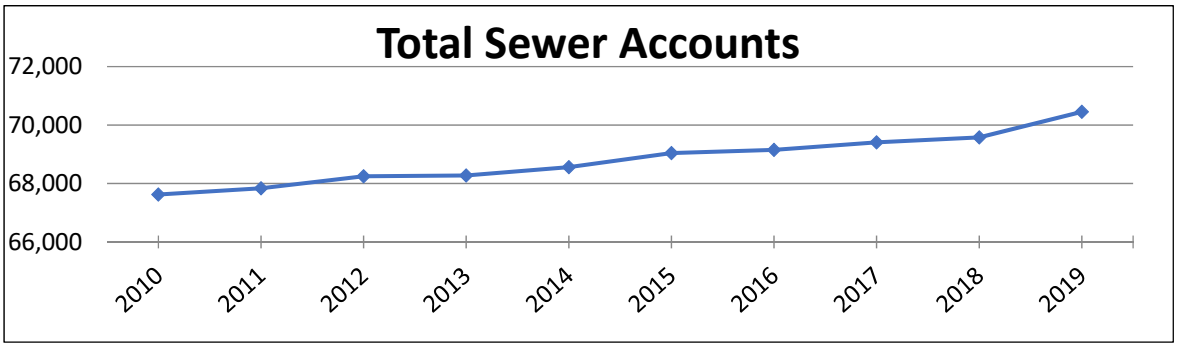
As management of Little Rock Water Reclamation Authority (LRWRA), we offer readers of LRWRA's financial statements this narrative overview and analysis of the financial activities of LRWRA for the fiscal year ended December 31, 2019. We encourage readers to consider the information presented here in conjunction with additional information that is provided in our letter of transmittal, which can be found on pages 1 through 9 of this report. The comprehensive annual financial report is made available via the internet (www.lrwra.com). The use of the internet is consistent with LRWRA's objective to provide greater information to the public in a more efficient manner, reducing paperwork, labor and communication costs.

Financial Highlights

- Total Assets and Deferred Outflows of Resources at December 31, 2019, were $588.9 million and exceeded Total Liabilities and Deferred Inflows of Resources that totaled $376.4 million. Total Net Position was $212.5 million, an increase of 4.3% from 2018. Total Assets and Deferred Outflows of Resources at **December 31, 2018**, were $550.1 million and exceeded Total Liabilities and Deferred Inflows of Resources that totaled $346.4 million. Total Net Position was $203.7 million, an increase of 2.4% from 2017.
- Operating Revenue for fiscal year 2019 was $60.8 million, which is a decrease of $135,000, or 0.2%, from fiscal year 2018. Even though LRWRA implemented a rate change of 4.75% in January 2019, revenues decreased from fiscal year 2018 due to a lower usage by both domestic and non-domestic customers. Operating Revenue for fiscal year 2018 was $60.9 million, which is an increase of $5.6 million, or 9.9%, from fiscal year 2017. The increase in fiscal year 2018 from fiscal year 2017 reflects two major items; LRWRA implemented a rate change of 4.75% and a 4% increase in surcharge to industrial customers.
- Operating Expenses, before Depreciation, for fiscal year 2019 were $30.2 million, which is an increase of $1.9 million, or 6.5%, compared to fiscal year 2018. The increases were primarily driven by a $1.8 million increase in salaries and benefits in fiscal year 2019 compared to fiscal year 2018. Operating Expenses, before Depreciation, for fiscal year 2018 were $28.3 million, which is an increase of $1.1 million, or 4.2%, from 2017. The major increases were $195,000 in salaries and benefits, $396,000 in contract services and $346,000 in administrative expense in fiscal year 2018 compared to fiscal year 2017.
- Operating Expenses, including Depreciation, for fiscal year 2019 were $47.2 million, which is an increase of $2.7 million, or 6.3%, from fiscal year 2018. Operating Expenses, including Depreciation, for fiscal year 2018 were $44.4 million, which was an increase of $2.0 million, or 4.8%, from fiscal year 2017.
- Debt Service Coverage was 2.26, which exceeds the 1.20 required by the Bond Covenant. In the Statistical Data Section, Schedule 11 – Pledged-Revenue Coverage provides more information on debt service coverage.
- In August 2015, the City of Little Rock Board of Directors passed a new Sewer Rate Ordinance. The ordinance included a five-step sewer rate adjustment timeline; 4.75% for January 2017; 4.75% for January 2018; 4.75% for January 2019; 4.75% for January 2020; and 4.75% for January 2021. Most of this revenue is to fund debt service for the 2016 Sewer Revenue Bond, the 2017 Construction Revenue Bond, the 2018 Sewer Revenue Bond, the 2019 Sewer Revenue Bond, and a future debt issue in 2020.
- Adoption of Governmental Accounting Standards Board (GASB) Statement No. 84, *Fiduciary Activities* (GASB 84). This implementation resulted in the restatement of 2019 beginning fiduciary net position.

General Trends

LRWRA's customer accounts increased in 2019 from December 31, 2018 by 1.25%, or 873, and from 2017 by 170, or 0.24%. Over a 10-year period, the customer growth rate was 4.19%. As you can see from the chart below, customer growth has slow steady upward movement starting in 2010 to present.



Water Reclamation Authority Customers	2019	2018	2017
Beginning customer accounts	69,580	69,410	69,039
Additional customers (net)	873	170	371
Ending customers	70,453	69,580	69,410

The following chart shows a sample monthly domestic customer bill based on a consumption of 6 Ccf. These amounts do not include a 10.0% franchise fee that is collected for and paid to the City of Little Rock or the monthly $1.00 service line replacement fee.

Domestic Bill	2019	2018	2017
	$ 38.03	$ 36.31	$ 34.66

Little Rock's Water Reclamation Authority rates remain moderately higher than neighboring utilities based on yearly rate surveys. The LRWRC updates the annual budget plan that allows LRWRA to project the need for potential rate adjustments in conjunction future foreseen with major capital construction and debt issuance.

Little Rock Water Reclamation Authority System

LRWRA is regulated by the United States Environmental Protection Agency (EPA) and the Arkansas Department of Environmental Quality (ADEQ). These agencies issue permits to LRWRA for discharge of treated wastewater. Currently, LRWRA has 34 remote, unattended pumping stations, one tertiary and two secondary treatment facilities, a peak flow attenuation facility, a maintenance facility and an administration building. The collection system includes over 124 square miles containing approximately 1,393 miles of sewer lines. The National Association of Clean Water Agencies (NACWA) awarded all three LRWRA facilities in 2019. Adams Field was awarded a Platinum Peak Performance Award, which recognizes facilities with consistent record of full compliance for a consecutive five-year period; Fourche Creek was awarded a Gold Peak Performance Award, which recognizes facilities with no permit violations for the entire calendar year, and Little Maumelle was awarded a Silver Award!

The Adams Field Water Reclamation Facility has been in operation since 1961 and was Little Rock's first water reclamation facility. The facility was put into operation at a cost of $3.5 million and was only equipped with primary treatment capability. Secondary treatment facilities were added in the early 1970s at a cost of $6.2 million. The latest facility upgrade was completed in 2007 at a cost of $27.5 million. The construction consisted of upgrading the primary clarifiers for peak flow and building an equalization basin to hold up to 14 million gallons. The plant has a new Hydraulic Peak Capacity, with the maximum capacity consisting of 94 Million Gallons per Day (MGD). The plant is a complete-mix activated sludge plant, serving approximately 70% of the city of Little Rock, and is a two-stage secondary treatment plant, designed to reduce the pollutant load by approximately 90% through a combination of physical and biological processes. Starting in 2007, this treatment facility added an Ultra-Violet disinfection process.

The Fourche Creek Water Reclamation Facility (FCWRF) has been providing wastewater treatment to the Fourche Creek Valley since 1983 when it was placed in service at a cost of $19.6 million. The step-feed activated sludge process was brought on line in 1989 at a cost of $9 million. The FCWRF is also a two-stage, or secondary treatment facility. It has a rated biological treatment capacity of 16 MGD. The plant's annual average dry weather influent sewage flow is 12 MGD.

FCWRF has a hydrological capacity of 32MGD. The facility is currently in the construction stage of being upgraded to accommodate higher peak wet weather flows to approximately 48 MGD to further mitigate collection system surcharging.

The Little Maumelle Water Reclamation Facility came online in September 2011 and serves the residents of the Little Maumelle River Valley. It is the only treatment facility in Arkansas to have a tertiary treatment process. This activated sludge treatment plant of 4 MGD was built so that it could be expanded to 16 MGD. The facility has an odor control system and uses Ultra Violet light for disinfection. The outfall point (where the disinfected wastewater or effluent will be discharged) has a special diffuser that will scatter the effluent so as not to have one giant flow of treated wastewater. Aesthetically speaking, the facility is completely covered and constructed with a brick façade to match the theme of the nearby Pinnacle Mountain State Park. The cost for land, engineering, construction, administration expenses and contingencies was $80.9 million.

The Peak Flow Attenuation Facility was placed in service in 2009 to help improve the hydraulic capacity of the collection system during wet weather events and address wet weather overflows in the western end of the Fourche Creek Bottoms. This project consists of a 50 MGD pump station, 12,000 linear feet (LF) of 48-inch force main, two (2) diversion structures, and a 30-million-gallon storage facility. This, along with an associated project, Arch Street Pump Station rehabilitation and hydraulic upgrade, cost $54.5 million dollars. It is part of a system created to reduce the effects of designated or 'designed' storm events, also referred to as 'peak flow events,' where a pre-established amount of rain accumulates within 48 hours.

The Clearwater Maintenance Facility is the operations/maintenance complex on a 36-acre tract that was built in 1989 at a cost of $1.79 million. LRWRA jointly owns the building with Central Arkansas Water, and the two (2) utilities share a Fleet Maintenance Department for the maintenance and repair of vehicles and equipment. About 90 LRWRA employees in the Maintenance department work from this facility, making it the home base for a large portion of LRWRA work force.

The Clearwater Administration Building was built in 2005 at a cost of $3.0 million and is located near the Clearwater Maintenance Facility. The CEO, Department Managers, Engineering, Information Services, Accounting, Human Resources, Safety, Communications and Purchasing are all located in the administrative building. This building is also the location for the monthly LRWRC meetings.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to LRWRA's basic financial statements. LRWRA's basic financial statements are: 1) Statement of Net Position; 2) Statement of Revenues, Expenses and Changes in Net Position; 3) Statement of Cash Flows; 4) Statement of Fiduciary Net Position; 5) Statement of Changes in Fiduciary Net Position; and 6) Notes to Financial Statements.

The Statement of Net Position presents information on all LRWRA's assets, deferred outflows, liabilities and deferred inflows with the difference between the four (4) reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of LRWRA is improving or deteriorating.

The Statement of Revenues, Expenses and Changes in Net Position reflects the results of the business activities over the course of the most recent fiscal year and information as to how the net position changed during the year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of the related cash flows.

The Statement of Cash Flow presents changes in cash and cash equivalents, resulting from operational, financing and investing activities. This statement presents cash receipts and cash disbursement information, without consideration of the earnings event, when an obligation arises, or depreciation of capital assets.

A major change to the 2018 LRWRA financial statements was the implementation (and initial adjusting entries for change in accounting principle) of the GASB Statement No. 75, *Financial Reporting for Postemployment Benefits Plans other than Pension Plans* (GASB 75). The primary objective of this statement is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits, or OPEB). It also improves information provided by state and local governmental employers about financial support for OPEB that is provided by other entities. The statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. GASB 75 replaces the requirements of GASB Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, *as amended*. Only the net position at the beginning of fiscal year was restated.

A major change to the 2019 LRWRA financial statements was the implementation of the GASB Statement No. 84, *Fiduciary Activities.* The primary objective of this statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes. As a result of the implementation, the Utility included the financial statements of the 401(a) Defined Contribution Plan in the statement of fiduciary net position and the statement of changes in fiduciary net position.

Fiscal Years 2017–2019 Financial Information

Statement of Net Position

Total Assets and Deferred Outflows of Resources increased by $38.8 million in 2019 and increased $20.1 million in 2018. This change was primarily due to the increase in Net Capital Assets, which increased $33.7 million in 2019 and $16.6 million in 2018. *Note 4* on page 42 provides a breakdown between classes of additions and retirements. Also, current assets increased $6.7 million in 2019 and $7.8 million in 2018. The 2019 increase was primarily due to the increase in cash and equivalents of $7.6 million and a decrease of bond requirement-cash and cash equivalents of $1.2 million. The 2018 increase was due to an increase of cash and cash equivalents of $5.7 million, an increase in accounts receivable of $2.9 million and a decrease of bond requirement -cash and cash equivalents of $1.0 million.

Current Liabilities increased 7.2%, or $1.6 million, in 2019 and 17.8%, or $3.5 million, in 2018. The primary causes for the increases were the current portion of bonds payable increasing $1.2 million in 2019 and $324.0 thousand in 2018, and construction accounts payable increased $2.9 million in 2018.

Noncurrent Liabilities increased 8.6% or $27.8 million, for 2019 due to an increase in bonds payable of $26.4 million and an increase of $1.8 million in net pension liability. The increase of 3.2% or $10.1 for 2018 was due to an increase in bonds payable of $7.9 million, a decrease in net pension liability of $3.2 million and an increase in Other Post Employment Benefits (OPEB) of $5.4 million. LRWRA's bond information can be found in *Note 6* starting on Page 43. Additional information for GASB 68 net pension liability can be found on Pages 70 and 71. Total Liabilities increased by $29.4 million from 2018 and $13.6 million from 2017.

In 2019, Total Net Position increased by $8.8 million, or 4.3%, including an increase of $5.9 million from income before contributions, and $2.9 million from capital contributions and grants. In 2018, Total Net Position increased by $4.8 million, or 2.4%, including a change of $7.5 million from income before contributions and grants and $2.8 million from capital contributions and a prior period adjustment of $5.5 million for the implementation of GASB 75.

	2019	Percent Change	2018	Percent Change	2017
Assets					
Current assets	$ 47,594,978	16.30%	$ 40,926,045	23.61%	$ 33,107,687
Noncurrent unrestricted and restricted assets	16,113,998	-4.54%	16,879,965	-13.33%	19,476,487
Capital assets (net)	511,931,639	7.05%	478,224,019	3.59%	461,636,852
Total assets	575,640,615	7.39%	536,030,029	4.24%	514,221,026
Deferred Outflows of Resources					
Bond refunding	8,284,837	-9.12%	9,116,181	-8.66%	9,980,769
Pension funding	2,949,378	-14.82%	3,462,493	-40.17%	5,787,553
OPEB	2,018,483	100.00%	1,516,554	0.00%	-
Total deferred outflows of resources	13,252,698	-5.98%	14,095,228	-10.61%	15,768,322
Total assets and deferred outflows of resources	$ 588,893,313	7.05%	$ 550,125,257	3.80%	$ 529,989,348
Liabilities					
Current liabilities	$ 24,595,168	7.19%	$ 22,945,797	17.75%	$ 19,487,165
Noncurrent liabilities	349,098,339	8.64%	321,325,948	3.25%	311,205,177
Total liabilities	373,693,507	8.55%	344,271,745	4.11%	330,692,342
Deferred Inflows of Resources					
Pension funding	1,047,211	-42.95%	1,835,639	397.05%	369,306
OPEB	1,624,459	100.00%	328,564	0.00%	-
Total deferred inflows of resources	2,671,670	23.45%	2,164,203	486.02%	369,306
Net Position					
Net investment in capital assets	181,817,487	1.58%	178,984,742	2.02%	175,449,301
Restricted	8,002,459	11.97%	7,147,197	-16.01%	8,509,516
Unrestricted	22,708,190	29.34%	17,557,370	17.29%	14,968,883
Total net position	212,528,136	4.34%	203,689,309	2.39%	198,927,700
Total liabilities, deferred inflows of resources and net position	$ 588,893,313	7.05%	$ 550,125,257	3.80%	$ 529,989,348

Statement of Revenues, Expenses and Changes in Net Position

Operating revenue consists of three (3) general categories: assessments levied, industrial surcharges and other fees and income. Assessments levied are monthly residential/commercial service charge billings. Industrial surcharges consist of fees based on wastewaters having excessive Biochemical Oxygen Demand (BOD), Total Suspended Solids (TSS), Oil and Grease (O&G), Chemical Oxygen Demand (COD) or pH discharge. Other fees and income include permit fees, connection fees, inspection fees, sewer dump permits and co-generation revenue.

Nonoperating revenue consists of interest income from investments and cash, and cash equivalent accounts, along with gains on disposal of property, unrealized gains on investments and miscellaneous income.

Total Revenue increased from 2018 to 2019 by $189.5 thousand, or 0.31%, and from 2017 to 2018 by $6.1 million, or 10.9%. Even though LRWRA implemented a rate change of 4.75% in January 2019 , revenues decreased from fiscal year 2018 due to lower usage by both domestic and non-domestic customers. The increase in fiscal year 2018 from fiscal year 2017 reflects an implemented rate change of 4.75% and an increase of 4% for industrial surcharge customers. The end user rate increase of 4.75% in January 2019 and 2018 will be used to support the future debt repayment on the 2016 RLF principal and interest, the 2017 Sewer Revenue Bond principal and interest, 2018 RLF principal and interest, and 2019 RLF principal and interest along with operations. Assessments Levied and Industrial Surcharges decreased in 2019 from 2018 by $100.1 thousand and increased over 2017 by $5.6 million. Nonoperating Revenue increased by $325.0 thousand in 2019 and 2018 increased by $792.9 thousand over 2017. The 2019 and 2018 increases were primarily due to increases in investment income driven by better interest rates and more dollars invested.

Operating Expenses are departmentalized within LRWRA. Expenses are categorized by salaries, benefits, supplies, contract services, vehicle maintenance, utilities, insurance and training and administration and analyzed throughout the year. Nonoperating Expenses consist of interest expense, bond issuance costs, loss on disposal of capital assets, unrestricted loss on investments and miscellaneous expenses.

Total Operating Expense increased by $1.9 million, or 6.5%, in 2019. Total Operating Expenses exceeded the budget by 7.04%. The variance to budget is primarily due to an increase in administrative expenses, filling of vacant positions, associated benefits and normal business activities. Total Operating Expense increased by $1.1 million, or 4.18%, in 2018 from 2017. The major increases in 2018 from 2017 were $195.0 thousand in salaries and benefits, $396.0 thousand in contract services and $346.0 thousand in administrative expenses.

Nonoperating Expense decreased by $1.0 million in 2019 compared to 2018 and increased $391 thousand in 2018 compared to 2017. The 2019 decrease was due to a reduced loss on disposal of capital assets. The 2018 increase was due to an increase in the loss on disposal of capital assets.

Change in Net Position for fiscal year 2019 increased by $8.8 million due primarily to Income Before Contributions of $5.9 million and capital contributions and grants of $2.9 million. Total Net Position – Ending increased by 4.3% compared to 2018. Change in Net Position for fiscal year 2018 increased by $ 10.3 million due primarily to income before contributions of $7.5 million and capital contributions of $2.8 million. Total Net Position – Ending increased by 2.39% compared 2017.

Additional information can be found on the Statement of Revenues, Expenses and Changes in Net Position on Page 28 and Budgetary Comparison Schedule on Page 75.

	2019	Percent Change	2018	Percent Change	2017
Revenues					
Operating revenues					
Assessments levied	$ 58,492,305	-0.59%	$ 58,836,838	10.34%	$ 53,324,852
Industrial surcharges	1,581,640	18.22%	1,337,871	15.04%	1,162,912
Other fees and income	677,903	-4.88%	712,655	-10.77%	798,629
Nonoperating revenues	1,282,573	33.94%	957,559	106.09%	464,636
Total revenues	62,034,421	0.31%	61,844,923	10.93%	55,751,029
Expenses					
Operating expense	30,184,369	6.54%	28,332,522	4.18%	27,196,677
Depreciation expense	17,032,333	5.79%	16,099,423	5.99%	15,190,118
Nonoperating expense	8,889,727	-10.12%	9,890,871	4.12%	9,499,884
Total expense	56,106,429	3.28%	54,322,816	4.70%	51,886,679
Income Before Contributions	5,927,992	-21.19%	7,522,107	94.65%	3,864,350
Capital Contributions and Grants	2,910,835	4.47%	2,786,302	167.37%	1,042,104
Change in Net Position	8,838,827	-14.26%	10,308,409	110.10%	4,906,454
Net Position – Beginning*	203,689,309	5.33%	193,380,900	-0.33%	194,021,246
Total Net Position – Ending	$212,528,136	4.34%	$203,689,309	2.39%	$198,927,700

***** In 2018, LRWRA restated beginning net position for GASB 75 and prior period adjustments totaled $5,546,800. The 2017 amounts presented above have not been adjusted for the restatement

Capital Assets and Debt Administration

The additions to LRWRA's wastewater system capital improvements were $50.9 million in fiscal year 2019. The capital expenditures were incurred for collection system projects in the amounts of $24.5 million, pumping/treatment for $0.8 million, transportation for $1.2 million, mains/development at $1.4 million, AFWTF Parallel Treatment Disinfection for $15.0 million, Scott Hamilton Drive Peak Flow Facility for $.6 million, FCWTF Phase III for $4.0 million, and all other $3.4 million. Additional information can be found on *Note 5* of this report.

The total long-term debt (less bond payable within one year) increased by $27.2 million in 2019. Additional information can be found on *Note 6* of this report.

Moody's Investors Service assigned an Aa3 rating on the City of Little Rock (AR) Sewer Revenue Bonds.

Long-Term Debt	2019	2018	2017
2007B Sewer Revenue Bond	$ 10,221,481	$ 11,098,358	$ 11,951,610
2009A Sewer Revenue Bond	5,365,824	5,740,173	6,107,145
2011 Sewer Revenue and Refunding Bond	7,030,000	8,995,000	10,695,000
2012 Sewer Revenue Bond	23,915,000	24,600,000	25,265,000
2013 Sewer Revenue Bond	31,571,435	33,080,773	34,556,715
2014 Sewer Refunding Revenue Bond	5,715,000	7,015,000	8,290,000
2015 Sewer Refunding Revenue Bond	139,915,000	144,440,000	149,050,000
2016A Sewer Revenue Bond	51,496,650	32,892,558	19,524,179
2016B Sewer Refunding Revenue Bond	16,700,000	17,335,000	17,965,000
2017 Sewer Revenue Bond	10,435,000	10,650,000	10,835,000
2018 Sewer Revenue Bond	28,793,214	7,554,450	-
2019 Sewer Revenue Bond	643,665	-	-
Less debt payable, due within one year	(13,250,740)	(12,085,562)	(11,761,167)
Total long-term debt	$ 318,551,529	$ 291,315,750	$ 282,478,482

Additional information on LRWRA's long-term debt can be found in *Note 7* on Page 43 of this report.

Economic Factors and Next Year's Budget and Rates

LRWRA expects its customer base will continue to grow annually at a modest pace of less than 1.0%. LRWRA believes that fiscal year 2020 revenues could decrease significantly from budget based on the impact of COVID-19 to both domestic and non-domestic customers. LRWRA evaluates the Average Winter Consumption (AWC) for residential customers in the March/April timeframe. The AWC trend of domestic water consumption shows a modest annual usage decline over the past five years. LRWRA has one major customer that accounts for just over 1% of assessment levied revenues (see Schedule 13 – Ten Largest Customers).

The 10-year capital improvement plan set forth in the 2020 budget encompasses the amended deadline of December 31, 2023, to meet the requirements of the Settlement Agreement and the CAO. Unfinished capital projects represented in the 2020 budget primarily relate to wastewater collection, transmission and treatment improvements. Total capital expenditures of $62.1 million are planned for 2020. Of this amount, $53.4 million relates to carryover projects and $8.7 million is proposed for new capital projects.

LRWRA estimates the capital improvements required over the next 10 years, both to comply with the Settlement Agreement and the CAO and for routine capital improvements, will cost $248.4 million. In August 2015, the City of Little Rock Board of Directors passed a five-step rate increase for the following timelines and percentage adjustments; 4.75% on January 1, 2017; 4.75% on January 1, 2018; 4.75% on January 1, 2019; 4.75% on January 1, 2020; and 4.75% on January 1, 2021.

Moody's Investors Service rated LRWRA with a Aa3 and a stable outlook to the 2017 Bond Revenue issue on the underlying rating of the City of Little Rock (AR) Sewer Revenue Bonds based on projected rate increases necessary to support future debt needs to meet the CAO.

Request for Information

This financial report is designed to provide a general overview of LRWRA's finances for the rate payers, citizens, city leaders, investors, and creditors. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the Chief Financial Officer, 11 Clearwater Drive, Little Rock, Arkansas 72204.

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Little Rock Water Reclamation Authority

Statements of Net Position

December 31, 2019 and 2018

Assets	2019	2018
Current Assets		
Cash and cash equivalents	$ 33,845,203	$ 26,203,394
Accounts receivable (net of allowance for doubtful accounts of $465,979 in 2019 and $381,338 in 2018)	6,936,571	6,583,590
Inventories	1,500,234	1,533,657
Prepaid items	121,697	113,323
Construction receivable	8,565	115,132
Restricted current assets		
Bond requirements		
Cash and cash equivalents	4,508,237	5,580,431
Accrued interest receivable	26,318	55,214
Prepaid items	648,153	741,304
Total current assets	47,594,978	40,926,045
Noncurrent Assets		
Unrestricted noncurrent assets		
Workers' compensation fund investments	600,114	596,070
Total unrestricted noncurrent assets	600,114	596,070
Restricted Noncurrent Assets		
Other prepaid items	-	1,092
Bond requirements		
Investments	8,598,729	6,448,773
Cash and cash equivalents	6,915,155	9,834,030
Total restricted noncurrent assets	15,513,884	16,283,895
Capital Assets (Net of Accumulated Depreciation)	511,931,639	478,224,019
Total noncurrent assets	528,045,637	495,103,984
Total assets	575,640,615	536,030,029
Deferred Outflows of Resources		
Deferred amounts on bond refunding	8,284,837	9,116,181
Deferred amounts on pension funding	2,949,378	3,462,493
Deferred amounts on OPEB	2,018,483	1,516,554
Total deferred outflows of resources	13,252,698	14,095,228
Total assets and deferred outflows of resources	$ 588,893,313	$ 550,125,257

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Statements of Net Position (Continued)

December 31, 2019 and 2018

Liabilities	2019	2018
Current Liabilities		
Accounts payable	$ 524,037	$ 397,973
Franchise fee collections due to City of Little Rock	476,996	442,764
Sewer line replacement fee	728,566	492,092
Accrued wages payable and related liabilities	791,519	719,484
Accrued expenses and other	-	33,066
Compensated absences	939,329	922,449
Construction contracts payable	5,126,785	5,533,193
Accrued bond/note interest payable	2,757,196	2,319,214
Bonds payable – current	13,250,740	12,085,562
Total current liabilities	24,595,168	22,945,797
Noncurrent Liabilities		
Bonds payable (net of unamortized premiums)	326,936,619	300,570,733
Compensated absences	64,616	59,237
Net pension liability	17,183,550	15,306,760
Net OPEB liability	4,913,554	5,389,218
Total noncurrent liabilities	349,098,339	321,325,948
Total liabilities	373,693,507	344,271,745
Deferred Inflows of Resources		
Deferred amounts on pension funding	1,047,211	1,835,639
Deferred amount related to OPEB	1,624,459	328,564
	2,671,670	2,164,203
Net Position		
Net investment in capital assets	181,817,487	178,984,742
Restricted		
Debt service	8,002,459	7,147,197
Unrestricted	22,708,190	17,557,370
Total net position	212,528,136	203,689,309
Total liabilities, deferred inflows of resources and net position	$ 588,893,313	$ 550,125,257

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Statements of Revenues, Expenses and Changes in Net Position

Years Ended December 31, 2019 and 2018

	2019	2018
Operating Revenues		
Sewer charges	$ 58,492,305	$ 58,836,838
Industrial surcharges	1,581,640	1,337,871
Other	677,903	712,655
Total operating revenues	60,751,848	60,887,364
Operating Expenses		
Salaries and benefits	20,457,142	18,569,410
Supplies	2,419,263	2,655,047
Contract services	4,047,693	3,975,373
Vehicle expenses	295,468	342,651
Utilities	1,984,688	1,629,151
Administrative	980,115	1,160,890
Total operating expenses	30,184,369	28,332,522
Provision for Depreciation		
Building and improvements	4,183,557	4,149,796
Infrastructure – collections, pumping and treatments	8,913,060	8,249,157
Equipment	3,935,716	3,700,470
Total provision for depreciation	17,032,333	16,099,423
Operating Income	13,535,146	16,455,419
Nonoperating Income (Expense)		
Interest income	1,027,034	739,314
Interest expense	(8,756,844)	(9,087,059)
Bond issuance costs	(24,398)	-
Loss on disposal of capital assets	(108,485)	(803,812)
Gain (loss) on investments	58,579	40,402
Other	196,960	177,843
Net nonoperating expense	(7,607,154)	(8,933,312)
Increase in Net Position Before Capital Contributions and Grants	5,927,992	7,522,107
Capital Contributions and Grants		
Capital contributions (cash and noncash)	2,783,315	2,786,302
Federal grants	127,520	-
Total capital contributions and grants	2,910,835	2,786,302
Change in Net Position	8,838,827	10,308,409
Net Position, Beginning of Year	203,689,309	193,380,900
Net Position, End of Year	$ 212,528,136	$ 203,689,309

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Statements of Cash Flows

Years Ended December 31, 2019 and 2018

	2019	2018
Cash Flows from Operating Activities		
Cash received from customers	$ 60,084,958	$ 57,475,835
Cash received City of Little Rock franchise fees	5,939,345	5,777,800
Other receipts	874,863	890,498
Payments to employees	(17,593,464)	(19,042,151)
Payments to suppliers	(2,259,776)	(2,781,498)
Payments for contractual services	(4,047,693)	(3,975,373)
Payments for utilities	(1,984,688)	(1,629,151)
Payments to City of Little Rock franchise fees	(5,905,113)	(5,780,257)
Other payments	(2,072,385)	(78,412)
Net cash provided by operating activities	33,036,047	30,857,291
Cash Flows from Capital and Related Financing Activities		
Bond issuance costs	(24,398)	-
Acquisition and construction of capital assets	(47,038,504)	(28,107,562)
Cash donations	27,737	193,660
Proceeds from disposal of property and equipment	84,198	178,052
Principal paid on indebtedness	(12,097,416)	(12,052,309)
Interest paid on indebtedness	(8,357,411)	(9,199,878)
Proceeds from issuance of indebtedness	39,059,978	21,213,973
Net cash used in capital and related Financing activities	(28,345,816)	(27,774,064)
Cash Flows from Investing Activities		
Interest on investments	1,055,930	700,233
Proceeds from sale of investments	6,071,535	24,691
Purchase of investments	(8,166,956)	(13,181)
Net cash provided by (used in) investing activities	(1,039,491)	711,743
Net increase in cash and cash equivalents	$ 3,650,740	$ 3,794,970

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Statements of Cash Flows (Continued)

Years Ended December 31, 2019 and 2018

	2019	2018
Cash and Cash Equivalents		
Beginning of year	$ 41,617,855	$ 37,822,885
Net increase in cash and cash equivalents	3,650,740	3,794,970
End of year	$ 45,268,595	$ 41,617,855
Reconciliation of Operating Income to Net Cash Provided by Operating Activities		
Operating income	$ 13,535,146	$ 16,455,419
Adjustments		
Depreciation	17,032,333	16,099,423
Other income	196,960	177,843
Change in operating assets and liabilities		
(Increase) decrease in accounts receivable	(225,461)	(2,908,096)
(Increase) decrease in inventories	33,423	(65,072)
(Increase) decrease in prepaid items and other assets	85,869	(54,750)
(Increase) decrease in deferred outflows on pensions	513,115	2,325,060
(Increase) decrease in deferred outflows on OPEB	(501,929)	(1,516,554)
Increase (decrease) in accounts payable	362,538	147,843
Increase (decrease) in accrued expenses	61,228	104,072
Increase (decrease) in City of Little Rock franchise fees	34,232	(2,457)
Increase (decrease) in net pension liability	1,876,790	(3,183,336)
Increase (decrease) in net OPEB liability	(475,664)	1,482,999
Increase (decrease) in deferred inflows on pensions	(788,428)	1,466,333
Increase (decrease) in deferred inflows on OPEB	1,295,895	328,564
Net cash provided by operating activities	$ 33,036,047	$ 30,857,291
Reconciliation of Total Cash and Cash Equivalents		
Current assets – cash and cash equivalents	$ 33,845,203	$ 26,203,394
Restricted for bond requirements	4,508,237	5,580,431
Restricted for construction and improvement	6,915,155	9,834,030
Total cash and cash equivalents	$ 45,268,595	$ 41,617,855
Supplemental Schedule of Noncash Investing, Capital and Financing Activities		
Donated sewer lines capitalized	$ 2,755,578	$ 2,592,642
Acquisition and construction of capital assets and improvements in accounts payable	$ 5,126,785	$ 5,533,193

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Statement of Fiduciary Net Position

December 31, 2019

	Pension and Other Employee Benefit Trust Funds
Assets	
Cash and cash equivalents	$ 47,695
Investments – at fair value	17,884,016
Receivables	48,367
Loans receivable	822,634
Total assets	18,802,712
Liabilities	
Benefits payable and accrued expenses	-
Total liability	-
Net Position	
Restricted	
Defined contribution plan	17,481,602
Postemployment benefits other than pensions	1,321,110
Total net position	$ 18,802,712

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Statement of Changes in Fiduciary Net Position

Years Ended December 31, 2019

	Pension and Other Employee Benefit Trust Funds
Additions	
Employer contributions	$ 568,242
Employee contributions	861,515
Investment income	
Investment income	2,276,947
Less trustee fee	(29,634)
Net investment income	2,247,313
Total additions	3,677,070
Deductions	
Benefit payments	1,101,923
Total deductions	1,101,923
Net Increase in Net Position	2,575,147
Net Position, Beginning of the Year, as Previously Reported	1,288,551
Adjustments for Accounting Change - Adoption of GASB 84	14,939,014
Net Position, Beginning of the Year, Adjusted	16,227,565
Net Position, End of the year	$ 18,802,712

The accompanying notes are an integral part of these financial statements.

Little Rock Water Reclamation Authority

Notes to Financial Statements

December 31, 2019 and 2018

Note 1: Nature of Operations and Summary of Significant Accounting Policies

Reporting Entity

The financial statements of the Little Rock Water Reclamation Authority (LRWRA or the Utility), a component unit (Enterprise Fund) of the City of Little Rock, conform to generally accepted accounting principles for state and local governments. The Utility provides sewer services for the greater Little Rock area. These services primarily consist of treatment and disposal of sewer water, inspection of sewer lines and construction of sewer treatment plants, rehabilitation projects, and spot repairs. The clear majority of the Utility's customers are residential; however, the Utility also services commercial businesses. The Utility had 70,453 and 69,580 customers at December 31, 2019 and 2018, respectively. LRWRA is financially accountable to the City of Little Rock because the City's Board of Directors must approve any rate adjustments and debt issuances.

Basis of Accounting

LRWRA is a proprietary fund and its financial statements have been prepared in conformity with accounting principles generally accepted in the United States of America as applied to governmental units.

As a component unit of the City of Little Rock, LRWRA has adopted the provisions of GASB Statement No. 34, *Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments*. Statement No. 34 established standards for external financial reporting for all state and local governmental entities, which includes a statement of net position, a statement of revenues, expenses and changes in net position, and a statement of cash flows. It requires the classification of net position into three components: restricted, net investment in capital assets, and unrestricted.

Restricted – Consists of constraints placed on net position used through external constraints imposed by creditors (such as through debt covenants), grantors, contributors or laws or regulations of other governments or constraints imposed by law through constitutional provisions or enabling legislation.

Net investment in capital assets – Consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds, mortgages, notes or other borrowing that are attributable to the acquisition, construction or improvement of those assets, and adding back unspent proceeds.

Unrestricted – Consists of net position that do not meet the definition of "restricted" or "invested in capital assets."

When both restricted and unrestricted resources are available for use on an expenditure, it is generally LRWRA's policy to use the restricted resources first. For projects funded by debt proceeds and other sources, the debt proceeds are used first.

As a component unit of the City of Little Rock, LRWRA applies the provisions of GASB Statement No. 33, *Accounting and Financial Reporting for Nonexchange Transactions*. This statement requires that capital contributions to LRWRA be presented as a change in net position.

LRWRA's accounting and financial reporting practices are like those used for business enterprises; therefore, the accrual basis of accounting is utilized. Under this method, revenues are recorded when earned and expenses are recorded at the time liabilities are incurred. Revenues from assessments levied, industrial surcharges, connection fees and other sewer fees are reported as operating revenues. Transactions which are capital, financing or investing related are reported as nonoperating revenues. All expenses related to operating the sewer system such as salaries, benefits, supplies, utilities and administrative costs are reported as operating expenses. Interest expense and financing costs are reported as nonoperating expenses.

LRWRA utilizes fiduciary funds to report assets that are held in a trustee or agency capacity for others and that cannot be used to support the general operations of the Utility. The Utility's fiduciary funds consist of the LRWRA Post Retiree Healthcare plan (OPEB Plan) and the 401(a) Defined Contribution Plan (401(a) Plan). The OPEB Plan is an employee benefit trust fund used to report the accumulation and use of resources to pay health insurance benefits for eligible retirees, as well as related liabilities for anticipated future benefits. The 401(a) Plan is an employee benefit trust fund used to manage employee retirement funds. The transactions and balances of the fiduciary fund are also reported using the economic resources measurement focus and the accrual basis of accounting. The OPEB Plan and 401(a) Plan do not have a separate board and are administered by LRWRA.

Cash and Cash Equivalents

LRWRA considers both restricted and unrestricted demand deposits, certificates of deposit, money market funds and cash management pools to be cash equivalents. In addition, all highly liquid investments, including repurchase agreements, with maturities of three months or less from the date of purchase are cash equivalents.

Investments

Investments are stated at fair value and consist of debt securities with original maturities more than three months when purchased. Unrealized gains and losses are included as nonoperating income (expense) in the accompanying statements of revenues, expenses and changes in net position.

Accounts Receivable

Accounts receivable are stated at the amount management expects to collect from outstanding balances. Management provides for probable uncollectible amounts through a provision for bad debt expense and an adjustment to a valuation allowance based on its assessment of the status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off through a charge to the valuation allowance and a credit to accounts receivable. Details of accounts receivable and the related valuation account as of December 31, 2019 and 2018, are more fully explained in *Note 3*.

Inventory

Materials, supplies and fuel inventories are valued at cost.

Restricted Assets

Restricted assets consist of monies and other resources which are restricted legally as described below:

Bond Requirements – These assets include cash, investments and accrued interest held in various accounts as required by the bond indentures.

Construction and Improvements – These assets are restricted by bond indentures for designated capital projects and cannot be expended for any other item.

Capital Assets and Capital Contributions

Capital assets consist of property, plant and equipment and include assets which have been contributed to LRWRA. These assets, consisting primarily of donated sewer lines, are recorded at acquisition cost. Capital assets are defined by LRWRA as assets with an initial, individual cost of at least $5,000 and an estimated useful life more than one year. Depreciation is computed using the straight-line method of depreciation with estimated useful lives of 10 to 50 years for buildings and improvements, five to 25 years for machinery and equipment, and 50 years for collection systems (primarily sewer lines).

Capital Asset Impairment

The Utility evaluates capital assets for impairment whenever events or circumstances indicate a significant, unexpected decline in the service utility of a capital asset has occurred. If a capital asset is tested for impairment and the magnitude of the decline in service utility is significant and unexpected, the capital asset historical cost and related accumulated depreciation are decreased proportionately such that the net decrease equals the impairment loss.

No asset impairment was recognized during the years ended December 31, 2019 and 2018.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position and/or balance sheet will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The Utility has three items that qualify for reporting in this category:

- Deferred amounts on bond refunding – A deferred loss on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt.

- Deferred amounts on pension funding – The contributions made to the pension plan after the measurement date are deferred and recognized in the following fiscal year. The difference in assumption changes in the pension plan, the difference between actual and expected experience and the change in proportion are deferred and amortized over the average remaining service life of all participants in the pension plan and recorded as a component of pension expense beginning with the period in which they incurred.

- Deferred amounts on OPEB – The difference in assumption changes in the OPEB plan and the net difference between projected and actual earnings on OPEB assets are deferred and amortized over the average remaining service life of all participants in the OPEB plan.

In addition to liabilities, the statement of net financial position and or balance sheet will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The Utility has two items that qualify for reporting in this category.

- Deferred amounts on pension funding – The differences between expected and actual experience, changes in assumptions, and changes in proportionate differences between employer contributions and proportionate share is deferred and amortized over the average remaining service life of all participants in the pension plan and recorded as a component of pension expense beginning with the period in which the difference occurred. The net difference between projected and actual earnings on pension plan investments and the difference between actual and expected experience is deferred and amortized over the average remaining service life of all participants in the pension plan and recorded as a component of pension expense beginning with the period in which they were incurred.

- Deferred amounts on OPEB – The differences between expected and actual experiences are deferred and amortized over the average remaining service life of all participants in the OPEB plan and recorded as a component of OPEB expense beginning with the period in which the difference occurred.

Compensated Absences

Employees earn Personal Time Off (PTO) as the only paid personal leave, as it covers time away from the workplace for vacation, personal time, illness, etc. There are no restrictions on how much PTO can be accrued and no deadline to use the time accrued, but there is a “use or lose” policy for any balance over 300 hours at December 31 of each year. Employees accumulate PTO each pay period based on length of service. The rate of accrual for any given year in the first 12 months is 18 days, one through five years accrue 20 days, six through 15 years accrue 25 days, 16 through 25 years accrue 30 days, and 25 years and up accrue 35 days. Net changes in the liability for compensated absences are summarized in *Note 7*.

Basis of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Adoption of GASB Statement No. 84

In 2019, the Utility implemented GASB Statement No. 84, *Fiduciary Activities*. As a result of the adoption, the fiduciary statements related to the 401(a) Defined Contribution Plan Trust are now included in the fiduciary net position and changes in fiduciary net position. The adoption of this statement required the Utility to restate its fiduciary net position as of January 1, 2019, as information to restate as of January 1, 2018, was not readily available.

Adoption of GASB Statement No. 88

In 2019, the Utility implemented GASB Statement No. 88, *Certain Disclosures Related to Debt Including Direct Borrowings and Direct Placements*. The primary objective of this Statement is to improve the information that is disclosed in the notes to the financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. It defines debt for purposes of disclosure in the notes to financial statements as a liability that arises from a contractual obligation to pay cash (or other assets that may be used in lieu of cash) in one or more payments to settle an amount that is fixed at the date of the contractual obligation is established. This Statement requires that additional essential information related to debt be disclosed in notes to financial statements, including unused lines of credit; assets pledged as collateral for the debt; and terms specified in debt agreements related to significant events of default with finance-related consequences, significant termination events with finance related consequences, and significant subjective acceleration clauses. This Statement also requires that existing and additional information be provided for direct borrowings and direct placements of debt separately from other debt. Implementation did not materially affect the financial statements.

Note 2: Cash and Cash Equivalents and Investments - Utility

A summary of cash, cash equivalents and investments per the statements of net position as of December 31, 2019 and 2018, follows:

	December 31, 2019			
	Cash	Cash Equivalents	Total Cash and Cash Equivalents	Investments
Unrestricted assets	$ 33,845,203	$ -	$ 33,845,203	$ 600,114
Restricted assets				
Bond requirements	345,032	4,163,205	4,508,237	8,598,729
Construction and improvements	-	6,915,155	6,915,155	-
Total restricted assets	345,032	11,078,360	11,423,392	8,598,729
Total	$ 34,190,235	$ 11,078,360	$ 45,268,595	$ 9,198,843

	December 31, 2018			
	Cash	Cash Equivalents	Total Cash and Cash Equivalents	Investments
Unrestricted assets	$ 26,203,394	$ -	$ 26,203,394	$ 596,070
Restricted assets				
Bond requirements	-	5,580,431	5,580,431	6,448,773
Construction and improvements	-	9,834,030	9,834,030	-
Total restricted assets	-	15,414,461	15,414,461	6,448,773
Total	$ 26,203,394	$ 15,414,461	$ 41,617,855	$ 7,044,843

Deposits

Custodial credit risk is the risk that in the event of a bank failure, a government's deposits may not be returned to it. The Utility's deposit policy for custodial credit risk requires compliance with the provisions of state law and city of Little Rock statute.

City statute requires that deposits in financial institutions be collateralized with federal depository insurance and bonds or other interest-bearing securities of the United States, the State of Arkansas, Arkansas political subdivisions or agencies or instrumentalities of these entities at 104%.

The Utility had deposits with financial institutions of $34,457,909 at December 31, 2019, and $26,751,524 at December 31, 2018. The Utility had deposits on books of $34,190,235 at December 31, 2019, and $26,203,394 at December 31, 2018. The greatest credit risk exposure would be uninsured portions not collateralized since the collateral is not held by our pledging financial institution itself and all collateralized amounts are in the name of LRWRA.

As of December 31, 2019 and December 31, 2018, the Utility's bank balance was fully insured and collateralized by the pledging financial institution.

Investments

Arkansas statute (AR § Code 19-1-501) authorizes the Utility to invest in eligible investment securities such as: (1) direct or guaranteed obligations of the United States that are backed by the full faith and credit of the U.S. Government; (2) A direct obligation of an agency, instrumentality, or government-sponsored enterprise created by act of the United States Congress and authorized to issue securities or evidences of indebtedness are guaranteed for repayment by the U.S. Government; and (3) a bond or other debt of the state, a school district, a county government, a municipal government or an authority of a governmental entity that: (A) is issued for an essential governmental purpose or is guaranteed by a state agency; and (B) has a debt rating from a nationally recognized credit rating agency of "A" or better at the time of purchase. None of LRWRA's investments owned at December 31, 2019, were subject to custodial credit risk.

Cash equivalents and investments at December 31, 2019 and 2018, consisted of Federated Treasury Obligations (publicly traded government money market mutual fund held by LRWRA's bond trustee and are short-term U.S. Treasury securities with a stable net asset value of one dollar), U.S. Government Obligations stated at fair values of $20,277,203 and $22,459,304, respectively. Net unrealized gain for each of the years ended December 31, 2019 and 2018, was $58,579 and $40,402 , respectively.

December 31, 2019				
Investment Type	Fair Value	Less than 1 year	1–5 years	Credit Rating
Cash Equivalents and Investments				
Cash equivalents				
Federated treasury obligation	$ 11,078,360	$ 11,078,360	$ -	AA+/Aaa
Investments:				
Federal Farm Credit Bank	4,373,987	-	4,373,987	AA+/Aaa
Federal Home Loan Mortgage	4,824,856	-	4,824,856	AA+/Aaa
	9,198,843	-	9,198,843	
	$ 20,277,203	$ 11,078,360	$ 9,198,843	

December 31, 2018				
Investment Type	Fair Value	Less than 1 year	1–5 years	Credit Rating
Cash Equivalents and Investments				
Cash equivalents:				
Federated treasury obligation	$ 15,414,461	$ 15,414,461	$ -	AA+/Aaa
Investments:				
Federal Farm Credit Bank	5,992,659	-	5,992,659	AA+/Aaa
Federal Home Loan Mortgage	740,208	-	740,208	AA+/Aaa
Arkansas State Development Finance Authority Bonds	311,976	-	311,976	AA+/Aaa
	7,044,843	-	7,044,843	
	$ 22,459,304	$ 15,414,461	$ 7,044,843	

Interest Rate Risk

Arkansas statute (AR Code § 19-1-504) limits the eligible investment securities to having a maturity of no longer than five (5) years from the date of acquisition unless, as documented at the time of acquisition, the investment is to fund or support a specific purpose and there are no expectations that the investment will be sold before maturity.

Credit Risk

Credit risk is the risk that the issuer or other counterparty will not fulfill its obligation. The Utility manages its credit risk by investing exclusively in government-issued treasuries and agencies. All the Utility's investments at December 31, 2019 and 2018, are insured or registered and held in the Utility's name.

Fair Value Measurement

LRWRA categorizes ifs fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation input used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

LRWRA has the following recurring fair value measurements as of December 31, 2019:

- Federated Treasury Obligations of $11.1 million are valued using quoted market prices (Level 1 inputs).
- U.S. Treasury Securities (Federal Farm Credit Bank and Federal Home Loan) of $9.2 million are valued using a matrix pricing model (Level 2 inputs).

LRWRA had the following recurring fair value measurements as of December 31, 2018:

- Federated Treasury Obligations of $15.4 million are valued using quoted market prices (Level 1 inputs).
- U.S. Treasury Securities (Federal Farm Credit Bank and Federal Home Loan) of $6.7 million are valued using a matrix pricing model (Level 2 inputs).
- Arkansas State Development Finance Authority Economic Bonds of $311 thousand are valued using a matrix pricing model (Level 2 inputs).

Note 3: Accounts Receivable

Accounts receivable at December 31, 2019 and 2018, consisted of the following:

	2019	2018
Trade receivables – billed, current	$ 4,379,541	$ 4,284,328
Trade receivables – unbilled	2,617,922	2,357,973
Trade receivables, past due	405,087	322,627
Total	7,402,550	6,964,928
Allowance for uncollectibles, beginning of year	(381,338)	(433,783)
Write off of uncollectibles	327,986	368,612
Provision for bad debt expense	(412,627)	(316,167)
Allowance for uncollectibles, end of year	(465,979)	(381,338)
Accounts receivable, net of allowance for uncollectibles	6,936,571	6,583,590
Current accounts receivable	$ 6,936,571	$ 6,583,590

Note 4: Capital Assets

Capital asset activity for the years ended December 31, 2019 and 2018, was as follows:

2019	Balance 12/31/2018	Additions and Transfers In	Retirements and Transfers Out	Balance 12/31/19
Capital assets not being depreciated				
Land and right-of-way	$ 5,434,140	$ -	$ -	$ 5,434,140
Construction in progress	63,786,352	50,949,620	34,893,172	79,842,800
Total capital assets not being depreciated	69,220,492	50,949,620	34,893,172	85,276,940
Capital assets being depreciated				
Building and improvements	136,755,836	331,744	-	137,087,580
Infrastructure – collection and treatment	385,773,003	32,752,366	-	418,525,369
Equipment	79,470,993	1,606,869	605,352	80,472,510
Total capital assets being depreciated	601,999,832	34,690,979	605,352	636,085,459
Less accumulated depreciation for				
Buildings and improvements	42,354,077	4,183,557	-	46,537,634
Infrastructure – collections and treatment	111,580,814	8,913,060		120,493,874
Equipment	39,061,414	3,935,716	597,878	42,399,252
Total accumulated depreciation	192,996,305	17,032,333	597,878	209,430,760
Capital assets, net	$ 478,224,019	$ 68,608,266	$ 34,900,646	$ 511,931,639

2018	Balance 12/31/2017	Additions and Transfers In	Retirements and Transfers Out	Balance 12/31/18
Capital assets not being depreciated				
Land and right-of-way	$ 5,434,140	$ -	$ -	$ 5,434,140
Construction in progress	65,961,867	33,663,908	35,839,423	63,786,352
Total capital assets not being depreciated	71,396,007	33,663,908	35,839,423	69,220,492
Capital assets being depreciated				
Building and improvements	136,093,040	662,796	-	136,755,836
Infrastructure collection and treatment	354,773,500	31,008,690	9,187	385,773,003
Equipment	77,667,199	3,505,901	1,702,107	79,470,993
Total capital assets being depreciated	568,533,739	35,177,387	1,711,294	601,999,832
Less accumulated depreciation for				
Buildings and improvements	38,204,281	4,149,796	-	42,354,077
Infrastructure – collections and treatment	103,332,366	8,249,156	708	111,580,814
Equipment	36,756,247	3,700,471	1,395,304	39,061,414
Total accumulated depreciation	178,292,894	16,099,423	1,396,012	192,996,305
Capital assets, net	$ 461,636,852	$ 52,741,872	$ 36,154,705	$ 478,224,019

Construction in progress at December 31, 2019 and 2018, included capitalized construction period interest of $654,878 and $191,627 that was incurred in each respective year.

Depreciation expense was $17,032,333 and $16,099,423 for the years ended December 31, 2019 and 2018, respectively.

Note 5: Contributions in Aid of Construction

Contributions in aid of construction, because of acceptance of cash donations and sewer lines from private contractors and individuals, were $2,783,315 and $2,786,302 for the years ended December 31, 2019 and 2018, respectively.

Note 6: Long-Term Debt

Long-term debt consists of Sewer Revenue Bonds for which the changes in the years ended December 31, 2019 and 2018, are as follows:

	December 31, 2019				
	Beginning Balance	Increases	Decreases	Ending Balance	Amount Due Within One Year
Sewer revenue bonds	$ 213,035,000	$ -	$ 9,325,000	$ 203,710,000	$ 9,610,000
Sewer revenue bonds – direct placement	90,366,312	40,498,373	2,772,416	128,092,269	3,640,740
Unamortized bond premium	9,254,983	-	869,893	8,385,090	-
	$ 312,656,295	$ 40,498,373	$ 12,967,309	$ 340,187,359	$ 13,250,740

	December 31, 2018				
	Beginning Balance	Increases	Decreases	Ending Balance	Amount Due Within One Year
Sewer revenue bonds	$ 222,100,000	$ -	$ 9,065,000	$ 213,035,000	$ 9,325,000
Sewer revenue bonds – direct placement	72,139,648	21,213,973	2,987,309	90,366,312	2,760,562
Unamortized bond premium	10,170,285	-	915,302	9,254,983	-
	$ 304,409,933	$ 21,213,973	$ 12,967,611	$ 312,656,295	$ 12,085,562

Sewer revenue bonds payable consist of the following:

Series	Interest Rate	Year of Maturity	December 31, 2019	Amount Due Within One Year
2007B	2.75%	2029	$ 10,221,481	$ 901,159
2009A	2.00%	2032	5,365,824	381,874
2011	3.25% to 5.00%	2022	7,030,000	2,250,000
2012	3.00% to 4.00%	2042	23,915,000	705,000
2013	2.25%	2036	31,571,435	1,543,489
2014	3.00% to 4.00%	2025	5,715,000	1,320,000
2015	3.00% to 5.00%	2037	139,915,000	4,460,000
2016A	2.72%	2050	51,496,650	814,218
2016B	3.00% to 4.00%	2038	16,700,000	655,000
2017	1.15% to 4.00%	2047	10,435,000	220,000
2018	2.00%	2051	28,793,214	-
2019	3.00%	2052	643,665	-
Total			$ 331,802,269	$ 13,250,740

The Arkansas Natural Resource Commission (ARNC) currently administers federal and state programs that aid through loans and grants for water and wastewater. These loan (Revolving Loan Funds – RLFs) fund revenue bonds are issued to LRWRA for financing costs of construction extensions, betterments, and improvements to the sewer system.

2007B Sewer Revenue Bond

The Series 2007B Bond was issued in July 2007 in the amount of $18,000,000 to finance the construction of extensions, betterments and improvements to the sewer system collection system within the city of Little Rock and designated collection system projects and to pay the cost of issuing the 2007B Bond. This bond is a special obligation through the ANRC with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on April 15 and October 15. The final payment is scheduled for October 2029.

2009A Sewer Revenue Bond

The Series 2009A Bond was issued in March 2009 in the amount of $8,000,000 to finance the improvements to the Arch Street Pump Station and to pay the cost of issuing the 2009A Bond. This bond is a special obligation through the ANRC with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on April 15 and October 15. The final payment is scheduled for April 2032.

2011 Sewer Revenue and Refunding Bond

The Series 2011 Bond was issued in July 2011 in the amount of $17,675,000 to refinance the 2001 Sewer Revenue Bond, to establish a debt service reserve for the Series 2011 Bond, and to pay the cost of issuing the 2011 Sewer Bond. This bond is a special obligation of the Issuer with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on February 1 and August 1. The final payment is scheduled for August 2022.

2012 Sewer Revenue Bond

The Series 2012 Bond was issued in August 2012 in the amount of $28,390,000 to finance capital projects (Cantrell Road Pump Station, Cantrell Road Force Main, Fourche Creek Plant Upgrades), to establish a debt service reserve for the Series 2012 Bond, and to pay the cost of issuing the 2012 Sewer Bond. This bond is a special obligation of the Issuer with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal payments are due annually on August 1, and interest payments are due semiannually on February 1 and August 1. The final payment is scheduled for August 2042.

2013 Sewer Revenue Bond

The Series 2013 Bond was issued in May 2013 in the amount of $36,000,000 to finance the improvements to the Collection System Rehabilitation-Phase Seven and to pay the cost of issuing the 2013 Bond. This bond is a special obligation through the ANRC with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on April 15 and October 15 starting in 2020. The final payment is scheduled for October 2036.

2014 Sewer Refunding Revenue Bond

The Series 2014 Bond was issued in October 2014 in the amount of $11,980,000 and refunded the 1999 Sewer Revenue Bond and advance fund the 2005 Sewer Revenue Bond. This bond is a special obligation of the Issuer with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on May 1 and November 1. The final payment is scheduled for May 2025.

2015 Sewer Refunding Revenue Bond

The Series 2015 Bond was issued in March 2015 in the amount of $160,070,000 and refunded the 1996, 2004A, 2004B, 2004C, and advance funded the 2007A and 2007C Sewer Revenue Bond. These bonds are special obligations of the Issuer with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on April 1 and October 1. The final payment is scheduled for October 2037.

2016A Sewer Revenue Bond

The Series 2016A Bond was issued in August 2016 in the amount of $61,000,000 to finance the construction of extensions, betterments and improvements to the sewer system collection systems, Adams Field WTF Parallel Treatment Installation & Disinfection, Fourche Creek WTF Phase III Rehabilitation, Scott Hamilton Peak Flow Equalization Facilities, and to pay the cost of issuing the 2016A Bond. Outstanding draws totaled $51,496,650 as of December 31, 2019. The remaining draws will occur as construction projects are completed. This bond was a special obligation through the ANRC with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on April 15 and October 15 beginning in 2020. The final payment is scheduled for April 2050.

2016B Sewer Refunding Revenue Bond

The Series 2016B Bond was issued in November 2016 in the amount of $18,585,000 and refunded the 2008 and 2009B Sewer Revenue Bond. These bonds are special obligations of the Issuer with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due semiannually on June 1 and December 1. The final payment is scheduled for December 2038.

2017 Sewer Revenue Bond

The Series 2017 Bond was issued in October 2017 in the amount of $10,835,000 to finance the Fourche Creek WRF Phase III Rehabilitation improvements to the facility and to pay the cost of issuing the 2017 Sewer Bond. This bond was a special obligation of the issuer with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal payments are due annually on October 1 and interest payments are due semiannually on April 1 and October 1. The final payment is scheduled for October 2047.

2018 Sewer Revenue Bond

The Series 2018 Bond was issued in February 2018 in the amount of $61,600,000 to finance the construction of extensions, betterments and improvements to the sewer system collection systems, and to pay the cost of issuing the 2018 Bond. Draws totaled $28,793,214 as of December 31, 2019. The remaining draws will occur as construction projects are completed. This bond has a special obligation through ANRC with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due annually on April 15 and October 15 starting in 2021. The final payment is scheduled for April 2051.

2019 Sewer Revenue Bond

The Series 2019 Bond was issued in February 2019 in the amount of $18,000,000 to finance the construction of extensions, betterments and improvements to the sewer system collection systems, and to pay the cost of issuing the 2019 Bond. Draws totaled $634,665 as of December 31, 2019.

The remaining draws will occur as construction projects are completed. This bond has a special obligation through ANRC with permission from the City of Little Rock, Arkansas, payable solely from the net revenues of the sewer system. The bond is secured by the net revenues available for debt service of the Utility. Principal and interest payments are due annually on April 15 and October 15 starting in 2022. The final payment is scheduled for October 2052.

In addition to the $331,802,269 balance of Sewer Revenue Bonds outstanding at December 31, 2019, an additional $59,666,471 will, as previously described, be drawn in fulfillment of current bond issues 2016A, 2018, and 2019 for a total Sewer Revenue Bond indebtedness of $391,468,740.

The 2007B, 2009A, 2013, 2016A, 2018, and 2019 Series Sewer Revenue Bonds are subordinate to the 2011, 2012, 2014, 2015, 2016B and 2017 Series Revenue Bonds.

The annual requirements to amortize sewer revenue bond indebtedness outstanding, and scheduled, including interest, as of December 31, 2019, are as follows:

Year Ending December 31,	Principal	Interest	Total
2020	$ 13,250,740	$ 9,597,363	$ 22,848,103
2021	14,794,046	10,295,759	25,089,805
2022	15,565,025	10,258,254	25,823,279
2023	12,758,040	9,809,126	22,567,166
2024	13,616,460	9,381,509	22,997,969
2025 to 2029	75,202,409	39,451,054	114,653,463
2030 to 2034	87,806,842	25,659,745	113,466,587
2035 to 2039	65,539,974	9,802,989	75,342,963
2040 to 2044	17,548,523	3,828,114	21,376,637
2045 to 2049	12,982,595	1,489,068	14,471,663
2050 to 2052	2,737,615	88,569	2,826,184
Total	$ 331,802,269	$ 129,661,550	$ 461,463,819

Notes from Direct Placements

The Utility's outstanding notes from direct placements of $128,092,269 contain a provision that in an event of default, the bondholder may apply in proper action to a court for the appointment of a receiver to administer the Utility on behalf of the bondholder with the power to charge and collect rates sufficient to provide for the payments of the expenses of operation and to pay the bond interest and principal.

Note 7: Compensated Absences

Net changes in the liability for compensated absences for the years ended December 31, 2019 and 2018, are as follows:

	Beginning Balance	Additions	Retirements	Ending Balance	Amount Due Within One Year
2019	$ 981,686	$ 49,674	$ 27,415	$ 1,003,945	$ 939,329
2018	$ 959,344	$ 55,049	$ 32,707	$ 981,686	$ 922,449

Note 8: Litigation

Sierra Club

The Little Rock Water Reclamation Authority Commission (LRWRC), formerly known as "Little Rock Sanitary Sewer Committee", was a defendant, along with the City of Little Rock, in a lawsuit filed in the U.S. District Court on January 13, 2000, by the Sierra Club. The plaintiff alleged violations of the *Clean Water Act and the Resource Conservation and Recovery Act* for sanitary sewer overflows (SSOs), and sought injunctions for the alleged violations including penalties. LRWRC and the plaintiff entered into a written settlement agreement releasing LRWRC's liability for any alleged violations up to the settlement agreement dated September 12, 2001.

A judgment approving this settlement was filed on November 16, 2001, subject to an award of the plaintiff's statutory attorneys' fees, which were awarded on December 13, 2002, and paid in full in 2003. There are no further sums due to the plaintiff related to this litigation.

Pursuant to the settlement agreement, the Court retained jurisdiction for the purpose of enforcing the provisions of the agreement. Under these provisions, LRWRC is required to follow certain reporting and notice and maintenance procedures, and to make improvements to the collection system to reduce sanitary sewer overflows. These requirements are specified in the settlement agreement and the schedules for developing, adopting and implementing the necessary programs and completing the improvements within agreed-upon deadlines, are set forth in a separate System Evaluation and Capacity Assurance Plan (SECAP).

Management believes LRWRA is in compliance with the provisions of the settlement agreement and expects to satisfy all outstanding requirements of the agreement by December 31, 2023.

ADEQ

On March 9, 2006, staff representatives of Arkansas Department of Environmental Quality (ADEQ) and LRWRA entered into a Consent Administrative Order (CAO) addressing certain issues including, but not limited to, maintenance practices, secondary treatment bypasses at the Adams Field Water Reclamation Facility, administrative requirements, design and performance provisions, monitoring, measurement and program modifications, a sanitary sewer overflow plan, a system evaluation and capacity assurance plan, audits, communications and financial penalties for failure of compliance with performance and specific project deadlines. Such penalties for noncompliance range from $100 to $500 per day, depending upon the duration of the noncompliance.

On September 6, 2011, Amendment No. 1 to the CAO was approved by ADEQ, the Sierra Club and LRWRA, extending the deadline for the obligations under the settlement agreements until December 31, 2018. Amendment No. 1 also required LRWRA submit to ADEQ a schedule of activities necessary to maintain compliance with the updated SECAP previously submitted to ADEQ. The updated SECAP was completed by RJN Group in November of 2010.

On April 15, 2015, Amendment No. 2 to the CAO was approved. ADEQ and the Sierra Club granted LRWRA an extension of the CAO deadline to December 31, 2023. Management expects to complete all remaining improvements and requirements by the December 31, 2023 deadline. The CAO will terminate once LRWRA achieves full compliance and LRWRA receives written notice of termination by ADEQ. The Court's jurisdiction over the Sierra Club settlement agreement will terminate thirty (30) months after the Compliance Deadline, or the date of dismissal of this proceeding, if earlier. The various capital projects related to these proceedings can be seen in greater detail within LRWRA's annual report located at http://www.lrwra.com/capitalprojects

Funding

In 2015, LRWRA obtained approval from the City of Little Rock's Board of Directors to implement a series of annual end user rate increases in support of LRWRA securing adequate financing to complete the remaining outstanding system improvements in order to satisfy both the Sierra Club and ADEQ settlement agreements. The amount of capital expenditures incurred during the years ended December 31, 2018 and 2019 are $19.9 million and $35.0 million, respectively. As of December 31, 2019, the estimated amount of capital expenditures required to complete the remaining settlement agreement requirements was $75.0 million. LRWRA anticipates securing the final debt financing required to complete the settlement agreement related projects in early 2020 and expects to fully satisfy all requirements of these settlement agreements by December 31, 2023.

Note 9: Other Commitments and Contingencies

Commitments

The Utility had commitments totaling approximately $38.4 million at December 31, 2019, for the expansion of plant capacity and collection system improvements.

Claims and Litigation

The Utility is currently involved in various claims and pending legal actions related to matters arising from the ordinary conduct of business. The Utility administration believes the ultimate disposition of the actions will not have a material effect on the financial statements of the Utility.

Note 10: Pension Benefits

Defined Contribution Plan

LRWRA offers a voluntary 401(a) qualified Pension Plan to all full-time employees. The following breakdown shows both LRWRA's and the employee's percent contribution that is calculated on an employee's base salary and years of service for full-time employees, except the CEO, exempt 1 and exempt 2 employees.

Years of Service	LRWRA	Employee	Vesting
Less than 5 years	1%	2%	None
More than 5 years, but less than 10 years	2%	4%	100%
More than 10 years	3%	6%	100%

The Pension expense is recorded at the amount of LRWRA's required contribution, determined in accordance with the terms of the plan. The total employer contributions were $436,408 and $361,938 in 2019 and 2018, respectively.

The plan was established with a resolution passed by then Little Rock Sanitary Sewer Committee.

On January 17, 2018, the LRWRC passed Resolution 2018–03 to establish the LRWRA Retirement Plans Committee (LRWRARPC), adopt the LRWRARPC Charter and delegate specific duties to the LRWRARPC. Any amendments to the Plan would be adopted by the LRWRAPC. In July 2018, the LRWRAPC adopted a plan amendment to eliminate the two-year eligibility requirement and add 401(a) matching contribution schedules for the CEO, exempt 1 employees and exempt 2 employees. The LRWRAPC works with two entities, ICMA-RC and First Security Bank-Trust and Wealth Management, in administering the 401(a) plan.

Arkansas Public Employees Retirement System (APERS)

Summary of Significant Accounting Policies

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Arkansas Public Employee Retirement System (APERS) and additions to/deductions from APERS fiduciary net position have been determined on the same basis as they are reported by APERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

General Information about the Pension Plan

Plan Description: The following brief description of the Arkansas Public Employees Retirement System (APERS or the System) is provided for general information purposes only. Participants should refer to Arkansas Code Annotated, Title 24 for more complete information.

APERS is a cost-sharing multiple-employer defined benefit plan which covers all state employees who are not covered by another authorized plan. The plan was established by the authority of the *Arkansas General Assembly with the passage of Act 177 of 1957*. The costs of administering the plan are paid out of investment earnings.

The general administration and responsibility for the proper operation of the System is vested in the nine members of the Board of Trustees of the Arkansas Public Employees Retirement System (the Board). Membership includes three state and three non-state employees, all appointed by the Governor, and three ex-officio trustees, including the Auditor of the State, the Treasurer of the State and the Director of the Department of Finance and Administration.

Benefits Provided: Benefit provisions are set forth in Arkansas Code Annotated, Title 24, Chapters 5 and 6 and may only be amended by the Arkansas General Assembly. APERS provides retirement, disability and death benefits. Retirement benefits are determined as a percentage of the member's highest three-year average compensation times the member's years of service. The percentage used is based upon whether a member is contributory or noncontributory as follows:

Contributory, prior to July 1, 2005	2.07%
Contributory, on or after July 1, 2005 but prior to July 1, 2007	2.03%
Contributory on or after July 1, 2007	2.00%
Noncontributory	1.72%

Members are eligible to retire with a full benefit under the following conditions:

- At age 65 with 5 years of service,
- At any age with 28 years actual service,
- At age 60 with 20 years of actual service if under the old contributory plan (prior to July 1, 2005), or
- At age 55 with 35 years of credited service for elected or public safety officials.

Members may retire with a reduced benefit at age 55 with at least five years of actual service at age 55 or at any age with 25 years of service.

Members are eligible for disability benefits with five years of service. Disability benefits are computed as an age and service benefit, based on service and pay at disability. Death benefits are paid to a surviving spouse as if the member had five years of service, and the monthly benefit is computed as if the member had retired and elected the Joint & 75% Survivor option. A cost-of-living adjustment of 3% of the current benefit is added each year.

Contributions: Contribution requirements are set forth in Arkansas Code Annotated, Title 24, Chapter 4. The contributions are expected to be sufficient to finance the costs of benefits earned by members during the year and make a level payment that, if paid annually over a reasonable period of future years, will fully cover the unfunded costs of benefit commitments for services previously rendered (A.C.A. 24-2-701)(a)). Members who began service prior to July 1, 2005, are not required to make contributions to APERS.

Members who began service on or after July 1, 2005, are required to contribute 5% of their salary. Employers are required to contribute at a rate established by the Board of Trustees of APERS based on an actuary's determination of a rate required to fund the plan (A.C.A. 24-2-701(c)(3)). For 2019 and 2018, employers contributed 15.32% and 15.35%, respectively, of compensation. Contributions to the pension plan from LRWRA were $2,088,142 and $1,917,096 for the years ended December 31, 2019 and 2018, respectively.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At December 31, 2019 and 2018, LRWRA reported a liability of $17,183,550 and $15,306,760, respectively, for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019 and 2018, respectively, and the total pension liability used to calculate the net pension liability was determined by actuarial valuations as of those dates. LRWRA's proportion of the net pension liability was based on LRWRA's contributions to the pension plan relative to the contributions of all participating APERS members. At June 30, 2019, LRWRA's proportion was 0.71226298%, which was an increase of 0.0183731% from its proportion measured as of June 30, 2018, of 0.69388988%.

For the years ended December 31, 2019 and 2018, LRWRA recognized pension expense of $3,703,646 and $2,603,347, respectively. At December 31, 2019 and 2018, LRWRA reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	2019	
	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 467,663	$ 25,530
Changes in proportion and differences between employer contributions and proportionate share	509,162	230,598
Changes of assumptions	932,675	660,565
Net difference between projected and actual earnings on pension plan investments	-	130,518
Contributions subsequent to the measurement date	1,039,878	-
Total	$ 2,949,378	$ 1,047,211

	2018	
	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 243,433	$ 160,683
Changes in proportion and differences between employer contributions and proportionate share	451,618	341,021
Changes of assumptions	1,741,592	946,603
Net difference between projected and actual earnings on pension plan investments	-	387,332
Contributions subsequent to the measurement date	1,025,850	-
Total	$ 3,462,493	$ 1,835,639

The $1,039,878 reported as deferred outflows of resources at December 31, 2019, related to pensions resulting from LRWRA's contributions subsequent to measurement date will be recognized as a reduction of the net pension liability in the year ending December 31, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31:	
2019	$ 972,738
2020	(423,309)
2021	61,194
2022	251,666
	$ 862,289

Actuarial Assumptions: The total pension liability, net pension liability and certain sensitivity information was determined by an actuarial valuation as of June 30, 2019. The significant assumptions used in the valuation and adopted by the APERS Board of Trustees, were as follows:

Actuarial Cost Method	Entry Age Normal
Actuarial Assumptions	
Investment rate of return	7.15%, net of investment administrative expenses
Discount Rate	7.15%
Salary Increases	3.25–9.85% including inflation
Inflation	2.50% price inflation, 3.25% wage inflation
Mortality Table	Based on RP-2000 Combined Healthy mortality table, projected to 2020 using Projection Scale BB, set-forward 2 years for males and 1 year for females

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major class included in the System's target allocation as of June 30, 2019, these best estimates are summarized in the following:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Broad domestic equity	37%	6.20%
International equity	24%	6.33%
Real assets	16%	3.32%
Absolute return	5%	3.56%
Domestic fixed	18%	1.54%
Total	100%	
Total real rate of return		4.80%
Plus: price inflation – actuary assumption		2.50%
Net expected return		7.30%

Discount Rate: A single discount rate of 7.15% was used to measure the total pension liability. This single discount rate was based on the expected rate of return on pension plan investments of 7.15%. The projection of cash flows used to determine this single discount rate assumed that plan member contributions will be made at the current contribution rate and that employer contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the proportionate share of the net pension liability using the discount rate of 7.15%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.15%) or 1-percentage-point higher (8.15%) than the current rate:

Senstivity of Discount Rate		
1% Lower 6.15%	Discount Rate 7.15%	1% Higher 8.15%
$ 27,540,941	$ 17,183,550	$ 8,638,228

Pension Plan Fiduciary Net Position: Detailed information about the pension plan's fiduciary net position is available in the separately issued APERS financial report located at http://www.apers.org/publications.

Actuarial Assumptions: The total pension liability, net pension liability and certain sensitivity information was determined by an actuarial valuation as of June 30, 2018. The significant assumptions used in the valuation and adopted by the APERS Board of Trustees were as follows:

Actuarial Cost Method	Entry Age Normal
Actuarial assumptions:	
Investment rate of return	7.15%, net of investment administrative expenses
Discount rate	7.15%
Salary increases	3.95–9.85%
Inflation	2.50%
Mortality table	Based on RP-2000 Combined Healthy mortality table, projected to 2020 using Projection Scale BB, set-forward 2 years for males and 1 year for females

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major class included in the System's target allocation as of June 30, 2018, these best estimates are summarized in the following:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Broad domestic equity	37%	5.97%
International equity	24%	6.54%
Real assets	16%	4.59%
Absolute return	5%	3.15%
Domestic fixed	18%	0.83%
Total	100%	
Total real rate of return		4.71%
Plus: price inflation – actuary assumption		2.50%
Net expected return		7.21%

Discount Rate: A single discount rate of 7.15% (7.50% in 2016) was used to measure the total pension liability. This single discount rate was based on the expected rate of return on pension plan investments of 7.15%. The projection of cash flows used to determine this single discount rate assumed that plan member contributions will be made at the current contribution rate and that employer contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the proportionate share of the net pension liability using the discount rate of 7.15%, as well as what the Net Pension Liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.15%) or 1-percentage-point higher (8.15%) than the current rate:

Senstivity of Discount Rate		
1% Lower 6.15%	Discount Rate 7.15%	1% Higher 8.15%
$ 25,025,787	$ 15,306,790	$ 7,289,340

Note 11: Other Postemployment Benefits (OPEB)

Plan Description

LRWRA's single-employer defined benefit postemployment health care plan, Little Rock Water Reclamation Authority Healthcare Plan (LRWRAHP), provides medical benefits to eligible retired employees and their beneficiaries. Employees are eligible for retiree medical coverage, including dental, prescription drug and vision benefits, if they are eligible for retirement plan benefits under APERS. Retiree Medical Benefits cease at age 65 or upon the retiree signing a waiver of coverage.

Participants included in the actuarial valuation include retirees and survivors, and active employees who may be eligible to participate in the plan upon retirement. Arkansas statute (ACT 664) provides that any Utility employee vested in the retirement plan and 55 years of age or older may continue to receive the same medical benefits as active employees after retirement provided either the Utility or retiree pays both the employer and employee contributions to the health care plan. LRWRA is required to pay actual claims.

The LRWRC assigns authority to the CEO for any changes to the benefit provisions of the plan based on recommendations by LRWRAHP. This postemployment health care plan is administered by Regions Bank Trust Department. LRWRAHP does not issue a stand-alone financial report.

For inquires relating to the plan, please contact the Little Rock Water Reclamation Authority, Finance Department (In Care of LRWRAHP), 11 Clearwater Dr., Little Rock, Arkansas 72204.

Summary of Significant Accounting Policies

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of LRWRAHP and additions to/deductions from the plan's fiduciary net position have been determined on the same basis as they are reported by the plan. For this purpose, LRWRAHP recognizes benefit payments when due and payable in accordance with the benefit terms.

Investments are reported at fair value, except for money market investments and certificates of deposit, which are reported at cost.

Funding Policy

Starting in 2011, LRWRA's health care has become a fully insured employer-sponsored health plan that pays a premium to the insurance carrier from a self-funded plan. Premium rates are set on an annual basis with members of LRWRAHP and an outside benefit consulting firm and are approved by the LRWRC. LRWRA's budget goal is that total benefits should be no more than 35% of total salaries each year. As a part of benefits, the health insurance plan is adjusted accordingly.

LRWRA Post Retiree Healthcare Plan (GASB Statement No. 74 and No. 75)

Since the LRWRAHP does not present separate financial statements, LRWRA is presenting the following disclosures below in accordance with GASB Statement No. 74 (LRWRAHP) and No. 75 (LRWRA):

LRWRAHP is supported by employer contributions. Using the Projected Unit Credit Cost Method, contributions are determined such that contributions will fund the projected benefits over a closed 30-year funding period.

The net OPEB liability is measured as of December 31, 2019, in LRWRA's financial statements using an actuarial valuation as of December 31, 2019, as the total OPEB liability, less the amount of the plan's fiduciary net position. A single discount rate of 2.92% and 4.0% was used to measure the total OPEB liability as of December 31, 2019 and 2018, respectively. This single discount rate was based on an expected rate of return on OPEB plan investments. Based on the stated assumptions and the projection of cash flows, the OPEB plan's fiduciary net position and future contributions were projected to be available to finance all projected future benefits payments of current plan members. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

The components of the December 31, 2019, net OPEB liability of LRWRA as determined by an actuarial valuation as of that date were as follows:

	2019
Total OPEB liability – ending	$ 6,234,664
Plan fiduciary net position – ending	1,321,110
Net OPEB Liability – ending	$ 4,913,554
Plan fiducuiary net position as % of total OPEB liability	21.19%

The components of the December 31, 2018, net OPEB liability of LRWRA as determined by an actuarial valuation as of that date were as follows:

	2018
Total OPEB liability – ending	$ 6,677,769
Plan fiduciary net position – ending	1,288,551
Net OPEB Liability – ending	$ 5,389,218
Plan fiducuiary net position as % of total OPEB liability	19.30%

Changes in the Net OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability	Plan Fiduciary Net Position	Net OPEB Liability
Balances on January 1, 2018	$ 5,178,902	$ 1,272,683	$ 3,906,219
Changes recognized for 2018:			
Service cost	153,267	-	153,267
Interest on total OPEB liability	203,573	-	203,573
Changes of benefit terms	-	-	-
Differences between expected and actual experience	(362,437)	-	- (362,437)
Change of assumptions	1,641,979	-	1,641,979
Benefit payments	(137,515)	(137,515)	-
Contributions – employer	-	137,515	(137,515)
Net investment income	-	20,317	(20,317)
Administrative expense	-	(4,449)	4,449
Net changes	1,498,867	15,868	1,482,999
Balances on December 31, 2018	6,677,769	1,288,551	5,389,218
Changes recognized for 2019:			
Service cost	180,168	-	180,168
Interest on total OPEB liability	262,223	-	262,223
Differences between expected and actual experience	(1,468,285)	-	- (1,468,285)
Change of assumptions	714,624	-	714,624
Benefit payments	(131,835)	(131,835)	-
Contributions – employer	-	131,834	(131,834)
Net investment income	-	37,126	(37,126)
Administrative expense	-	(4,566)	4,566
Net changes	(443,105)	32,559	(475,664)
Balances on December 31, 2019	$ 6,234,664	$ 1,321,110	$ 4,913,554

Sensitivity of the net OPEB liability to change in the discount rate: The following presents the net OPEB liability of LRWRA, as well as what LRWRA's net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the current discount rate:

December 31, 2019	1% Lower 1.92%	Current 2.92%	1% Higher 3.92%
TOL	$ 7,004,832	$ 6,234,664	$ 5,569,167
Net position	1,321,110	1,321,110	1,321,110
NOL	$ 5,683,722	$ 4,913,554	$ 4,248,057

December 31, 2018	1% Lower 3.00%	Current 4.00%	1% Higher 5.00%
TOL	$ 7,457,847	$ 6,677,769	$ 6,004,235
Net position	1,288,551	1,288,551	1,288,551
NOL	$ 6,169,296	$ 5,389,218	$ 4,715,684

Sensitivity of the net OPEB liability to changes in the health care cost trend rates: The following presents the net OPEB liability of LRWRA, as well as what LRWRA's net OPEB liability would be if calculated using health care cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current health care cost trend rates:

December 31, 2019	1% Lower Rates	Current Rates	1% Higher Rates
TOL	$ 5,473,681	$ 6,234,664	$ 7,146,735
Net position	1,321,110	1,321,110	1,321,110
NOL	$ 4,152,571	$ 4,913,554	$ 5,825,625

December 31, 2018	1% Lower Rates	Current Rates	1% Higher Rates
TOL	$ 5,925,150	$ 6,677,769	$ 7,573,573
Net position	1,288,551	1,288,551	1,288,551
NOL	$ 4,636,599	$ 5,389,218	$ 6,285,022

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

The Utility recognized OPEB expense of $450,136 and $432,524 for the years ended December 31, 2019 and 2018, respectively. Below is a table providing the deferred inflows and outflows of resources related to OPEB from the following sources as of December 31:

	2019	
	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ -	$ 1,624,459
Changes of assumptions	1,982,274	-
Net difference between projected and actual earnings on OPEB assets	36,209	-
Total	$ 2,018,483	$ 1,624,459

	2018	
	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ -	$ 328,564
Changes of assumptions	1,488,523	-
Net difference between projected and actual earnings on OPEB assets	28,013	-
Total	$ 1,516,536	$ 328,564

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB as of December 31, 2019, will be recognized in OPEB expense as follows for the year ended December 31:

2020	$ (46,325)
2021	(46,325)
2022	(46,325)
2023	(46,326)
Thereafter	(208,723)
	$ (394,024)

Actuarial Assumptions at December 31, 2019:

Actuarial Cost Method: Entry Age Normal

Participation: Active members will elect the same retiree medical coverage as they elected with active.

Mortality: RP-2014 Total Dataset Mortality with Improvement Scale MP-2019.

Discount Rate: 2.92% per annum. The plan is partially funded in an irrevocable trust maintained by the plan sponsor.

Inflation: 2.5% per annum.

Assumed Utilization: 85% of eligible future retirees are assumed to elect plan benefits.

Health Care (HC) Cost Trend Rate: Covered medical expenses are assumed to increase by the following percentages:

Year	HC Trend Rate
2020	7.0%
2021	6.5%
2022	6.0%
2023	5.5%
2024	5.0%
2025 and later	4.5%

Membership Data: The membership data used in the calculation is based on data as of December 31, 2019. The information is summarized for primary members (not dependents).

Status	Number	Average Age	Average Years of Service
Active members (elected medical and employed prior to 7/1/2017)	177	46.9	14.4
Active members (elected medical and employed after 7/1/2017)	18	41.4	1.3
Retired members under Age 65 (elected benefits)	23	58.4	N/A

Employer-Paid Medical Premiums: The retiree medical plan is currently fully insured. Employer-paid monthly premiums are set yearly, with 2019 ranging from $230 to $910, depending on which health care plan selected and type of coverage (retiree only, retiree plus spouse, retiree plus child(ren), and retiree plus family. LRWRA funded approximately 50% of the postretirement health care benefit costs. Employees hired after July 1, 2017, may elect retiree medical benefits upon retirement; however, they must pay 100% of premiums.

Actuarial Assumptions at December 31, 2018:

Actuarial Cost Method: Entry Age Normal

Participation: Active members will elect the same retiree medical coverage as they elected with active.

Mortality: RP-2014 Total Dataset Mortality with Improvement Scale MP-2018.

Discount Rate: 4.0% per annum. The plan is partially funded in an irrevocable trust maintained by the plan sponsor.

Inflation: 2.5% per annum.

Assumed Utilization: 85% of eligible future retirees are assumed to elect plan benefits.

Health Care (HC) Cost Trend Rate: Covered medical expenses are assumed to increase by the following percentages:

Year	HC Trend Rate
2019	7.0%
2020	6.5%
2021	6.0%
2022	5.5%
2023	5.0%
2024 and later	4.5%

Membership Data: The membership data used in the calculation is based on data as of December 31, 2018. The information is summarized for primary members (not dependents).

Status	Number	Average Age	Average Years of Service
Active members (with medical benefits)	185	46.1	13.7
Retired members under Age 65 (elected benefits)	25	58.4	N/A

Employer-Paid Medical Premiums: The retiree medical plan is currently fully insured. Employer-paid monthly premiums are set yearly, with 2018 ranging from $219 to $866, depending on which health care plan selected and type of coverage (retiree only, retiree plus spouse, retiree plus child(ren), and retiree plus family. LRWRA funded approximately 50% of the postretirement health care benefit costs. Employees hired after July 1, 2017, may elect retiree medical benefits upon retirement; however, they must pay 100% of premiums.

Investment Policy and Long-Term Expected Rate of Return: The plan's policy in regard to the allocation of invested assets is established by the LRWRC. The current asset allocation policy is 100% fixed income investments. The long-term expected rate of return on plan investments used is a proxy for annual long-term asset returns that are expected on high-quality AMT-free yields on municipal bonds with maturity in approximately 20 years. For the years ended December 31, 2019 and 2018, the annual money-weighted rate of return for the investments, net of investment expense, was 2.5% and 1.23% , respectfully.

Assuming that the plan sponsor continues to contribute in similar levels as in recent years (years on the average of all years since 2010), the plan should be sufficiently funded to pay benefits due for several years. The expected fund value would be projected to be at $0 by the end of 2028 if the funds were used for its designated retiree benefits.

Note 11: Payments to Central Arkansas Water

The Utility pays Central Arkansas Water for billing and collection services provided by that entity. Such payments amount to exactly $820,119 and $798,531 for the years ended December 31, 2019 and 2018, respectively, and are included as operating expenses in the accompanying statements of revenues, expenses and changes in net position.

Note 12: Risk Management

The Utility has purchased commercial insurance policies for various risks of loss related to torts; theft, damage or destruction of assets; errors or omissions; and natural disasters. Payments and premiums for these policies are recorded as expenses of the Utility. Insurance settlements have not exceeded insurance coverage in any of the past three years.

Note 13: Pension and OPEB Plan Financial Statements

The following tables include financial information for the pension and OPEB plans as of December 31, 2019:

	OPEB Trust	401(a) Plan	Total Fiduciary Funds
Assets			
Cash and cash equivalents	$ 47,695	$ -	$ 47,695
Investments – at fair value	1,273,415	16,610,601	17,884,016
Accounts receivable	-	48,367	48,367
Loans receivable	-	822,634	822,634
Total assets	1,321,110	17,481,602	18,802,712
Liabilities			
Benefits payable and accrued expenses	-	-	-
Total liability	-	-	-
Net Position			
Restricted			
Defined contribution plan	-	17,481,602	17,481,602
Postemployment benefits other than pensions	1,321,110	-	1,321,110
Total Net Position	$ 1,321,110	$ 17,481,602	$ 18,802,712

	OPEB Trust	401(a) Plan	Total Fiduciary Funds
Additions			
Employer contributions	$ 131,834	$ 436,408	$ 568,242
Employee contributions	-	861,515	861,515
Investment income			
Investment income	37,125	2,239,822	2,276,947
Less trustee fee	(4,566)	(25,068)	(29,634)
Net investment income	32,559	2,214,754	2,247,313
Total additions	164,393	3,512,677	3,677,070
Deductions			
Benefit payments	131,834	970,089	1,101,923
Total deductions	131,834	970,089	1,101,923
Net Increase in Net Position	32,559	2,542,588	2,575,147
Net Position, Beginning of the Year, as Previously Reported	1,288,551	-	1,288,551
Adjustments for Accounting Change - Adoption of GASB 84	-	14,939,014	14,939,014
Net Position, Beginning of the Year, Adjusted	1,288,551	14,939,014	16,227,565
Net Position, End of the Year	$ 1,321,110	$ 17,481,602	$ 18,802,712

The 2018 information for the 401(a) Plan is not readily available.

Note 14: Fiduciary Funds

Deposits

Custodial credit risk is the risk that in the event of a bank failure, a government's deposits may not be returned to it. The Plan's deposit policy for custodial credit risk requires compliance with the provisions of state law.

State law requires collateralization of all deposits with federal depository insurance; bonds and other obligations of the U.S. Treasury, U.S. agencies or instrumentalities or the state of Arkansas; bonds of any city, county, school district or special road district of the state of Arkansas; bonds of any state; or a surety bond having an aggregate value at least equal to the amount of the deposits.

At December 31, 2019, none of the Plan's bank balances were exposed to custodial credit risk.

Investments

The Plan may legally invest in direct obligations of and other obligations guaranteed as to principal by the U.S. Treasury and U.S. agencies and instrumentalities and in bank repurchase agreements. It may also invest to a limited extent in corporate bonds and equity securities.

At December 31, 2019, the Plan had the following investments and maturities*:

December 31, 2019					
Investment Type	Fair Value	Less than 1 year	1–5 years	More than 5 years	Credit Rating
Cash Equivalents and Investments					
Cash equivalents					
Federated treasury obligation	$ 47,695	$ 47,695	$ -	$ -	AA+/Aaa
Investments					
Federal Farm Credit Bank	1,273,415	-	1,273,415	-	AA+/Aaa
Mutual Funds - Stable Value/ Cash Management	4,872,369	3,463	4,868,906	-	AA+/Aaa
Mutual Funds - Balanced Asset	4,613,803	4,613,803	-	-	AA+/Aaa
Mutual Funds - Bond	1,356,638	-	358,088	998,550	AA+/Aaa
	12,116,225	4,617,266	6,500,409	998,550	
		$ 4,664,961	$ 6,500,409	$ 998,550	
Mutual Funds - Equity and Specialty	5,767,791				
Total Cash Equivalents and Investments	$ 17,931,711				

*Maturities are based on the scheduled maturity dates of the underlying investments. Investment types can be bought and sold on a daily basis.

Investment Risk

Due to the nature of the Plan, the interest rate risk, credit risk, custodial risk and concentration of credit risk will vary for the participants depending on the investment options chosen by the participant.

Disclosures About Fair Value of Assets and Liabilities

The following table presents the fair value measurements of assets recognized in the accompanying statement of fiduciary net position measured at fair value on a recurring basis and the level within the fair value hierarchy in which the fair value measurements fall at December 31, 2019:

	Total Fair Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
December 31, 2019				
Investments				
Stable Value/Cash Management Funds	$ 4,872,369	$ -	$ 4,872,369	$ -
Federal Farm Credit Bank	1,273,415	-	1,273,415	-
Mutual Funds - Specialty	205,844	205,844	-	-
Mutual Funds - Balanced Asset	4,613,803	4,613,803	-	-
Mutual Funds - Bond	1,356,638	1,356,638	-	-
Mutual Funds - Equity Stock	5,561,947	5,561,947	-	-
	$ 17,884,016	$ 11,738,232	$ 6,145,784	$ -

Investments

Where quoted market prices are available in an active market, securities are classified within Level 1 of the valuation hierarchy. If quoted market prices are not available, then fair values are estimated by using quoted prices of securities with similar characteristics or independent asset pricing services and pricing models, the inputs of which are market-based or independently sourced market parameters, including, but not limited to, yield curves, interest rates, volatilities, prepayments, defaults, cumulative loss projections and cash flows. Such securities are classified in Level 2 of the valuation hierarchy. In certain cases where Level 1 or Level 2 inputs are not available, securities are classified within Level 3 of the hierarchy.

Note 15: Future Change in Accounting Principle

The Governmental Accounting Standards Board recently issued its Statement No. 89 (GASB 89), *Accounting for Interest Cost Incurred before the End of a Construction Period*. The Statement requires interest incurred before the end of a construction period be expensed. The Utility expects to first apply GASB 89 during the year ending December 31, 2021, using a prospective recognition method. The impact of applying the Statement has not been determined.

Note 16: Subsequent Events

Revolving Loan Fund

During 2020, the Utility issued $51,400,000 in revolving loan funds that will be used for construction activities.

Economic Environment

As a result of the spread of the SARS-CoV-2 virus and the incidence of COVID-19, the state of Arkansas and the City of Little Rock has issued measures around public gatherings and business operations to slow the spread of the virus. As a result of this guidance, the Utility has started to incur revenue decreases and is curtailing certain operational and capital expenditures in response. The duration of these uncertainties and the ultimate financial effects cannot be reasonably estimated at this time.

There has been significant volatility in the investment markets both nationally and globally since December 31, 2019, resulting in an overall market decline in certain market segments which has resulted in a decline in the value of our investment portfolio.

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REQUIRED SUPPLEMENTARY INFORMATION

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Schedule of Changes in Net Other Postemployment Benefits Liability and Related Ratios (GASB 74 and GASB 75)

Year Ended December 31, 2019

	2019	2018	2017	2016
Total OPEB Liability				
Service costs	$ 180,168	$ 153,267	$ 145,382	$ 141,691
Interest on total OPEB liabilities	262,223	203,573	189,015	177,331
Difference between expected and actual experience	(1,468,285)	(362,437)	280,979	(57,544)
Change in assumptions	714,624	1,641,979	-	-
Benefit payments	(131,835)	(137,515)	(97,466)	(88,394)
Net changes in total OPEB liability	(443,105)	1,498,867	517,910	173,084
Total OPEB liability – beginning	6,677,769	5,178,902	4,660,992	4,487,908
Total OPEB liability – ending	6,234,664	6,677,769	5,178,902	4,660,992
Plan Fiduciary Net Position				
Contributions – employer	131,834	137,515	97,466	88,394
Net investment income	37,126	20,317	13,346	(11,061)
Benefit payments	(131,835)	(137,515)	(97,466)	(88,394)
Administrative expenses	(4,566)	(4,449)	(4,449)	(4,450)
Net changes in plan fiduciary net position	32,559	15,868	8,897	(15,511)
Plan fiduciary net position – beginning	1,288,551	1,272,683	1,263,786	1,279,297
Plan fiduciary net position – ending	1,321,110	1,288,551	1,272,683	1,263,786
Net OPEB liability	$ 4,913,554	$ 5,389,218	$ 3,906,219	$ 3,397,206
Plan Fiduciary Net Position as a Percentage of Total OPEB Liability	21.2%	19.3%	24.6%	27.1%
Covered Employee Payroll	$ 14,406,068	$ 13,867,243	$ 13,606,281	$ 13,312,297
Net OPEB Liability as a Percentage of Covered Payroll	34.1%	38.9%	28.7%	25.5%

Note: A full 10-year schedule will be completed as information is available.

Changes in Assumption: For the December 31, 2019, actuarial valuation, all new employees have to pay 100% of the premiums at retirement. Also, the mortality improvement scale has been changed from MP-2018 to MP-2019 and the year-end discount rate has changed from 4.0% to 2.92%

Little Rock Water Reclamation Authority

Schedule of Contributions

Other Postemployment Benefits (GASB 74 and GASB 75)

Year Ended December 31, 2019

Year Ended December 31,	Actuarially Determined Contributions	Actual Contributions	Contribution Deficiency (Excess)	Covered Employee Payroll	Actual Contribution as a % of Covered Payroll
2016	$ 155,000	$ 88,394	$ 66,606	$ 13,312,297	0.66%
2017	155,000	97,466	57,534	13,606,281	0.72%
2018	138,000	137,515	485	13,867,243	0.99%
2019	137,000	131,834	5,166	14,406,068	0.92%

Note: A full 10-year schedule will be completed as information is available.

Key Assumptions for Actuarially Determined Contribution

Cost Method:	Entry Age Normal
Discount Rate:	2.92%
Inflation:	2.5%
Investment Rate of Return:	2.92%
Mortality:	RP-2014 Mortality Table with Improvement Scale MP-2019
Assumed Utilization:	85% of future retirees are assumed to elect plan benefits
Participation:	Active members will elect the same retiree medical coverage as they elected while active
Retirement Rates:	Mirror rates provided for the Arkansas Public Employees Retirement System pension valuation

Little Rock Water Reclamation Authority

Schedule of Investment Returns
Other Postemployment Benefits (GASB 74 and GASB 75)
Year Ended December 31, 2019

LRWRA Post Retiree Healthcare – OPEB Trust Fund

Fiscal Year Ended	Money-Weighted Rate of Return
12/31/2016	-1.21%
12/31/2017	0.70%
12/31/2018	1.23%
12/31/2019	2.50%

Note: A full 10-year schedule will be completed as information is available.

Little Rock Water Reclamation Authority

Schedule of Contributions

Arkansas Public Employees Retirement System

Year Ended December 31, 2019

	2019	2018	2017	2016	2015
Contractually required contributions	$ 2,088,432	$ 1,920,103	$ 1,870,073	$ 1,838,797	$ 1,720,285
Contributions in relation to the contractually required contributions	2,088,142	1,917,096	1,869,906	1,838,797	1,759,530
Contribution deficiency (excess)	$ 290	$ 3,007	$ 167	$ -	$ (39,245)
LRWRA's covered payroll	$ 13,629,820	$ 12,981,831	$ 12,955,527	$ 12,674,419	$ 12,115,376
Contributions as a percentage of covered payroll	15.3%	14.8%	14.4%	14.5%	14.5%

	2014
Contractually required contributions	$ 1,790,896
Contributions in relation to the contractually required contributions	1,703,752
Contribution deficiency (excess)	$ 87,144
LRWRA's covered payroll	$ 11,658,706
Contributions as a percentage of covered payroll	14.6%

This schedule is presented to illustrate the requirement to show information for 10 years. However, until a full 10-year trend is compiled, the Utility will present information for only years which information is available. Information has been determined as of LRWRA's most recent fiscal year-end (December 31).

Note: Investment rate of return was 7.15% and salary increases started at 3.25% through the June 30, 2019, measurement date.

Little Rock Water Reclamation Authority

Schedule of Proportionate Share of the Net Pension Liability

Arkansas Public Employees Retirement System

Year Ended December 31, 2019

	2019	2018	2017	2016
LRWRA's proportion of the net pension liability	0.71226298%	0.69388988%	0.71552208%	0.68334170%
LRWRA's proportionate share of the net pension liability	$ 17,183,550	$ 15,306,760	$ 18,490,096	$ 16,341,079
LRWRA's covered payroll	$ 14,238,087	$ 13,661,710	$ 13,352,218	$ 12,321,987
LRWRA's proportionate share of the net pension liability as a percentage of its covered payroll	120.69%	112.04%	138.48%	132.62%
Plan fiduciary net position as a percentage of the total pension liability	78.55%	79.59%	75.65%	75.50%
APERS discount rate	7.15%	7.15%	7.15%	7.50%

This schedule is presented to illustrate the requirement to show information for 10 years. However, until a full 10-year trend is compiled, the Utility will present information for only years which information is available. Information has been determined as of the measurement date used to determine the net pension liability (June 30).

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SUPPLEMENTARY INFORMATION

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ONE FUTURE.

Little Rock Water Reclamation Authority

Budgetary Comparison Schedule

Year Ended December 31, 2019

	Original and Final Budget	Actual	Variance Over (Under)
Operating Revenue			
Sewer charges	$ 59,112,023	$ 58,492,305	$ (619,718)
Industrial surcharges	1,054,100	1,581,640	527,540
Other	788,500	677,903	(110,597)
Total operating revenue	60,954,623	60,751,848	(202,775)
Operating Expenses Excluding Depreciation			
Water reclamation committee	57,457	59,587	2,130
Utility management	1,539,997	1,408,463	(131,534)
Finance and administration	2,616,211	2,796,238	180,027
Engineering	2,409,743	2,574,227	164,484
Information systems	2,115,371	2,222,155	106,784
Collection system maintenance	7,795,315	8,575,908	780,593
Operations	5,332,920	5,966,075	633,155
Environmental assessment	1,699,686	1,804,391	104,705
Facilities/maintenance	3,802,473	3,921,974	119,501
Legal/HR	831,075	855,351	24,276
Total operating expenses, excluding depreciation	28,200,248	30,184,369	1,984,121
Operating Income Before Depreciation	32,754,375	30,567,479	(2,186,896)
Provision for depreciation			
Building and improvements	4,372,616	4,183,557	(189,059)
Infrastructure – collections, pumping and treatments	8,692,088	8,913,060	220,972
Equipment	3,899,163	3,935,716	36,553
Total provision for depreciation	16,963,867	17,032,333	68,466
Operating Income	15,790,508	13,535,146	(2,255,362)
Nonoperating Income (Expense)			
Interest income	375,000	1,027,034	652,034
Interest expense	(9,675,800)	(8,756,844)	918,956
Bond issuance/amortization expense	(50,000)	(24,398)	25,602
Gain (loss) on disposal of capital assets	95,000	(108,485)	(203,485)
Gain on investments	-	58,579	58,579
Other	75,000	196,960	121,960
Net nonoperating income (expense)	(9,180,800)	(7,607,154)	1,573,646
Increase in Net Position Before Capital Contributions	$ 6,609,708	$ 5,927,992	$ (681,716)

Little Rock Water Reclamation Authority

Schedule of Operating Expenses by Department
Excluding Depreciation
Years Ended December 31, 2019 and 2018

	2019	2018
Water Reclamation Commission		
Commission expense reimbursement	$ 1,807	$ 1,599
Insurance	1,492	2,979
Other	56,288	52,511
Total	59,587	57,089
Utility Management		
Salaries	596,413	570,382
Employee benefits	365,255	334,898
Supplies	9,514	12,764
Contract services	190,541	174,059
Vehicle maintenance	17,168	17,025
Utilities	11,097	7,794
Insurance	2,181	2,310
Training and administration	216,294	286,730
Total	1,408,463	1,405,962
Finance and Administration		
Salaries	1,028,681	951,000
Employee benefits	599,661	475,881
Supplies	35,738	41,043
Contract services	985,524	999,895
Vehicle maintenance	3,021	7,749
Utilities	6,531	5,588
Insurance	12,397	9,850
Training and administration	124,685	113,382
Total	2,796,238	2,604,388
Engineering		
Salaries	1,261,383	1,182,615
Employee benefits	669,004	477,980
Supplies	53,167	60,252
Contract services	429,011	539,562
Vehicle maintenance	28,800	31,792
Utilities	18,141	13,698
Insurance	9,838	14,372
Training and administration	104,883	272,702
Total	2,574,227	2,592,973

Little Rock Water Reclamation Authority

Schedule of Operating Expenses by Department
Excluding Depreciation (Continued)
Years Ended December 31, 2019 and 2018

	2019	2018
Collection System Maintenance:		
Salaries	$ 4,315,440	$ 4,308,355
Employee benefits	2,702,124	2,259,003
Supplies	655,455	709,171
Contract services	687,083	794,980
Vehicle maintenance	114,096	166,431
Utilities	39,741	35,537
Insurance	41,626	61,807
Training and administration	20,343	36,006
Total	8,575,908	8,371,290
Operations – Adams, Fourche, Maumelle and Industrial Monitoring		
Salaries	1,836,967	1,757,005
Employee benefits	1,086,713	896,442
Supplies	512,178	457,043
Contract services	733,708	576,514
Vehicle maintenance	22,132	12,313
Utilities	1,586,440	1,264,084
Insurance	94,974	62,690
Training and administration	92,963	86,433
Total	5,966,075	5,112,524
Information Systems		
Salaries	845,283	803,891
Employee benefits	470,000	391,942
Supplies	196,134	250,103
Contract services	487,866	439,392
Vehicle maintenance	6,819	5,732
Utilities	178,479	162,634
Insurance	3,622	3,801
Training and administration	33,952	31,184
Total	2,222,155	2,088,679
Environmental Assessment		
Salaries	975,337	966,250
Employee benefits	609,915	496,101
Supplies	114,001	128,424
Contract services	53,095	57,939
Vehicle maintenance	21,411	20,003
Utilities	5,933	4,902
Insurance	6,563	6,522
Training and administration	18,136	13,670
Total	1,804,391	1,693,811

Little Rock Water Reclamation Authority

Schedule of Operating Expenses by Department
Excluding Depreciation (Continued)
Years Ended December 31, 2019 and 2018

	2019	2018
Facilities/Maintenance		
Salaries	$ 1,466,103	$ 1,346,458
Benefits	882,670	722,144
Supplies	833,735	987,721
Contract services	447,337	349,213
Vehicle expenses	74,821	74,406
Utilities	137,341	134,023
Insurance	64,138	49,671
Other	15,829	8,984
Total	3,921,974	3,672,620
Legal/HR		
Salaries	461,223	443,152
Benefits	236,090	185,911
Supplies	8,860	8,124
Contract services	72,558	43,819
Vehicle expenses	7,200	7,200
Utilities	1,466	1,293
Insurance	1,066	1,150
Other	66,888	42,537
Total	855,351	733,186
Total operating expenses	$ 30,184,369	$ 28,332,522

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness

December 31, 2019

Sewer Revenue Bonds (Series 2007B)

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2020	2.75%	$ 447,503	$ 453,656	$ 140,545	$ 134,392	$ 1,176,096
2021	2.75%	459,893	466,217	128,155	121,831	1,176,096
2022	2.75%	472,628	479,126	115,420	108,922	1,176,096
2023	2.75%	485,715	492,393	102,333	95,655	1,176,096
2024	2.75%	499,163	506,027	88,885	82,021	1,176,096
2025	2.75%	512,984	520,038	75,064	68,010	1,176,096
2026	2.75%	527,188	534,437	60,860	53,611	1,176,096
2027	2.75%	541,786	549,235	46,262	38,813	1,176,096
2028	2.75%	556,788	564,444	31,260	23,604	1,176,096
2029	2.75%	572,211	580,049	15,843	7,974	1,176,077
		$ 5,075,859	$ 5,145,622	$ 804,627	$ 734,833	$ 11,760,941

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2009A)

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2020	2.00%	$ 189,987	$ 191,887	$ 53,658	$ 51,758	$ 487,290
2021	2.00%	193,805	195,743	49,840	47,902	487,290
2022	2.00%	197,701	199,677	45,944	43,968	487,290
2023	2.00%	201,675	203,691	41,970	39,954	487,290
2024	2.00%	205,729	207,785	37,916	35,860	487,290
2025	2.00%	209,863	211,963	33,782	31,682	487,290
2026	2.00%	214,081	216,223	29,564	27,422	487,290
2027	2.00%	218,385	220,569	25,260	23,076	487,290
2028	2.00%	222,775	225,003	20,870	18,642	487,290
2029	2.00%	227,253	229,525	16,392	14,120	487,290
2030	2.00%	231,819	234,139	11,826	9,506	487,290
2031	2.00%	236,478	238,845	7,166	4,800	487,289
2032	2.00%	241,223	-	2,412	-	243,635
		$ 2,790,774	$ 2,575,050	$ 376,600	$ 348,690	$ 6,091,114

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2011)

Year of Maturity	Interest Rate	Principal Payable February 1,	Principal Payable August 1,	Interest Payable February 1,	Interest Payable August 1,	Total Annual Requirement
2020	5.00%	$ 1,110,000	$ 1,140,000	$ 136,963	$ 109,213	$ 2,496,176
2021	3.25%	1,160,000	1,190,000	80,712	61,863	2,492,575
2022	3.50%	1,205,000	1,225,000	42,525	21,438	2,493,963
		$ 3,475,000	$ 3,555,000	$ 260,200	$ 192,514	$ 7,482,714

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2012)

Year of Maturity	Interest Rate	Principal Payable February 1,	Principal Payable August 1,	Interest Payable February 1,	Interest Payable August 1,	Total Annual Requirement
2020	3.000%	$ -	$ 705,000	$ 440,388	$ 440,388	$ 1,585,776
2021	3.000%	-	725,000	429,812	429,812	1,584,624
2022	3.000%	-	745,000	418,938	418,938	1,582,876
2023	3.000%	-	770,000	407,762	407,762	1,585,524
2024	3.000%	-	790,000	396,213	396,213	1,582,426
2025	3.000%	-	815,000	384,362	384,362	1,583,724
2026	3.125%	-	840,000	372,137	372,137	1,584,274
2027	3.250%	-	865,000	359,013	359,013	1,583,026
2028	3.250%	-	895,000	344,956	344,956	1,584,912
2029	3.750%	-	925,000	330,413	330,413	1,585,826
2030	3.750%	-	960,000	313,069	313,069	1,586,138
2031	3.750%	-	995,000	295,069	295,069	1,585,138
2032	3.750%	-	1,030,000	276,412	276,413	1,582,825
2033	3.750%	-	1,070,000	257,100	257,100	1,584,200
2034	4.000%	-	1,115,000	235,700	235,700	1,586,400
2035	4.000%	-	1,160,000	213,400	213,400	1,586,800
2036	4.000%	-	1,205,000	190,200	190,200	1,585,400
2037	4.000%	-	1,250,000	166,100	166,100	1,582,200
2038	4.000%	-	1,300,000	141,100	141,100	1,582,200
2039	4.000%	-	1,355,000	115,100	115,100	1,585,200
2040	4.000%	-	1,410,000	88,000	88,000	1,586,000
2041	4.000%	-	1,465,000	59,800	59,800	1,584,600
2042	4.000%	-	1,525,000	30,500	30,500	1,586,000
		$ -	$ 23,915,000	$ 6,265,544	$ 6,265,545	$ 36,446,089

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2013)

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2020	2.250%	$ 767,428	$ 776,061	$ 355,179	$ 346,545	$ 2,245,213
2021	2.250%	784,791	793,620	337,814	328,985	2,245,210
2022	2.250%	802,548	811,577	320,057	311,029	2,245,211
2023	2.250%	820,708	829,940	301,898	292,665	2,245,211
2024	2.250%	839,277	848,720	283,329	273,887	2,245,213
2025	2.250%	858,267	867,922	264,339	254,683	2,245,211
2026	2.250%	877,687	887,561	244,919	235,045	2,245,212
2027	2.250%	897,546	907,643	225,060	214,962	2,245,211
2028	2.250%	917,854	928,181	204,752	194,426	2,245,213
2029	2.250%	938,622	949,182	183,984	173,424	2,245,212
2030	2.250%	959,860	970,659	162,746	151,947	2,245,212
2031	2.250%	981,578	992,621	141,027	129,985	2,245,211
2032	2.250%	1,003,788	1,015,081	118,818	107,525	2,245,212
2033	2.250%	1,026,500	1,038,049	96,106	84,557	2,245,212
2034	2.250%	1,049,726	1,061,536	72,879	61,070	2,245,211
2035	2.250%	1,073,476	1,085,555	49,127	37,081	2,245,239
2036	2.250%	1,097,768	1,110,103	24,839	12,489	2,245,199
		$ 15,697,424	$ 15,874,011	$ 3,386,873	$ 3,210,305	$ 38,168,613

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2014)

Year of Maturity	Interest Rate	Principal Payable May 1,	Principal Payable November 1,	Interest Payable May 1,	Interest Payable November 1,	Total Annual Requirement
2020	3.000%	$ 650,000	$ 670,000	$ 90,788	$ 81,037	$ 1,491,825
2021	3.000%	675,000	685,000	74,338	65,900	1,500,238
2022	3.500%	695,000	705,000	55,625	43,463	1,499,088
2023	4.000%	315,000	320,000	31,124	26,400	692,524
2024	4.000%	325,000	335,000	20,000	13,500	693,500
2025	4.000%	340,000	-	6,800	-	346,800
		$ 3,000,000	$ 2,715,000	$ 278,675	$ 230,300	$ 6,223,975

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2015)

Year of Maturity	Interest Rate	Principal Payable April 1,	Principal Payable October 1,	Interest Payable April 1,	Interest Payable October 1,	Total Annual Requirement
2020	3.000%	$ 2,215,000	$ 2,245,000	$ 2,793,046	$ 2,759,821	$ 10,012,867
2021	4.000%	2,285,000	2,325,000	2,726,146	2,680,446	10,016,592
2022	3.500%	2,375,000	2,405,000	2,633,946	2,598,321	10,012,267
2023	4.000%	2,460,000	2,495,000	2,550,221	2,513,321	10,018,542
2024	4.000%	2,775,000	2,820,000	2,450,946	2,409,321	10,455,267
2025	4.000%	2,890,000	2,935,000	2,338,821	2,295,471	10,459,292
2026	4.375%	3,355,000	3,430,000	2,222,096	2,148,705	11,155,801
2027	4.500%	3,880,000	3,210,000	2,073,674	1,986,374	11,150,048
2028	4.700%	3,660,000	3,745,000	1,914,149	1,828,139	11,147,288
2029	3.125%	3,830,000	3,890,000	1,740,131	1,680,288	11,140,419
2030	3.250%	4,510,000	4,585,000	1,619,506	1,546,219	12,260,725
2031	3.250%	4,665,000	4,735,000	1,471,713	1,395,906	12,267,619
2032	5.000%	4,810,000	4,930,000	1,318,963	1,198,713	12,257,676
2033	5.000%	5,055,000	5,185,000	1,075,463	949,088	12,264,551
2034	5.000%	5,315,000	5,445,000	819,463	686,588	12,266,051
2035	3.500%	5,585,000	5,685,000	550,463	452,725	12,273,188
2036	3.500%	5,785,000	5,885,000	353,238	252,000	12,275,238
2037	3.500%	4,220,000	4,295,000	149,013	75,163	8,739,176
		$ 69,670,000	$ 70,245,000	$ 30,800,998	$ 29,456,609	$ 200,172,607

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2016A)[a]

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2020	2.720%	$ -	$ 814,218	$ -	$ 695,192	$ 1,509,410
2021	2.720%	824,931	835,786	684,479	673,625	3,018,821
2022	2.720%	846,785	857,929	662,626	651,482	3,018,822
2023	2.720%	869,221	880,663	640,190	628,748	3,018,822
2024	2.720%	892,256	904,003	617,155	605,408	3,018,822
2025	2.720%	915,906	927,967	593,505	581,444	3,018,822
2026	2.720%	940,187	952,570	569,223	556,841	3,018,821
2027	2.720%	965,117	977,830	544,294	531,581	3,018,822
2028	2.720%	990,712	1,003,765	518,699	505,646	3,018,822
2029	2.720%	1,016,991	1,030,393	492,420	479,018	3,018,822
2030	2.720%	1,043,972	1,057,732	465,439	451,679	3,018,822
2031	2.720%	1,071,674	1,085,802	437,737	423,609	3,018,822
2032	2.720%	1,100,117	1,114,622	409,294	394,789	3,018,822
2033	2.720%	1,129,319	1,144,212	380,091	365,198	3,018,820
2034	2.720%	1,159,303	1,174,594	350,108	334,817	3,018,822
2035	2.720%	1,190,088	1,205,789	319,322	303,622	3,018,821
2036	2.720%	1,221,697	1,237,817	287,713	271,593	3,018,820
2037	2.720%	1,254,152	1,270,703	255,259	238,707	3,018,821
2038	2.720%	1,287,475	1,304,469	221,936	204,941	3,018,821
2039	2.720%	1,321,690	1,339,139	187,721	170,272	3,018,822
2040	2.720%	1,356,821	388,270	152,590	134,673	2,032,354
2041	2.720%	394,094	400,006	128,849	122,938	1,045,887
2042	2.720%	406,006	412,096	116,938	110,848	1,045,888
2043	2.720%	418,277	424,552	104,666	98,392	1,045,887
2044	2.720%	430,920	437,384	92,024	85,560	1,045,888
2045	2.720%	443,944	450,604	78,999	72,340	1,045,887
2046	2.720%	457,363	464,223	65,581	58,721	1,045,888
2047	2.720%	471,186	478,254	51,757	44,690	1,045,887
2048	2.720%	485,428	492,709	37,516	30,234	1,045,887
2049	2.720%	500,100	507,602	22,844	15,342	1,045,888
2050	2.720%	515,215	-	7,728	-	522,943
		$ 25,920,947	$ 25,575,703	$ 9,496,703	$ 9,841,950	$ 70,835,303

[a] The available proceeds of Series 2016A is $61,000,000 and includes 20- and 30-year blended rates. The Utility received an extension on drawing down the 2016A bond, and is required to pay all scheduled principal, but is only required to pay interest on the outstanding balance.

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2016A) – Fully Amortized[a]

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2020	2.720%	$ -	$ 983,854	$ -	$ 829,918	$ 1,813,772
2021	2.720%	997,239	1,010,807	816,533	802,965	3,627,544
2022	2.720%	1,024,559	1,038,498	789,213	775,274	3,627,544
2023	2.720%	1,052,628	1,066,949	761,144	746,823	3,627,544
2024	2.720%	1,081,465	1,096,179	732,307	717,593	3,627,544
2025	2.720%	1,111,092	1,126,209	702,680	687,563	3,627,544
2026	2.720%	1,141,531	1,157,062	672,241	656,710	3,627,544
2027	2.720%	1,172,804	1,188,760	640,968	625,012	3,627,544
2028	2.720%	1,204,934	1,221,327	608,838	592,445	3,627,544
2029	2.720%	1,237,943	1,254,786	575,829	558,986	3,627,544
2030	2.720%	1,271,858	1,289,161	541,914	524,611	3,627,544
2031	2.720%	1,306,701	1,324,479	507,071	489,293	3,627,544
2032	2.720%	1,342,499	1,360,764	471,273	453,008	3,627,544
2033	2.720%	1,379,277	1,398,043	434,495	415,729	3,627,544
2034	2.720%	1,417,063	1,436,342	396,709	377,430	3,627,544
2035	2.720%	1,455,884	1,475,691	357,888	338,081	3,627,544
2036	2.720%	1,495,769	1,516,120	318,003	297,652	3,627,544
2037	2.720%	1,536,746	1,557,654	277,026	256,118	3,627,544
2038	2.720%	1,578,846	1,600,327	234,926	213,445	3,627,544
2039	2.720%	1,622,099	1,644,169	191,673	169,603	3,627,544
2040	2.720%	1,666,538	401,409	147,234	124,561	2,339,742
2041	2.720%	406,871	412,407	119,099	113,563	1,051,940
2042	2.720%	418,018	423,705	107,952	102,265	1,051,940
2043	2.720%	429,469	435,312	96,501	90,658	1,051,940
2044	2.720%	441,234	447,237	84,736	78,733	1,051,940
2045	2.720%	453,323	459,490	72,647	66,480	1,051,940
2046	2.720%	465,742	472,078	60,228	53,892	1,051,940
2047	2.720%	478,501	485,011	47,469	40,959	1,051,940
2048	2.720%	491,609	498,298	34,361	27,672	1,051,940
2049	2.720%	505,078	511,949	20,892	14,021	1,051,940
2050	2.720%	518,603	-	7,056	-	525,659
		$ 30,705,923	$ 30,294,077	$ 10,828,906	$ 11,241,063	$ 83,069,969

[a] The available proceeds of Series 2016A is $61,000,000.

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2016B)

Year of Maturity	Interest Rate	Principal Payable June 1,	Principal Payable December 1,	Interest Payable June 1,	Interest Payable December 1,	Total Annual Requirement
2020	3.000%	$ -	$ 655,000	$ 301,372	$ 301,372	$ 1,257,744
2021	3.000%	-	670,000	291,547	291,547	1,253,094
2022	4.000%	-	695,000	281,497	281,497	1,257,994
2023	4.000%	-	725,000	267,597	267,597	1,260,194
2024	4.000%	-	755,000	253,097	253,097	1,261,194
2025	4.000%	-	780,000	237,997	237,997	1,255,994
2026	4.000%	-	815,000	222,397	222,397	1,259,794
2027	4.000%	-	850,000	206,097	206,097	1,262,194
2028	4.000%	-	880,000	189,097	189,097	1,258,194
2029	4.000%	-	910,000	171,497	171,497	1,252,994
2030	4.000%	-	950,000	153,297	153,297	1,256,594
2031	3.000%	-	990,000	134,297	134,297	1,258,594
2032	3.000%	-	1,020,000	119,447	119,447	1,258,894
2033	4.000%	-	1,045,000	104,147	104,147	1,253,294
2034	4.000%	-	1,090,000	83,247	83,247	1,256,494
2035	3.125%	-	1,135,000	61,447	61,447	1,257,894
2036	3.125%	-	1,170,000	43,713	43,713	1,257,426
2037	3.250%	-	1,205,000	25,431	25,431	1,255,862
2038	3.250%	-	360,000	5,850	5,850	371,700
		$ -	$ 16,700,000	$ 3,153,071	$ 3,153,071	$ 23,006,142

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2017)

Year of Maturity	Interest Rate	Principal Payable April 1,	Principal Payable October 1,	Interest Payable April 1,	Interest Payable October 1,	Total Annual Requirement
2020	3.000%	$ -	$ 220,000	$ 182,854	$ 182,854	$ 585,708
2021	3.000%	-	225,000	179,553	179,553	584,106
2022	4.000%	-	235,000	176,178	176,178	587,356
2023	4.000%	-	245,000	171,478	171,478	587,956
2024	4.000%	-	250,000	166,578	166,578	583,156
2025	4.000%	-	265,000	161,578	161,578	588,156
2026	4.000%	-	275,000	156,278	156,278	587,556
2027	4.000%	-	285,000	150,778	150,778	586,556
2028	4.000%	-	295,000	145,078	145,078	585,156
2029	4.000%	-	305,000	139,178	139,178	583,356
2030	4.000%	-	320,000	133,078	133,078	586,156
2031	4.000%	-	330,000	126,678	126,678	583,356
2032	4.000%	-	345,000	120,078	120,078	585,156
2033	4.000%	-	360,000	113,178	113,178	586,356
2034	3.125%	-	375,000	105,978	105,978	586,956
2035	3.125%	-	385,000	100,119	100,119	585,238
2036	3.125%	-	400,000	94,103	94,103	588,206
2037	3.125%	-	410,000	87,853	87,853	585,706
2038	3.250%	-	425,000	81,447	81,447	587,894
2039	3.250%	-	435,000	74,541	74,541	584,082
2040	3.250%	-	450,000	67,472	67,472	584,944
2041	3.250%	-	465,000	60,159	60,159	585,318
2042	3.250%	-	480,000	52,603	52,603	585,206
2043	3.375%	-	495,000	44,803	44,803	584,606
2044	3.375%	-	515,000	36,450	36,450	587,900
2045	3.375%	-	530,000	27,759	27,759	585,518
2046	3.375%	-	550,000	18,816	18,816	587,632
2047	3.375%	-	565,000	9,534	9,534	584,068
		$ -	$ 10,435,000	$ 2,984,180	$ 2,984,180	$ 16,403,360

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2018)[a]

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2021	2.000%	$ -	$ 299,260	$ -	$ 431,898	$ 731,158
2022	2.000%	303,749	308,305	427,409	422,853	1,462,316
2023	2.000%	312,930	317,624	418,228	413,535	1,462,317
2024	2.000%	322,388	327,224	408,770	403,934	1,462,316
2025	2.000%	332,132	337,114	399,026	394,044	1,462,316
2026	2.000%	342,171	347,304	388,987	383,855	1,462,317
2027	2.000%	352,513	357,801	378,645	373,357	1,462,316
2028	2.000%	363,168	368,615	367,990	362,543	1,462,316
2029	2.000%	374,145	379,757	357,014	351,402	1,462,318
2030	2.000%	385,453	391,235	345,705	339,923	1,462,316
2031	2.000%	397,104	403,060	334,055	328,098	1,462,317
2032	2.000%	409,106	415,243	322,052	315,916	1,462,317
2033	2.000%	421,471	427,793	309,687	303,365	1,462,316
2034	2.000%	434,210	440,723	296,948	290,435	1,462,316
2035	2.000%	447,334	454,044	283,824	277,114	1,462,316
2036	2.000%	460,855	467,768	270,304	263,391	1,462,318
2037	2.000%	474,784	481,906	256,374	249,252	1,462,316
2038	2.000%	489,135	496,472	242,024	234,687	1,462,318
2039	2.000%	503,919	511,477	227,240	219,681	1,462,317
2040	2.000%	519,150	526,937	212,009	204,222	1,462,318
2041	2.000%	534,841	542,863	196,318	188,295	1,462,317
2042	2.000%	551,006	559,272	180,152	171,887	1,462,317
2043	2.000%	567,661	576,176	163,498	154,983	1,462,318
2044	2.000%	584,818	593,590	146,340	137,568	1,462,316
2045	2.000%	602,494	611,532	128,664	119,627	1,462,317
2046	2.000%	620,705	630,015	110,454	101,143	1,462,317
2047	2.000%	639,465	649,057	91,693	82,101	1,462,316
2048	2.000%	658,793	668,675	72,365	62,483	1,462,316
2049	2.000%	678,707	688,886	52,453	42,272	1,462,318
2050	2.000%	699,219	709,707	31,939	21,451	1,462,316
2051	2.000%	720,353	-	10,805		731,158
		$ 14,503,779	$ 14,289,435	$ 7,430,972	$ 7,645,315	$ 43,869,501

[a] The available proceeds of Series 2018 is $61,600,000

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2018) – Fully Amortized[a]

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2021	3.000%	$ -	$ 633,653	$ -	$ 939,400	$ 1,573,053
2022	3.000%	648,397	653,204	924,656	919,849	3,146,106
2023	3.000%	668,138	673,355	904,915	899,698	3,146,106
2024	3.000%	683,623	694,049	889,430	879,004	3,146,106
2025	3.000%	709,378	715,451	863,675	857,602	3,146,106
2026	3.000%	730,988	737,509	842,065	835,544	3,146,106
2027	3.000%	753,260	760,243	819,793	812,810	3,146,106
2028	3.000%	771,837	783,608	801,216	789,445	3,146,106
2029	3.000%	799,806	807,755	773,247	765,298	3,146,106
2030	3.000%	824,188	832,642	748,865	740,411	3,146,106
2031	3.000%	849,316	858,292	723,737	714,761	3,146,106
2032	3.000%	871,381	884,669	701,672	688,384	3,146,106
2033	3.000%	901,848	911,913	671,205	661,140	3,146,106
2034	3.000%	929,357	939,993	643,696	633,060	3,146,106
2035	3.000%	957,709	968,933	615,344	604,120	3,146,106
2036	3.000%	983,709	998,711	589,344	574,342	3,146,106
2037	3.000%	1,016,996	1,029,450	556,057	543,603	3,146,106
2038	3.000%	1,048,034	1,061,132	525,019	511,921	3,146,106
2039	3.000%	1,080,023	1,093,784	493,030	479,269	3,146,106
2040	3.000%	1,110,465	1,127,399	462,588	445,654	3,146,106
2041	3.000%	1,146,933	1,162,083	426,120	410,970	3,146,106
2042	3.000%	1,181,953	1,197,829	391,100	375,224	3,146,106
2043	3.000%	1,218,047	1,234,671	355,006	338,382	3,146,106
2044	3.000%	1,253,500	1,272,616	319,553	300,437	3,146,106
2045	3.000%	1,293,559	1,311,750	279,494	261,303	3,146,106
2046	3.000%	1,333,073	1,352,084	239,980	220,969	3,146,106
2047	3.000%	1,373,798	1,393,653	199,255	179,400	3,146,106
2048	3.000%	1,414,907	1,436,484	158,146	136,569	3,146,106
2049	3.000%	1,459,017	1,480,640	114,036	92,413	3,146,106
2050	3.000%	1,495,952	1,533,741	77,101	39,312	3,146,106
2051	3.000%	1,549,512	-	23,540	-	1,573,052
		$ 31,058,704	$ 30,541,296	$ 16,132,885	$ 16,650,294	$ 94,383,179

[a] The available proceeds of Series 2018 is $61,600,000.

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2019)[a]

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2023	3.000%	$ 6,690	$ 6,790	$ 9,655	$ 9,555	$ 32,690
2024	3.000%	6,892	6,995	9,453	9,349	32,689
2025	3.000%	7,100	7,207	9,244	9,138	32,689
2026	3.000%	7,315	7,425	9,030	8,920	32,690
2027	3.000%	7,536	7,649	8,809	8,696	32,690
2028	3.000%	7,764	7,880	8,581	8,465	32,690
2029	3.000%	7,999	8,119	8,346	8,226	32,690
2030	3.000%	8,240	8,364	8,105	7,981	32,690
2031	3.000%	8,489	8,617	7,855	7,728	32,689
2032	3.000%	8,746	8,877	7,599	7,468	32,690
2033	3.000%	9,010	9,145	7,335	7,199	32,689
2034	3.000%	9,283	9,422	7,062	6,923	32,690
2035	3.000%	9,563	9,707	6,782	6,638	32,690
2036	3.000%	9,852	10,000	6,493	6,345	32,690
2037	3.000%	10,150	10,302	6,195	6,043	32,690
2038	3.000%	10,457	10,614	5,888	5,731	32,690
2039	3.000%	10,773	10,934	5,572	5,410	32,689
2040	3.000%	11,099	11,265	5,246	5,080	32,690
2041	3.000%	11,434	11,605	4,911	4,739	32,689
2042	3.000%	11,780	11,956	4,565	4,389	32,690
2043	3.000%	12,136	12,318	4,389	4,209	33,052
2044	3.000%	12,502	12,690	4,209	4,027	33,428
2045	3.000%	12,880	13,073	4,027	3,842	33,822
2046	3.000%	13,270	13,469	3,842	3,655	34,236
2047	3.000%	13,671	13,876	3,655	3,465	34,667
2048	3.000%	14,084	14,295	3,465	3,271	35,115
2049	3.000%	14,510	14,727	3,271	3,075	35,583
2050	3.000%	14,948	15,172	3,075	2,876	36,071
2051	3.000%	15,400	15,631	2,876	2,674	36,581
2052	3.000%	15,865	16,103	2,674	2,469	37,111
		$ 319,438	$ 324,227	$ 182,209	$ 177,586	$ 1,003,460

[a] The available proceeds of Series 2019 is $18,000,000.

Little Rock Water Reclamation Authority

Schedule of Bonded Indebtedness (Continued)

December 31, 2019

Sewer Revenue Bonds (Series 2019) – Fully Amortized[a]

Year of Maturity	Interest Rate	Principal Payable April 15,	Principal Payable October 15,	Interest Payable April 15,	Interest Payable October 15,	Total Annual Requirement
2023	3.000%	$ 187,082	$ 189,888	$ 270,000	$ 267,194	$ 914,164
2024	3.000%	192,737	195,628	264,345	261,454	914,164
2025	3.000%	198,562	201,540	258,520	255,542	914,164
2026	3.000%	204,563	207,632	252,519	249,450	914,164
2027	3.000%	210,746	213,908	246,336	243,174	914,164
2028	3.000%	217,116	220,373	239,966	236,709	914,164
2029	3.000%	223,679	227,034	233,403	230,048	914,164
2030	3.000%	230,439	233,896	226,643	223,186	914,164
2031	3.000%	237,404	240,965	219,678	216,117	914,164
2032	3.000%	244,580	248,249	212,502	208,833	914,164
2033	3.000%	251,972	255,752	205,110	201,330	914,164
2034	3.000%	259,588	263,482	197,494	193,600	914,164
2035	3.000%	267,434	271,445	189,648	185,637	914,164
2036	3.000%	275,517	279,650	181,565	177,432	914,164
2037	3.000%	283,845	288,103	173,237	168,979	914,164
2038	3.000%	292,424	296,810	164,658	160,272	914,164
2039	3.000%	301,262	305,782	155,820	151,300	914,164
2040	3.000%	310,368	315,024	146,714	142,058	914,164
2041	3.000%	319,749	324,545	137,333	132,537	914,164
2042	3.000%	329,414	334,355	127,668	122,727	914,164
2043	3.000%	339,370	344,461	117,712	112,621	914,164
2044	3.000%	349,628	354,872	107,454	102,210	914,164
2045	3.000%	360,195	365,598	96,887	91,484	914,164
2046	3.000%	371,082	376,648	86,000	80,434	914,164
2047	3.000%	382,298	388,032	74,784	69,050	914,164
2048	3.000%	393,853	399,761	63,229	57,321	914,164
2049	3.000%	405,757	411,843	51,325	45,239	914,164
2050	3.000%	418,021	424,292	39,061	32,790	914,164
2051	3.000%	430,656	437,116	26,426	19,966	914,164
2052	3.000%	443,672	450,303	13,410	6,755	914,140
		$ 8,933,013	$ 9,066,987	$ 4,779,447	$ 4,645,449	$ 27,424,896

[a] The available proceeds of Series 2019 is $18,000,000.

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STATISTICAL DATA

LITTLE ROCK
Water Reclamation Authority
ONE WATER.
ONE FUTURE.

Statistical Section – Contents and Explanations (Unaudited)

This part of Little Rock Water Reclamation Authority's comprehensive annual financial report presents summary information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about Little Rock Water Reclamation Authority's overall financial health.

A – Financial Trends Information

These schedules contain trend information to help the reader understand how LRWRA's financial performance and well-being have changed over time.

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B – Revenue Capacity Information

These schedules contain information to help the reader assess LRWRA's primary revenue sources.

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Non-Domestic Sewer Rates (Outside City)	105

C – Debt Capacity Information

These schedules present information to help the reader in assessing the affordability of LRWRA's current levels of outstanding debt and its ability to issue additional debt in the future.

Ratios of Outstanding Debt by Type	106
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D – Demographic and Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within with LRWRA's financial activities take place.

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E – Operating Information

These schedules contain information about LRWRA's operational activities.

Number of Employees by Identifiable Activity	111
Operating and Capital Indicators	112

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Little Rock Water Reclamation Authority

Net Position by Component

Schedule 1

Last Ten Fiscal Years

	Fiscal Year				
	2015[a]	2016	2017	2018[b]	2019
Primary Government					
Net investment in capital assets	$ 166,962,094	$ 174,925,069	$ 175,449,301	$ 178,984,742	$ 181,817,487
Restricted					
Debt service	12,534,544	6,130,592	6,868,935	7,147,197	8,002,459
Postemployment benefits	-	1,571,149	1,640,581	-	-
Total restricted	12,534,544	7,701,741	8,509,516	7,147,197	8,002,459
Unrestricted	8,232,798	11,394,435	14,968,883	17,557,370	22,708,190
Total primary governmental net position	$ 187,729,436	$ 194,021,245	$ 198,927,700	$ 203,689,309	$ 212,528,136

	Fiscal Year				
	2010	2011	2012	2013	2014
Primary Government					
Net investment in capital assets	$ 145,335,731	$ 139,771,009	$ 153,882,712	$ 160,379,889	$ 163,269,445
Restricted					
Debt service	8,717,901	8,201,722	9,941,067	11,937,387	11,841,110
Postemployment benefits	-	-	-	-	-
Total restricted	8,717,901	8,201,722	9,941,067	11,937,387	11,841,110
Unrestricted	3,668,629	15,072,179	15,273,085	13,122,816	20,338,501
Total primary governmental net position	$ 157,722,261	$ 163,044,910	$ 179,096,864	$ 185,440,092	$ 195,449,056

[a] Includes the effect of the adoption of GASB 68.

[b] Includes the effect of the adoption of GASB 75.

Little Rock Water Reclamation Authority

Changes in Net Position

Schedule 2

Last Ten Fiscal Years

Fiscal Year	Operating Revenue	Operating Expense	Depreciation Expense	Total Nonoperating Revenues (Expenses)	Income Before Capital Contributions	Capital Contributions and Grants	Change in Net Position
2010	$ 42,014,840	$ (23,310,477)	$ (7,737,659)	$ (10,449,831)	$ 516,873	$ 1,320,229	$ 1,837,102
2011	41,343,263	(21,375,526)	(7,778,436)	(8,464,927)	3,724,374	1,598,275	5,322,649
2012	43,547,696	(20,845,059)	(7,805,859)	(10,985,650)	3,911,128	1,906,970	5,818,098
2013	48,141,512	(22,102,353)	(10,141,151)	(13,273,368)	2,624,640	1,053,061	3,677,701
2014	51,214,190	(23,313,891)	(10,280,104)	(9,502,882)	8,117,313	1,891,741	10,009,054
2015	51,175,869	(23,956,665)	(13,722,622)	(12,066,359)	1,430,223	1,819,214	3,249,437
2016	53,470,585	(25,879,136)	(14,033,870)	(8,945,535)	4,612,044	1,679,766	6,291,810
2017	55,286,393	(27,196,677)	(15,190,118)	(9,035,248)	3,864,350	1,042,104	4,906,454
2018	60,887,364	(28,332,522)	(16,099,423)	(8,933,312)	7,522,107	2,786,302	10,308,409
2019	60,751,848	(30,184,369)	(17,032,333)	(7,607,154)	5,927,992	2,910,835	8,838,827

Little Rock Water Reclamation Authority

Operating Revenues by Source

Schedule 3

Last Ten Fiscal Years

Fiscal Year	Sewer Charges	Industrial Surcharges[a]	Connection Fees	Other Income[b]	Total
2010	$ 39,788,224	$ 1,702,263	$ 30,011	$ 494,342	$ 42,014,840
2011	39,685,509	1,159,226	33,597	464,931	41,343,263
2012	42,049,133	1,080,731	36,385	381,447	43,547,696
2013	46,515,532	1,072,928	24,986	528,066	48,141,512
2014	49,699,493	886,815	28,280	599,602	51,214,190
2015	49,616,847	953,219	31,421	574,382	51,175,869
2016	51,733,703	1,002,058	27,130	707,694	53,470,585
2017	53,324,852	1,162,912	39,483	759,146	55,286,393
2018	58,836,838	1,337,871	31,993	680,662	60,887,364
2019	58,492,305	1,581,640	34,388	643,515	60,751,848

[a] Fees based on wastewaters having excessive Biochemical Oxygen Demand (BOD) or Total Suspended Solids (TSS), or Oil & Grease (O&G), or Chemical Oxygen Demand (COD) or PH discharge.

[b] Includes permit fees, sewer dump permits and co-generation revenue.

Little Rock Water Reclamation Authority

Operating Expenses

Schedule 4

Last Ten Fiscal Years

Fiscal Year	Employment Costs	Supplies	Contract Services	Vehicle Maintenance	Utilities	Administrative Costs[a]	Subtotal Expense Before Depreciation	Depreciation	Total Operating Expense
2010	$ 15,992,624	$ 1,662,988	$ 2,524,181	$ 652,114	$ 1,551,441	$ 927,129	$ 23,310,477	$ 7,737,659	$ 31,048,136
2011	13,997,893	2,220,871	2,390,989	443,134	1,470,380	852,259	21,375,526	7,778,436	29,153,962
2012	13,436,496	2,029,640	2,736,347	474,662	1,363,224	804,690	20,845,059	7,805,859	28,650,918
2013	14,315,370	2,193,620	2,622,055	573,276	1,456,322	941,710	22,102,353	10,141,151	32,243,504
2014	15,097,683	2,218,406	2,725,022	495,932	1,623,697	1,153,151	23,313,891	10,280,104	33,593,995
2015	15,654,261	2,207,314	2,870,359	341,969	1,818,133	1,064,629	23,956,665	13,722,622	37,679,287
2016	17,357,749	2,309,329	3,171,189	310,460	1,703,030	1,027,379	25,879,136	14,033,870	39,913,006
2017	18,374,739	2,536,833	3,579,063	322,542	1,568,833	814,667	27,196,677	15,190,118	42,386,795
2018	18,569,410	2,655,047	3,975,373	342,651	1,629,151	1,160,890	28,332,522	16,099,423	44,431,945
2019	20,457,142	2,419,263	4,047,693	295,468	1,984,688	980,115	30,184,369	17,032,333	47,216,702

[a] Includes committee and insurance, and other (training and development, travel, and bank service charges) expenses

Little Rock Water Reclamation Authority

Nonoperating Revenues and Expenses

Schedule 5

Last Ten Fiscal Years

Fiscal Year	Interest Expense	Interest Income	Bond Issuance Costs	Gain (Loss) on Disposal Capital Assets	Unrealized Gain (Loss) on Investments	Other	Total Nonoperating Revenue (Expense)
2010	$ (10,981,462)	$ 147,124	$ -	$ (30,932)	$ 353,193	$ 62,246	$ (10,449,831)
2011	(10,990,449)	151,072	-	(60,727)	266,225	2,168,952	(8,464,927)
2012	(11,035,424)	338,699	-	(885,759)	(102,535)	699,369	(10,985,650)
2013[a]	(13,337,916)	52,567	-	111,517	(131,603)	32,067	(13,273,368)
2014	(9,691,040)	172,864	(179,941)	(18,413)	148,019	65,629	(9,502,882)
2015	(8,363,483)	154,003	(1,528,933)	(2,331,935)	(20,707)	24,696	(12,066,359)
2016	(8,945,303)	149,846	(250,674)	62,262	(47,473)	85,807	(8,945,535)
2017	(9,197,384)	295,084	(297,558)	96,011	(4,942)	73,541	(9,035,248)
2018	(9,087,059)	739,314	-	(803,812)	40,402	177,843	(8,933,312)
2019	(8,756,844)	1,027,034	(24,398)	(108,485)	58,579	196,960	(7,607,154)

[a] With the adoption of GASB Statement No. 65, LRWRA recognized outstanding amortization expense at year-end.

Little Rock Water Reclamation Authority

New Construction/Inspections Completed

Schedule 6

Last Ten Fiscal Years

Fiscal Year	Residential	Commercial	Total New Construction Permits/ Inspections Completed
2010	385	69	454
2011	371	124	495
2012	529	128	657
2013	335	109	444
2014	362	81	443
2015	357	100	457
2016	341	63	404
2017	509	85	594
2018	398	96	494
2019	427	135	562

Little Rock Water Reclamation Authority

Number of Sewer Customers by Type

Schedule 7

Last Ten Fiscal Years

Fiscal Year [a]	Domestic	Non-Domestic			Total
		Commercial	Industrial	Other[b]	
2010	60,862	6,262	74	424	67,622
2011	61,030	6,304	74	429	67,837
2012	61,394	6,381	72	399	68,246
2013	61,505	6,284	72	411	68,272
2014	61,748	6,342	73	395	68,558
2015	62,239	6,335	73	392	69,039
2016	62,303	6,381	72	393	69,149
2017	62,537	6,407	70	396	69,410
2018	62,565	6,546	69	400	69,580
2019	63,367	6,644	29	413	70,453

[a] Billed account totals from December

[b] Includes public utilities, governmental (U.S., state, county, city) and public schools

Little Rock Water Reclamation Authority

Domestic Sewer Rates (Inside City)

Schedule 8A

Last Ten Fiscal Years

Base Rate[a] (Meter Size)	Fiscal Year Ended 2015	2016[c]	2017[d]	2018[d]	2019[d]
5/8”	$ 10.29	$ 10.29	$ 10.78	$ 11.29	$ 11.81
3/4”	13.25	13.25	13.88	14.54	15.23
1”	20.04	20.04	20.99	21.99	23.03
Volumetric rate[b]					
Operations volumetric rate[b]	1.76	1.76	1.84	1.93	2.02
Debt repayment rate[b]	1.81	2.04	2.14	2.24	2.35

Base Rate[a] (Meter Size)	Fiscal Year Ended 2010	2011	2012[c]	2013[c]	2014[c]
5/8”	$ 15.37	$ 15.37	$ 9.24	$ 9.89	$ 10.29
3/4”	18.02	18.02	11.91	12.74	13.25
1”	24.10	24.10	18.01	19.27	20.04
1.5”	39.46	39.46			
2”	57.83	57.83			
3”	100.58	100.58			
4”	161.84	161.84			
6” or larger	314.87	314.87			
Volumetric rate[b]	3.09	3.09			
Operations volumetric rate[b]			1.58	1.69	1.76
Debt repayment rate[b]			1.81	1.81	1.81

[a] Rate charge from 2010 to June 2012 included 200 cubic feet; Changed in July 2012 with zero water consumed.

[b] Per 100 cubic feet

[c] In June 2012, the City of Little Rock Board of Directors approved a four-step rate increase that affected rates from 2012 to 2016. The rate ordinance split the volumetric rate into operations and debt repayment rates. Step one occurred in 2012 for 12.75% on June 12. Step two occurred in 2013 for 8.0% on January 1. Step three occurred in 2014 for 7.0% on January 1. The final step occurred in 2016 for 4.75% on January 1 for Debt Repayment only.

[d] In August 2015, City of Little Rock Board of Directors approved a five-step rate increase that will affect rates from 2017 2021. Step one occurred in 2017 for 4.75% on January 1. Step two occurred in 2018 for 4.75% on January 1. Step three occurred in 2019 for 4.75% on January 1.

Note: No rate increase in 2011 or 2015. Increases in sewer rates must be approved by the City of Little Rock Board of Directors.

Little Rock Water Reclamation Authority

Domestic Sewer Rates (Outside City)

Schedule 8B

Last Ten Fiscal Years

Base Rate[a] (Meter Size)	Fiscal Year Ended 2015	2016[c]	2017[d]	2018[d]	2019[d]
5/8"	$ 15.44	$ 15.44	$ 16.17	$ 16.94	$ 17.75
3/4"	19.88	19.88	20.82	21.81	22.85
1"	30.03	30.03	31.49	32.98	34.55
Volumetric Rate[b]					
Operations Volumetric Rate[b]	2.64	2.64	2.77	2.90	3.03
Debt Repayment Rate[b]	2.72	3.07	3.22	3.37	3.53

Base Rate[a] (Meter Size)	Fiscal Year Ended 2010	2011	2012[c]	2013[c]	2014[c]
5/8"	$ 23.05	$ 23.05	$ 13.86	$ 14.84	$ 15.44
3/4"	27.10	27.10	17.87	19.11	19.88
1"	36.11	36.11	27.02	28.91	30.03
1.5"	59.23	59.23			
2"	88.50	88.50			
3"	150.87	150.87			
4"	242.79	242.79			
6" or larger	472.31	472.31			
Volumetric rate[b]	4.63	4.63			
Operations volumetric rate[b]			2.37	2.54	2.64
Debt repayment rate[b]			2.72	2.72	2.72

[a] Rate charge from 2010 to June 2012 included 200 cubic feet; Changed in July 2012 with zero water consumed.

[b] Per 100 cubic feet

[c] In June 2012, the City of Little Rock Board of Directors approved a four-step rate increase that affected rates from 2012 to 2016. The rate ordinance split the Volumetric Rate into Operations and Debt Repayment Rates. Step one occurred in 2012 for 12.75% on June 12. Step two occurred in 2013 for 8.0% on January 1. Step three occurred 2014 for 7.0% on January 1. The final step occurred in 2016 for 4.75% on January 1 for Debt Repayment only.

[d] In August 2015, the City of Little Rock Board of Directors approved a five-step rate increase that will affect rates from 2017 to 2021. Step one occurred in 2017 for 4.75% on January 1. Step two occurred in 2018 for 4.75% on January 1. Step three occurred in 2019 for 4.75% on January 1.

Note: No rate increase in 2011 or 2015. Increases in sewer rates must be approved by the City of Little Rock Board of Directors.

Little Rock Water Reclamation Authority

Non-Domestic Sewer Rates (Inside City)

Schedule 9A

Last Ten Fiscal Years

Base Rate[a] (Meter Size)	Fiscal Year Ended 2015	2016[c]	2017[d]	2018[d]	2019[d]
5/8”	$ 10.29	$ 10.29	$ 10.78	$ 11.29	$ 11.83
3/4”	13.25	13.25	13.88	14.54	15.23
1”	20.04	20.04	20.99	21.99	23.03
1.5”	35.38	35.38	37.06	38.82	40.66
2”	54.90	54.90	57.51	60.24	63.10
3”	100.34	100.34	105.11	110.10	115.33
4”	165.44	165.44	173.30	181.53	190.15
6” or larger	328.12	328.12	343.71	360.03	377.13
Operations volumetric rate[b]	2.75	2.75	2.88	3.02	3.16
Debt repayment rate[b]	2.12	2.40	2.51	3.63	2.76

Base Rate[a] (Meter Size)	Fiscal Year Ended 2010	2011	2012[c]	2013[c]	2014[c]
5/8”	$ 15.37	$ 15.37	$ 9.24	$ 9.89	$ 10.29
3/4”	18.02	18.02	11.91	12.74	13.25
1”	24.10	24.10	18.01	19.27	20.04
1.5”	39.46	39.46	31.79	34.02	35.38
2”	57.83	57.83	49.34	52.79	54.90
3”	100.58	100.58	90.17	96.48	100.34
4”	161.84	161.84	148.67	159.08	165.44
6” or larger	314.87	314.87	294.86	315.50	328.12
Volumetric rate[b]	3.09	3.09			
Operations volumetric rate[b]			1.85	2.59	2.75
Debt repayment rate[b]			2.12	2.12	2.12

[a] Rate charge from 2010 to June 2012 included 200 cubic feet; Changed in July 2012 with zero water consumed.

[b] Per 100 cubic feet

[c] In June 2012, the City of Little Rock Board of Directors approved a four-step rate increase that affected rates from 2012 to 2016. The rate ordinance split the Volumetric Rate into Operations and Debt Repayment Rates. Step one for 12.75% on June 12. Step two occurred in 2013 for 8.0% on January 1. Step three occurred in 2014 for 7.0% on January 1. The final step occurred in 2016 for 4.75% on January 1 for Debt Repayment only.

[d] In August 2015, the City of Little Rock Board of Directors approved a five step rate increase that will affect rates from 2017 to 2021. Step one occurred in 2017 for 4.75% on January 1. Step two occurred in 2018 for 4.75% on January 1. Step three occurred in 2019 for 4.75% on January 1.

Note: No rate increase in 2011 or 2015. Increases in sewer rates must be approved by the City of Little Rock Board of Directors.

Little Rock Water Reclamation Authority

Non-Domestic Sewer Rates (Outside City)

Schedule 9B

Last Ten Fiscal Years

Base Rate[a] (Meter Size)	Fiscal Year Ended 2015	2016[c]	2017[d]	2018[d]	2019[d]
5/8”	$ 15.44	$ 15.44	$ 16.17	$ 16.94	$ 17.75
3/4”	19.88	19.88	20.82	21.81	22.85
1”	30.06	30.06	31.49	32.98	34.55
1.5”	53.07	53.07	55.59	58.23	61.00
2”	82.35	82.35	86.26	90.36	94.65
3”	150.51	150.51	157.66	165.15	172.99
4”	248.16	248.16	259.95	272.30	285.23
6” or larger	492.18	492.18	515.56	540.05	565.70
Volumetric rate[b]					
Operations volumetric rate[b]	4.13	4.13	4.33	4.53	4.75
Debt repayment rate[b]	3.19	3.61	3.78	3.96	4.15

Base Rate[a] (Meter Size)	Fiscal Year Ended 2010	2011	2012[c]	2013[c]	2014[c]
5/8”	$ 23.05	$ 23.05	$ 13.86	$ 14.84	$ 15.44
3/4”	27.10	27.10	17.87	19.11	19.88
1”	36.11	36.11	27.02	28.91	30.06
1.5”	59.23	59.23	47.69	51.03	53.07
2”	88.50	88.50	74.01	79.19	82.35
3”	150.87	150.87	135.26	144.72	150.51
4”	242.79	242.79	223.01	238.62	248.16
6” or larger	472.31	472.31	442.29	473.25	492.18
Volumetric rate[b]	4.63	4.63			
Operations volumetric rate[b]			2.78	3.44	4.13
Debt repayment rate[b]			3.19	3.19	3.19

[a] Rate charge from 2010 to June 2012 included 200 cubic feet; Changed in July 2012 with zero water consumed.
[b] Per 100 cubic feet
[c] In June 2012, the City of Little Rock Board of Directors approved a four-step rate increase that affected rates from 2012 to 2016. The rate ordinance split the Volumetric Rate into Operations and Debt Repayment Rates. Step one occurred in 2012 for 12.75% on June 12. Step two occurred in 2013 for 8.0% on January 1. Step three occurred in 2014 for 7.0% on January 1. The final step occurred in 2016 for 4.75% on January 1 for Debt Repayment only.
[d] In August 2015, the City of Little Rock Board of Directors approved a five-step rate increase that will affect rates from 2017 to 2021. Step one occurred in 2017 for 4.75% on January 1. Step 2 occurred in 2018 for 4.75% on on January 1. Step three occurred in 2019 for 4.75% on January 1.

Note: No rate increase in 2011 or 2015. Increases in sewer rates must be approved by the City of Little Rock Board of Directors.

Little Rock Water Reclamation Authority

Ratios of Outstanding Debt by Type

Schedule 10

Last Ten Fiscal Years

	Principal Only			Total		
Fiscal Year	Revenue Bonds	Revolving Fund Loans[a]	Unamortized Bond Premium	Amount	Per Capita	As a Share of Personal Income
2010	$ 179,640,000	$ 81,817,242	$ 626,808	$262,084,050	$ 1,354	3.67%
2011	176,720,000	79,397,360	891,488	257,008,848	1,328	3.44%
2012	202,543,537	75,086,015	688,405	278,317,957	1,438	3.54%
2013	199,230,470	70,204,709	2,737,344	272,172,523	1,406	3.53%
2014	200,860,080	69,081,782	2,963,187	272,905,049	1,410	3.45%
2015	229,050,000	40,792,901	10,770,336	280,613,237	1,450	3.53%
2016	213,148,761	58,665,577	10,958,956	282,773,294	1,461	3.54%
2017	221,100,000	72,139,648	10,170,284	303,409,932	1,568	3.68%
2018	229,873,531	73,527,781	9,254,983	312,656,295	1,616	3.81%
2019	250,868,740	80,933,529	8,385,090	340,187,359	1,758	3.87%

Notes: LRWRA's bond covenants stipulate that it may issue debt as long as certain conditions are met. The major criterion is that the net earnings of the system must be at least 1.2 times the year's average combined debt service requirement.

See *Notes to Financial Statements Section #6 – Long-Term Debt* for more information.

[a]The yearly total amount includes only that portion of debt that has been borrowed up to year-end and not total loan amount on any non-completed project for which the loan is associated with.

Little Rock Water Reclamation Authority

Pledged-Revenue Coverage

Schedule 11

Last Ten Fiscal Years

Fiscal Year	Gross Revenue[a]	Direct Operating Expense[b]	Net Revenue Available for Debt Service	At December 31, Fiscal Year: Total Outstanding Debt[c]	# of Years of Outstanding Debt	Avg. Yearly Outstanding Debt	Coverage
2010[d]	$ 42,161,964	$ (23,310,477)	$ 18,851,487	$441,050,765	29	$ 15,208,647	1.24
2011	41,494,335	(21,375,526)	20,118,809	422,421,951	28	15,086,498	1.33
2012	43,886,395	(20,845,059)	23,041,336	438,506,442	30	14,616,881	1.58
2013	48,194,079	(22,102,353)	26,091,726	477,572,007	29	16,468,000	1.58
2014	51,387,054	(23,313,891)	28,073,163	456,384,959	28	16,299,463	1.72
2015	51,329,872	(23,956,665)	27,373,207	397,723,835	27	14,730,512	1.86
2016	53,620,431	(25,879,136)	27,741,295	387,240,934	26	14,893,882	1.86
2017	55,581,477	(27,196,677)	28,384,800	415,807,342	33	12,600,222	2.25
2018	61,626,678	(28,332,522)	33,294,156	423,394,639	33	12,830,141	2.59
2019	61,778,882	(30,184,369)	31,594,513	461,463,819	33	13,983,752	2.26

As part of each bond ordinance, LRWRA may treat any increase in rates for the System enacted subsequent to the first day of such preceding fiscal year as having been in effect during or throughout such fiscal year and may include in Gross Revenues for such fiscal year the amount that would have been received. In order to issue new debt, coverage shall not be less than 1.20 of the average annual principal and interest requirements on all outstanding System Bonds and the additional bonds proposed. The ordinance also states that in order to reduce rates, the average annual principal and interest requirement must meet a 1.30 coverage.

See Notes to the Financial Statements Section #6 – *Long-Term Debt* for more information.

[a] Includes interest on investment income.

[b] See Schedule 4.

[c] Amount contains construction draws only for 2016A, 2018, and 2019 Revolving Loan Funds (RLF) at December 31.

[d] Includes an estimated look-forward rate increase of $1.988 million in Gross Revenues based on approved January 1, 2010, respectively rate increases.

[e] Upon conversion to new software system with Utility Billing Services, it was discovered that several customers were miscoded as industrial that were commercial

Little Rock Water Reclamation Authority

Demographic and Economic Statistics

Schedule 12

Last Ten Calendar Years

Calendar Year	Population[a]	Personal Income[b]	Per Capita Personal Income	Unemployment Percentage Rate
2010	193,524	$ 7,140,261,504	$ 36,896	8.2%
2011	193,524	7,470,413,448	38,602	7.1%
2012	193,524	7,860,751,356	40,619	6.7%
2013	193,524	7,717,737,120	39,880	6.0%
2014	193,524	7,919,969,700	40,925	4.9%
2015	193,524	7,946,482,488	41,062	4.0%
2016	193,524	7,982,865,000	41,250	3.3%
2017	193,524	8,240,638,968	42,582	3.4%
2018	193,524	8,215,480,848	42,452	3.4%
2019	193,524	8,781,345,024	45,376	3.3%

[a] Population of Little Rock, Arkansas, using 2010 Census
[b] Personal income is a calculation of per capita income multiplied by the population.

Source: Federal Reserve St. Louis, Metroplan – Council of Local Governments, DiscoverArkansas.net and Greater Little Rock Chamber of Commerce

Little Rock Water Reclamation Authority

Ten Largest Sewer Customers

Schedule 13

Current Year and Nine Years Ago

	Fiscal Year 2019	
Customer	Amount	Percent
1. Little Rock Quick Rice Foods	$ 567,026	0.98%
2. Baptist Medical Center	530,138	0.98
3. Central Arkansas Water	431,245	0.74
4. University of Arkansas Medical Sciences	371,460	0.64
5. Welspun Tubular	348,977	0.60
6. Veterans Administration Hospital	347,398	0.59
7. St. Vincent's Hospital	315,890	0.54
8. Hiland Dairy	286,029	0.49
9. Arkansas Children's Hospital	260,375	0.45
10. Statehouse Convention Center	166,443	0.28
Subtotal	3,624,981	5.31
Balance from other customers	54,867,324	(4.31)
Grand totals[a]	$ 58,492,305	100.00%

	Fiscal Year 2010	
Customer	Amount	Percent
1. Odom Sausage	$ 388,422	0.98%
2. Baptist Medical Center	316,482	0.80
3. Sage V Foods	243,618	0.61
4. University of Arkansas Medical Science	235,190	0.59
5. St. Vincent Infirmary	200,460	0.50
6. Central Arkansas Water	193,185	0.49
7. V.A. Hospital	177,248	0.45
8. Coleman/Turner Dairy	168,285	0.42
9. Arkansas Children's Hospital	122,698	0.31
10. Coca-Cola Bottling	113,123	0.28
Subtotal	2,158,711	4.46
Balance from other customers	37,629,513	-3.46
Grand total[a]	$ 39,788,224	100.00%

[a] Grand totals are based on sewer charges from Schedule 3.

Little Rock Water Reclamation Authority

Principal Employers

Schedule 14

Current Year and Nine Years Ago

	2019			2010		
Employer	Employees	Percentage of Total	Rank	Employees	Percentage of Total	Rank
State of Arkansas (within the MSA)	35,200	9.83%	1	32,900	9.40%	1
Local Government (within the MSA)	26,500	7.40%	2	28,800	8.23%	2
Federal Government (within the MSA)	10,200	2.85%	3	9,500	2.71%	3
University of Arkansas for Medical Sciences	9,200	2.57%	4	8,500	2.43%	4
Baptist Health	7,340	2.05%	5	6,160	1.76%	6
Little Rock Air Force Base	4,500	1.26%	6	5,660	1.62%	7
Arkansas Children's Hospital	4,370	1.22%	7	2,830	0.81%	10
Central Arkansas Veterans Health Care	4,000	1.12%	8	3,500	1.00%	8
Little Rock School District	3,970	1.11%	9			
CHI St. Vincent	3,000	0.84%	10			
Acxiom				3,000	0.86%	9
Public School Districts				7,400	2.11%	5
Total	108,280	30%		108,250	31%	

Sources: Greater Little Rock Chamber of Commerce and State of Arkansas (www.arkansaseconomicregions.org)

Little Rock/North Little Rock MSA	358,200	350,000

Little Rock Water Reclamation Authority

Number of Employees by Identifiable Activity

Schedule 15

Last Ten Fiscal Years

	Full-Time-Equivalent Employees as of December 31									
	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Administration										
Executive Administrator	1	1	1	1	1	1	1	1	1	1
Safety & Communications	4	4	3	3	4	4	5	4	5	5
Human Resources	2	2	2	2	2	2	2	3	3	3
Finance/Accounting	12	10	8	9	12	12	12	11	12	12
Information Services	13	10	9	10	11	11	12	13	11	11
Legal	0	0	0	0	0	0	1	1	1	1
Clerical	10	9	7	7	7	7	5	4	5	5
Engineering	29	27	20	23	20	20	23	22	23	25
Sewer Plant Maintenance	21	21	22	23	24	24	25	19	24	24
Sewer Systems Maintenance	94	90	81	87	82	82	81	88	88	87
Sewer Plant Operations	20	20	21	18	22	22	22	22	24	24
Environmental Assessment	16	16	17	23	24	24	23	22	17	16
Total Employees	222	210	191	206	209	209	212	210	214	214

Little Rock Water Reclamation Authority

Operating and Capital Indicators

Schedule 16

Last Ten Fiscal Years

	Fiscal Year									
	2010	2011[a]	2012	2013	2014	2015	2016	2017	2018	2019
Wastewater treatment										
Miles of sewer	1,320	1,346	1,353	1,359	1,368	1,375	1,384	1,386	1,393	1,400
Number of treatment plants	2	3	3	3	3	3	3	3	3	3
Treatment capacity (MGD)										
Biological treatment	52.0	56.0	56.0	56.0	56.0	56.0	56.0	56.0	56.0	56.0
Hydraulic peak capacity	130.0	144.0	144.0	144.0	144.0	144.0	144.0	144.0	144.0	144.0
Daily engineering maximum plant capacity (MGD)	40.58	35.55	31.04	33.91	34.17	37.04	32.40	29.34	35.83	38.18
Unused capacity (MGD)	11.42	20.45	24.96	22.09	21.83	18.96	23.60	26.66	20.17	17.82
Percent of capacity utilized	78%	63%	55%	61%	61%	66%	58%	52%	64%	68%

Note: MGD = millions of gallons per day.

[a] Little Maumelle Treatment Facility became operational on August 8, 2011.

APPENDIX B

Proposed Form of Bond Counsel Opinion

_____, 2020

Regions Bank, as trustee
Little Rock, Arkansas

Re: $22,850,000 City of Little Rock, Arkansas Water Reclamation System Refunding Revenue Bonds, Taxable Series 2020B

Ladies and Gentlemen:

We have acted as bond counsel in connection with the issuance and sale by the City of Little Rock, Arkansas (the "City"), a political subdivision of the State of Arkansas, of its $22,850,000 Water Reclamation System Refunding Revenue Bonds, Series 2020B (the "Bonds").

The Bonds are being issued pursuant to and in full compliance with the provisions of the Constitution and laws of the State of Arkansas, including, particularly, Amendment 65 to the Arkansas Constitution ("Amendment 65") and Title 14, Chapter 164, Subchapter 4, and Title 14, Chapter 235, Subchapter 2 of the Arkansas Code of 1987 Annotated (as from time to time amended, the "Authorizing Legislation"), and pursuant to Ordinance No. 21,905 of the City, duly adopted and approved on October 20, 2020 (the "Authorizing Ordinance").

The Bonds are issued under and secured and entitled to the protection given by the Authorizing Ordinance. In the Authorizing Ordinance, Regions Bank, Little Rock, Arkansas, is named as trustee for the Bonds (the "Trustee"). Reference is hereby made to the Authorizing Ordinance for the provisions, among others, with respect to the conditions for the issuance of parity debt by the City, the nature and extent of the security for the Bonds, the rights, duties and obligations of the City, the Trustee and the holders of the Bonds, and the terms upon which the Bonds are issued and secured.

We have examined the law and such certified proceedings and other papers as we have deemed necessary to render this opinion. As to questions of fact material to our opinion, we have relied upon the representations of the City contained in the Authorizing Ordinance and in the certified proceedings and other certifications of public officials furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion, under existing laws, regulations, rulings and judicial decisions, as follows:

A. The City is duly created and validly existing as a municipal corporation and political subdivision of the State of Arkansas. Pursuant to the Constitution and laws of the State of Arkansas, including, particularly, Amendment 65 and the Authorizing Legislation, the City is empowered to adopt the Authorizing Ordinance, to perform the agreements on its part contained therein, and to issue the Bonds.

B. The Authorizing Ordinance has been duly adopted by the City and constitutes a legal, valid and binding obligation of the City enforceable upon the City in accordance with its terms.

C. The Bonds have been validly authorized, executed, issued and delivered by the City and represent legal, valid and binding special obligations of the City. The principal, premium, if any, and interest on the Bonds shall be payable from, and shall be secured by, a valid assignment and pledge by the City of the Net Revenues (as defined in the Authorizing Ordinance) of the City's sewer system which is now identified as a water reclamation system, in the manner and to the extent described in Section 10 of the Authorizing Ordinance. Such pledge is (i) subject to the existing parity pledge of Net Revenues securing the City's Sewer Refunding Revenue Bonds, Series 2011, the City's Sewer Refunding Revenue Bonds, Series 2014, the City's Sewer Refunding

Revenue Bonds, Series 2015, the City's Sewer Refunding Revenue Bonds, Series 2016B and the City Water Reclamation System Revenue Bonds, Series 2017 and (ii) senior to the pledge of Net Revenues securing the City's Sewer Revenue Bond, Series 2007B, the City's Sewer Revenue Bond, Series 2009A, the City's Sewer Revenue Bond, Series 2013, the City's Sewer Revenue Bond, Series 2016 (Replacement Bond), the City's Water Reclamation System Revenue Bond, Series 2018, the City's Water Reclamation System Revenue Bond, Series 2019 and the City's Water Reclamation System Revenue Bond, Series 2020. The City is duly authorized to pledge such Net Revenues, and no further action on the part of the City or any other party is required to perfect the same or the interest of the owners of the Bonds therein.

D. The Bonds will be treated for federal income tax purposes as evidences of indebtedness of the City. The interest on the Bonds is not excludable from gross income for federal income tax purposes and will be fully subject to federal income taxation. All taxpayers should seek advice based on such taxpayer's particular circumstances from an independent tax advisor.

E. The interest on the Bonds is exempt from all state, county and municipal taxes in the State of Arkansas.

F. The Bonds are exempt from registration pursuant to the Securities Act of 1933, as amended, and the Authorizing Ordinance is not required to be qualified under the Trust Indenture Act of 1939, as amended, in connection with the offer and sale of the Bonds.

It is to be understood that the rights of the registered owners of the Bonds and the enforceability of the Bonds and the Authorizing Ordinance may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and that their enforcement may also be subject to the exercise of judicial discretion in appropriate cases.

Very truly yours,